

Underwriting Guidelines

Effective 9/10/2025 **V2**

INTRODUCTION	13
FAIR LENDING STATEMENT.....	13
RESPONSIBLE LENDING STATEMENT	13
ZERO TOLERANCE – FRAUD	14
EXPOSURE	15
GUIDELINES AND PROGRAMS.....	15
GUIDELINES	15
NON-QM PROGRAMS	15
DSCR PROGRAMS.....	16
NON-QM PROGRAMS	16
FLEX SUPREME OVERVIEW	16
FLEX SUPREME - GENERAL REQUIREMENTS.....	16
FLEX SUPREME - BORROWER ELIGIBILITY.....	17
FLEX SUPREME - CREDIT REQUIREMENTS.....	18
FLEX SUPREME - DTI AND RESIDUAL REQUIREMENTS	18
FLEX SUPREME - INCOME REQUIREMENTS.....	19
FLEX SUPREME - ASSET AND RESERVE REQUIREMENTS	20
FLEX SUPREME - PROPERTY REQUIREMENTS	21
FLEX SELECT OVERVIEW	21
FLEX SELECT - GENERAL REQUIREMENTS	21
FLEX SELECT - BORROWER ELIGIBILITY	22
FLEX SELECT - CREDIT REQUIREMENTS	23
FLEX SELECT - DTI AND RESIDUAL INCOME REQUIREMENTS	23
FLEX SELECT - INCOME REQUIREMENTS	24
FLEX SELECT - ASSET AND RESERVE REQUIREMENTS	26
FLEX SELECT - PROPERTY REQUIREMENTS	26
FLEX SELECT EXPRESS (DU) - REQUIREMENTS	28
SUPER JUMBO OVERVIEW	29
SUPER JUMBO - GENERAL REQUIREMENTS	29
SUPER JUMBO - BORROWER ELIGIBILITY	29
SUPER JUMBO - CREDIT REQUIREMENTS	30
SUPER JUMBO - DTI AND RESIDUAL INCOME REQUIREMENTS	30
SUPER JUMBO - INCOME REQUIREMENTS	30
SUPER JUMBO - ASSET AND RESERVE REQUIREMENTS	31
SUPER JUMBO - PROPERTY REQUIREMENTS	31
SELECT ITIN OVERVIEW	31
SELECT ITIN - GENERAL REQUIREMENTS.....	32
SELECT ITIN - BORROWER ELIGIBILITY.....	32
SELECT ITIN - CREDIT REQUIREMENTS.....	33
SELECT ITIN - DTI AND RESIDUAL INCOME REQUIREMENTS.....	34
SELECT ITIN - INCOME REQUIREMENTS.....	34
SELECT ITIN - ASSETS AND RESERVE REQUIREMENTS	35

SELECT ITIN - PROPERTY REQUIREMENTS.....	35
FOREIGN NATIONAL OVERVIEW	36
FOREIGN NATIONAL - GENERAL REQUIREMENTS.....	36
FOREIGN NATIONAL - BORROWER ELIGIBILITY.....	37
FOREIGN NATIONAL - CREDIT REQUIREMENTS.....	38
FOREIGN NATIONAL - DTI AND RESIDUAL INCOME REQUIREMENTS.....	39
FOREIGN NATIONAL - INCOME REQUIREMENTS.....	39
FOREIGN NATIONAL - DSCR RATIO AND RENTAL INCOME REQUIREMENTS	40
FOREIGN NATIONAL - ASSET AND RESERVE REQUIREMENTS.....	41
FOREIGN NATIONAL - PROPERTY REQUIREMENTS.....	42
SECOND LIEN SELECT OVERVIEW	42
SECOND LIEN SELECT - GENERAL REQUIREMENTS	43
SECOND LIEN SELECT - BORROWER ELIGIBILITY	44
SECOND LIEN SELECT - CREDIT REQUIREMENTS	44
SECOND LIEN SELECT - DTI AND RESIDUAL INCOME REQUIREMENTS	45
SECOND LIEN SELECT - INCOME REQUIREMENTS	45
SECOND LIEN SELECT - ASSET AND RESERVE REQUIREMENTS	46
SECOND LIEN SELECT - PROPERTY REQUIREMENTS	46
DSCR PROGRAMS	47
DSCR GENERAL REQUIREMENTS.....	47
DSCR SUPREME OVERVIEW	48
DSCR SUPREME - GENERAL REQUIREMENTS	48
DSCR SUPREME - BORROWER ELIGIBILITY	49
DSCR SUPREME - CREDIT REQUIREMENTS	49
DSCR SUPREME - DSCR RATIO AND RENTAL INCOME REQUIREMENTS.....	50
DSCR SUPREME - ASSET AND RESERVE REQUIREMENTS.....	52
DSCR SUPREME - PROPERTY REQUIREMENTS.....	52
INVESTOR DSCR OVERVIEW	52
INVESTOR DSCR - GENERAL REQUIREMENTS	53
INVESTOR DSCR - BORROWER ELIGIBILITY	54
INVESTOR DSCR - CREDIT REQUIREMENTS	54
INVESTOR DSCR - DSCR & RENTAL INCOME REQUIREMENTS.....	55
INVESTOR DSCR - ASSET AND RESERVE REQUIREMENTS	56
INVESTOR DSCR - PROPERTY REQUIREMENTS	56
INVESTOR DSCR NO RATIO OVERVIEW	57
INVESTOR DSCR NO RATIO - GENERAL REQUIREMENTS	57
INVESTOR DSCR NO RATIO - BORROWER ELIGIBILITY	58
INVESTOR DSCR NO RATIO - CREDIT REQUIREMENTS	59
INVESTOR DSCR NO RATIO – DSCR AND RENTAL INCOME REQUIREMENTS.....	59
INVESTOR DSCR NO RATIO - ASSET AND RESERVE REQUIREMENTS.....	60
INVESTOR DSCR NO RATIO - PROPERTY REQUIREMENTS.....	60
DSCR MULTI & MIXED (5-10 UNIT MULTI, 2-8 UNIT MIXED-USE) OVERVIEW	61
DSCR MULTI & MIXED - GENERAL REQUIREMENTS.....	61
DSCR MULTI & MIXED - BORROWER ELIGIBILITY.....	62
DSCR MULTI & MIXED - CREDIT REQUIREMENTS.....	62
DSCR MULTI & MIXED – DSCR AND RENTAL INCOME REQUIREMENTS	62

DSCR MULTI & MIXED - ASSET AND RESERVE REQUIREMENTS.....	63
DSCR MULTI & MIXED - PROPERTY REQUIREMENTS.....	64
GENERAL UNDERWRITING REQUIREMENTS.....	65
2-1 TEMPORARY BUYDOWN	65
AGE OF LOAN DOCUMENTATION	65
MORTGAGE INSURANCE.....	66
DAILY SIMPLE INTEREST	66
GEOGRAPHIC RESTRICTIONS.....	66
ALTERNATIVE LOAN PROGRAM ANALYSIS.....	66
ESCROW WAIVERS	67
EXCEPTIONS.....	67
COMPLIANCE	68
HIGHER PRICED MORTGAGE LOANS (HPML).....	68
STATE AND FEDERAL HIGH COST LOANS	69
NEW YORK SUBPRIME LOANS	69
PREPAYMENT PENALTIES, POINTS, AND FEES	70
PRINCIPAL CURTAILMENT	70
MAXIMUM INTEREST CREDIT.....	71
OCCUPANCY TYPES	71
PRIMARY RESIDENCE	71
SECOND HOME.....	71
INVESTMENT PROPERTY & BUSINESS PURPOSE LOANS.....	71
TRANSACTION TYPES.....	72
PURCHASE.....	72
REFINANCE GENERAL	72
BENEFIT TO BORROWER (REFINANCE GENERAL)	72
RATE & TERM REFINANCE.....	73
DETERMINING LOAN TO VALUE (R/T)	74
PROPERTIES LISTED FOR SALE (R/T)	74
CASH-OUT REFINANCE (C/O).....	74
ELIGIBILITY REQUIREMENTS (C/O).....	74
OWNERSHIP REQUIREMENTS (C/O)	75
SEASONING (C/O).....	75
DETERMINING LOAN TO VALUE (C/O).....	75
PROPERTIES LISTED FOR SALE (C/O)	76
DELAYED FINANCING (C/O).....	76
DEBT CONSOLIDATION (D/C).....	77
DETERMINING LOAN TO VALUE (D/C)	77
PROPERTIES LISTED FOR SALE (D/C).....	77
ASSUMABILITY	78
FLIP TRANSACTIONS.....	78
NON-ARM'S LENGTH TRANSACTIONS.....	79
INHERITED PROPERTIES AND PROPERTY BUYOUTS.....	80

LAND CONTRACT/CONTRACT FOR DEED.....	80
LEASE WITH PURCHASE OPTION	80
PERMANENT FINANCING FOR NEW CONSTRUCTION	81
SUBORDINATE FINANCING	81
NEW YORK CEMAS	82
FOREIGN NOTARIES	82
CITIZENSHIP	83
U.S. CITIZENS	83
PERMANENT RESIDENT ALIENS	83
DACA.....	83
TEMPORARY PROTECTED STATUS	83
NON-PERMANENT RESIDENT ALIENS (NPRA).....	83
EMPLOYMENT AUTHORIZATION (NPRA).....	84
VISA (NPRA)	84
FOREIGN NATIONALS	85
EXCLUSIONARY LIST/OFAC/DIPLOMATIC IMMUNITY	86
BORROWERS.....	86
CUSTOMER IDENTIFICATION (CIP)	86
FRAUD REPORT AND BACKGROUND CHECK	86
INELIGIBLE BORROWERS	87
CO-BORROWERS	87
NON-OCCUPANT CO-BORROWERS.....	87
FIRST TIME HOMEBUYER (FTHB).....	87
EMPLOYEE LOANS.....	88
POWER OF ATTORNEY	88
VESTING AND OWNERSHIP	88
FEE SIMPLE OWNERSHIP	88
INTER VIVOS REVOCABLE TRUST	89
ENTITY VESTING.....	90
REQUIREMENTS – ENTITY VESTING.....	90
DOCUMENTATION – ENTITY VESTING	90
SIGNATURE REQUIREMENTS – ENTITY VESTING	91
LEASEHOLD ESTATES (LH)	93
LEASE REQUIREMENTS (LH)	93
ADDITIONAL ELIGIBILITY REQUIREMENTS (LH)	94
ESTABLISHING LAND PURCHASE PRICE (LH).....	94
CREDIT	95
EQUAL CREDIT OPPORTUNITY ACT, FAIR HOUSING ACT & STATE FAIR LENDING LAWS.....	95
CREDIT REPORT – U.S. CREDIT	95
FOREIGN CREDIT	95
FRAUD ALERTS	96
CREDIT REPORT SECURITY FREEZE.....	96
CREDIT INQUIRIES.....	96

UPDATED PAYMENT HISTORIES	97
PAST DUE ACCOUNTS	97
CREDIT RESCORING	97
GAP CREDIT REPORT	97
CREDIT SCORE REQUIREMENTS	97
TRADELINE REQUIREMENTS	99
STANDARD TRADELINES	100
LIMITED TRADELINES	100
NON-TRADITIONAL CREDIT	100
HOUSING HISTORY	100
HOUSING HISTORY VERIFICATION (NON – DSCR)	101
HOUSING HISTORY VERIFICATION (DSCR ONLY)	101
BALLOON MORTGAGES WITH AN EXPIRED MATURITY	102
INCOMPLETE HOUSING HISTORY (NON-DSCR)	102
RENT FREE (NON-DSCR)	102
EVIDENCE OF PRIMARY RESIDENCE AND RENT-FREE SCENARIO (DSCR ONLY)	102
HOUSING EVENTS AND PRIOR BANKRUPTCY	103
SEASONING (HOUSING EVENT / BANKRUPTCY)	103
WRITTEN EXPLANATIONS FOR DEROGATORY CREDIT	104
LIABILITIES	104
INSTALLMENT DEBT	104
REVOLVING DEBT	104
AUTHORIZED USER ACCOUNTS	105
BUSINESS DEBT	105
CHILD SUPPORT, ALIMONY OR MAINTENANCE OBLIGATIONS	105
COLLECTIONS AND CHARGE-OFFS	106
CONSUMER CREDIT COUNSELING SERVICE (CCCS)	106
CONTINGENT LIABILITIES	107
CURRENT RESIDENCE PENDING SALE	107
DEBTS PAID BY OTHERS	107
DELINQUENT CREDIT BELONGING TO EX-SPOUSE	107
DISPUTED ACCOUNTS	108
JUDGMENTS, LIENS AND IRS TAX REPAYMENT PLANS	108
LAWSUIT/PENDING LITIGATION	109
LEASE OBLIGATIONS	109
MATERIAL RECURRING NON-DEBT OBLIGATIONS	109
OPEN 30-DAY CHARGE ACCOUNTS	109
RETIREMENT/SAVINGS PLAN LOANS	110
STUDENT LOANS	110
TIMESHARES	110
UNDISCLOSED DEBTS	110
EMPLOYMENT	110

EMPLOYMENT HISTORY	110
FREQUENT JOB CHANGES	111
GAPS IN EMPLOYMENT	111
EMPLOYMENT AND BUSINESS VERIFICATION	111
WRITTEN VERIFICATION OF EMPLOYMENT (WVOE).....	111
VERBAL VERIFICATION OF EMPLOYMENT (VVOE)	111
VERIFICATION OF SELF- EMPLOYMENT	112
INCOME GENERAL.....	112
UNACCEPTABLE INCOME	112
FULL DOCUMENTATION.....	112
WAGE EARNERS (FULL DOC)	112
FEDERAL INCOME TAX RETURNS (FULL DOC).....	113
IRS 4506-C TAX TRANSCRIPTS (FULL DOC)	113
SELF-EMPLOYMENT INCOME (S/E FULL DOC)	113
STABILITY AND CONTINUANCE OF SELF-EMPLOYMENT (S/E FULL DOC).....	113
CASH FLOW ANALYSIS (S/E FULL DOC).....	114
QUALIFYING INCOME (S/E FULL DOC).....	114
SOLE PROPRIETORSHIP (S/E FULL DOC).....	114
PARTNERSHIPS (S/E FULL DOC).....	115
CORPORATIONS (S/E FULL DOC)	115
S CORPORATIONS (S/E FULL DOC).....	115
1099 INCOME (FULL DOC)	116
ALTERNATIVE DOCUMENTATION (ALT DOC)	117
COMBINATION OF OTHER INCOME SOURCES (ALT DOC)	117
BANK STATEMENT GENERAL REQUIREMENTS (ALT DOC)	117
BANK STATEMENT ANALYSIS.....	118
UNDERWRITING NSFS.....	119
PERSONAL BANK STATEMENTS (ALT DOC)	120
CALCULATING QUALIFYING INCOME.....	121
CO-MINGLED ACCOUNTS	121
BUSINESS BANK STATEMENTS (ALT DOC)	121
CALCULATING QUALIFYING INCOME.....	122
OPTION 1: 50% EXPENSE RATIO	122
OPTION 2: THIRD PARTY P&L EXPENSE STATEMENT	122
OPTION 3: THIRD-PARTY PREPARED EXPENSE STATEMENT.....	122
P&L PLUS 2 MONTHS BANK STATEMENTS (ALT DOC)	122
P&L ONLY (ALT DOC)	123
CPA/TAX PREPARER'S VERIFICATION.....	123
IRS FORM 1099 (ALT DOC)	123
ASSET UTILIZATION (ALT DOC)	124
QUALIFIED ASSETS.....	124
WRITTEN VERIFICATION OF EMPLOYMENT (WVOE) (ALT DOC).....	124

OTHER INCOME	125
RENTAL INCOME (NON – DCSR)	125
RENTAL INCOME ON THE FEDERAL TAX RETURNS	125
RENTAL INCOME NOT ON FEDERAL TAX RETURNS	126
SHORT TERM RENTAL (NON DSCR)	126
ANNUITY INCOME	127
AUTOMOBILE ALLOWANCE	127
BONUS AND OVERTIME	127
CAPITAL GAINS	127
CHILD SUPPORT, ALIMONY OR MAINTENANCE INCOME	128
COMMISSION INCOME	128
DECLINING INCOME	129
DISABILITY INCOME	129
DIVIDEND/INTEREST INCOME	129
EMPLOYMENT BY A RELATIVE	130
FOREIGN INCOME	130
FOSTER CARE INCOME	130
HOURLY WAGES	130
LUMP-SUM DISTRIBUTIONS	131
MINISTER/CLERGY INCOME	131
NON-TAXABLE INCOME	131
NOTES RECEIVABLE INCOME	131
PART-TIME/SECOND JOB INCOME	132
PENSION/RETIREMENT	132
PROOF OF CONTINUANCE	132
FORTHCOMING RETIREMENT	132
PUBLIC ASSISTANCE	132
RESTRICTED STOCK UNITS (RSU)	133
SEASONAL INCOME	133
SOCIAL SECURITY INCOME	134
TEACHER INCOME	134
TIPS AND GRATUITIES	134
TRAILING SPOUSE OR CO-BORROWER INCOME/RELOCATION	134
TRUST INCOME	134
UNEMPLOYMENT COMPENSATION	135
VA SURVIVORS' BENEFITS/DEPENDENT CARE	135
RESIDUAL INCOME	135
RATIOS AND QUALIFYING	136
DEBT TO INCOME RATIO (DTI)	136
NON – QM PRODUCT TERMS	136
DSCR PRODUCT TERMS	137
ASSETS	137
ASSET DOCUMENTATION	138
FOREIGN ASSETS	138

OTHER ASSETS.....	139
BORROWED FUNDS SECURED BY AN ASSET	139
COLLEGE SAVINGS ACCOUNT – 529 PLAN	139
EARNST MONEY/CASH DEPOSIT ON SALES CONTRACT	140
EMPLOYER ASSISTANCE	140
GIFT FUNDS	140
GIFT OF EQUITY	142
INTERESTED PARTY CONTRIBUTIONS.....	142
LIFE INSURANCE	143
NET PROCEEDS FROM SALE OF REAL ESTATE.....	143
CRYPTO CURRENCY	143
RENT CREDIT FOR LEASE WITH PURCHASE OPTION (RENT TO OWN)	143
RETIREMENT ACCOUNTS.....	144
SALE OF PERSONAL ASSETS	144
SPOUSAL ACCOUNTS	144
STOCK OPTIONS.....	145
STOCKS, BONDS, AND MUTUAL FUNDS	145
TRUST ACCOUNTS.....	145
UNACCEPTABLE FUNDS.....	145
RESERVES.....	146
APPRAISALS	146
APPRAISAL REQUIREMENTS	146
APPRAISAL INDEPENDENCE POLICY STATEMENT	147
APPRAISAL TRANSFER POLICY	147
REQUEST FOR APPRAISAL RECONSIDERATION	148
ORDERING / AUTHORIZING A SECOND APPRAISAL	148
CHARGES FOR SECOND APPRAISAL OR INSPECTION	149
UNIFORM RESIDENTIAL APPRAISAL REPORT (URAR).....	149
APPRAISAL REPORT REQUIREMENTS.....	149
APPRAISER QUALIFICATIONS	150
ELECTRONIC SUBMISSION OF APPRAISAL REPORT	151
AGE OF APPRAISAL AND APPRAISAL UPDATES	151
APPRAISAL REVIEW PROCESS.....	151
APPRAISAL REVIEW TOLERANCE	152
DECLINING MARKETS	152
PROPERTY CONSIDERATIONS	152
MINIMUM PROPERTY STANDARDS	152
ACCESSORY DWELLING UNITS (ADU)	153
RENTAL INCOME ON ADU.....	153
DAMPNESS.....	153
DEED RESTRICTIONS.....	153
DEFERRED MAINTENANCE	154
ESCROW HOLDBACKS	154
FLOOD ZONES	154
FOUNDATION SETTLEMENT.....	154

HEATING SYSTEMS.....	155
LAND VALUE AND ACREAGE.....	155
MIXED-USE PROPERTIES (PRIMARY RESIDENCE).....	155
MODULAR HOMES.....	156
MULTIPLE DWELLINGS ON ONE LOT.....	156
MULTIPLE PARCELS.....	156
PEST INFESTATION.....	157
NEW CONSTRUCTION.....	157
PRIVATE ROADS.....	157
PUD (PLANNED UNIT DEVELOPMENT).....	157
RURAL PROPERTIES.....	158
SOLAR PANELS.....	158
UNCONVENTIONAL FLOOR PLANS.....	160
UNPERMITTED ADDITIONS.....	160
WATER SUPPLY.....	160
ZONING AND LAND-USE REGULATIONS.....	160
PROPERTY TYPES.....	161
CONDOMINIUMS - GENERAL.....	162
GENERAL CONDOMINIUM REQUIREMENTS (CONDO).....	162
PROJECT INSURANCE (CONDO).....	162
UNIT SQUARE FOOTAGE (CONDO).....	162
RIGHT OF FIRST REFUSAL / SUPERIOR LIEN RIGHTS (CONDO).....	162
CONDO TYPES (CONDO).....	162
ESTABLISHED VS NEW PROJECT (CONDO).....	163
WARRANTABLE VS NON-WARRANTABLE (CONDO).....	163
REVIEW TYPES (CONDO).....	164
MINIMUM DOCUMENTATION REQUIREMENTS (CONDO).....	164
PROJECT REVIEW EXPIRATION DATES (CONDO).....	164
PROJECT REVIEW WAIVER.....	165
WARRANTABLE CONDOMINIUMS (W/CONDO).....	165
WARRANTABLE CONDOMINIUM INSURANCE REQUIREMENTS (W/CONDO).....	165
LIMITED REVIEW AND FNMA APPROVED PROJECTS.....	165
MINIMUM DOCUMENTATION REQUIREMENTS.....	165
FNMA APPROVED PROJECTS, TYPE T.....	165
LIMITED REVIEW ELIGIBILITY REQUIREMENTS, PROJECT TYPE Q.....	166
LIMITED REVIEW AND OCCUPANCY.....	166
FULL REVIEW.....	166
NEW PROJECTS.....	167
NEW PROJECT ELIGIBILITY REQUIREMENTS.....	167
NON-WARRANTABLE CONDOMINIUMS.....	168
MAXIMUM CONCENTRATION EXPOSURE – NON WARRANTABLE CONDO.....	169
THIRD PARTY OWNED AMENITIES, MANDATORY CLUB DUES.....	169
PROJECTS IN LITIGATION.....	169

COMBINED UNITS	169
NEW PROJECTS.....	169
INELIGIBLE PROJECTS	170
PROJECTS IN NEED OF CRITICAL REPAIRS.....	171
SPECIAL ASSESSMENTS	172
INSPECTION REPORTS	173
SITE CONDOMINIUMS	173
COOPERATIVES (CO-OP).....	174
CO-OP PROJECT REQUIREMENTS.....	174
CO-OP CALCULATING THE LTV RATIO	174
CO-OP LOAN DOCUMENTATION REQUIREMENTS.....	174
DELEGATED CORRESPONDENT RESPONSIBILITIES (CO-OP)	175
MANUFACTURED HOUSING	176
CONDOTELS	176
ADDITIONAL CONDOTEL REQUIREMENTS.....	177
DISASTER AREAS	177
PROPERTY APPRAISED PRIOR TO DISASTER INCIDENT.....	177
PROPERTY APPRAISED AFTER DISASTER INCIDENT	178
DISASTER INCIDENT OCCURS AFTER CLOSING, PRIOR TO FUNDING.....	178
DISASTER EFFECTIVE TIME PERIOD	178
PROPERTY INSURANCE	178
HAZARD INSURANCE	178
MINIMUM HAZARD INSURANCE COVERAGE.....	178
DETERMINING THE AMOUNT OF REQUIRED HAZARD COVERAGE	179
DEDUCTIBLE AMOUNT.....	179
EVIDENCE OF HAZARD INSURANCE	179
OPTIONAL COVERAGE.....	180
RENT LOSS INSURANCE (DSCR)	180
CONDOMINIUM AND PUD PROJECT INSURANCE REQUIREMENTS	180
CONDO PROJECTS	180
PUD PROJECTS	180
COVERAGE REQUIREMENTS	180
SPECIAL COVERAGE REQUIREMENTS.....	181
REQUIRED COVERAGE AMOUNT	181
POLICIES COVERING MULTIPLE PROJECTS	182
DEDUCTIBLE AMOUNT.....	182
GENERAL LIABILITY COVERAGE.....	182
FIDELITY BOND COVERAGE	182
NON-WARRANTABLE CONDO INSURANCE ALLOWANCES.....	183
FLOOD INSURANCE.....	184
FLOOD CERTIFICATE	184
MINIMUM FLOOD INSURANCE COVERAGE	185

ACCEPTABLE FLOOD INSURANCE POLICIES	185
PROJECT FLOOD INSURANCE REQUIREMENTS.....	185
DEDUCTIBLE AMOUNT.....	185
EVIDENCE OF FLOOD INSURANCE.....	185
NAMED INSURED FOR PROPERTY AND FLOOD INSURANCE.....	186
NOTICE OF CANCELLATION FOR PROPERTY INSURANCE	186
MORTGAGEE / LOSS PAYEE CLAUSE.....	186
LOSS PAYEE CLAUSE.....	186
MORTGAGEE CLAUSE REQUIREMENTS BY PROPERTY TYPE.....	187
TITLE INSURANCE.....	187
TITLE POLICY REQUIREMENTS.....	187
BORROWER INFORMATION	187
COVERAGE AMOUNT.....	187
INSURED NAME	188
AGE OF REPORT	188
VESTING.....	188
GAP COVERAGE.....	188
TITLE POLICY FORMS	188
TITLE POLICY UNDERWRITER.....	188
TITLE COMMITMENT REVIEW.....	189
CHAIN OF TITLE.....	189
TITLE EXCEPTIONS.....	189
SURVEY REQUIREMENTS.....	190
TEXAS HOME EQUITY LOANS (CASH-OUT REFI TEXAS).....	190
TEXAS HE - SELLER CERTIFICATION	190
TEXAS HE - GENERAL REQUIREMENTS.....	191
TEXAS HE - LOAN PARAMETERS.....	191
TEXAS HE - RESTRICTIONS.....	191
TEXAS HE - OCCUPANCY	192
TEXAS HE - BORROWERS.....	192
TEXAS HE - NON-BORROWING SPOUSE	192
TEXAS HE - REFINANCING AN EXISTING HOME EQUITY LOAN.....	193
TEXAS HE - 12-DAY COOLING OFF PERIOD	194
TEXAS HE - PAYOFF OF DEBT.....	194
TEXAS HE - SECONDARY FINANCING	194
TEXAS HE - PROPERTY CHARACTERISTICS	194
TEXAS HE - URBAN AND RURAL HOMESTEAD DEFINITIONS	195
TEXAS HE - ATTORNEY REVIEW	195
TEXAS HE - CLOSING DISCLOSURE AND FINAL LOAN APPLICATION.....	196
TEXAS HE - POINTS AND FEES	196
TEXAS HE - POWER OF ATTORNEY	196
TEXAS HE - SURVEY.....	196
TEXAS HE - TITLE.....	197
TEXAS HE - DOCUMENTS	197
FORMS AND TOOLS	198



CHANGE HISTORY	199
----------------------	-----



INTRODUCTION

NQM Funding, LLC ("NQM Funding or NQMF") is a licensed mortgage lender (except in Hawaii). Our Corporate headquarters are located at 4800 North Federal Highway, Building E, Suite 200 in Boca Raton, FL 33431.

The business we generate is primarily through relationships with lenders, brokers, real estate agents, and builders. We promote customer relationships and have elected to recruit and hire a team of mortgage professionals with existing relationships and are seeking to work for a company with a strong back-end support system and experienced operations and secondary market acumen.

FAIR LENDING STATEMENT

NQM Funding believes making a loan to a borrower is more than just a business transaction. NQM Funding, LLC wants to make loans that are good for the borrower as well as compliant with the housing industry laws and regulations.

Steps taken to ensure compliance with responsible lending practices include but are not limited to:

- Spot checks during Production which may occur at any time.
- Validation during the closing process regarding correct disclosures, LE, fees, etc. to comply with RESPA requirements.
- HMDA reporting is completed as required and reviewed periodically throughout the year to ensure no negative or predatory trends are emerging.

Announcements are utilized to communicate changes in requirements.

RESPONSIBLE LENDING STATEMENT

The primary focus of our lending program is the borrower's ability to repay the mortgage obligation. Loans originated or purchased by NQMF should be affordable to the borrower in his or her pursuit of homeownership.

Under the general Ability-to-Repay (ATR) standard, lenders must make a reasonable, good-faith determination that the consumer has a reasonable ability to repay the loan. Lenders must verify information using third-party records that provide reliable evidence of income or assets.

If a loan is subject to the ATR rules under the Federal Truth in Lending Act ("TILA"), lenders must consider eight underwriting factors to comply:



- Current or expected income or assets (other than the value of the property that secures the loan) that the consumer will rely on to repay the loan.
- Current employment status (if you rely on employment income when assessing the consumer's ability to repay)
- Monthly mortgage payment for this loan.
- Monthly payment on any simultaneous loans secured by the same property.
- Monthly payments for property taxes and insurance that you require the consumer to buy, and certain other costs related to the property such as homeowner's association fees or ground rent.
- Debts, alimony, and child support obligations
- Monthly debt-to-income ratio or residual income
- Credit history

NQM Funding, LLC will not purchase a loan subject to the ATR requirement under TILA unless it meets the requirements of the rule. Certain loans may be exempt from TILA or otherwise exempt from the ATR rule. In those cases, though NQM Funding, LLC may choose to purchase a loan that does not adhere to the formal requirements of the ATR rule. NQM Funding, LLC, will only purchase loans that the applicant appears able to afford based on application of prudent underwriting standards.

ZERO TOLERANCE – FRAUD

All employees, independent contractors, brokers and lender partners of NQM Funding are fully responsible for the content and quality of each application and all data on those applications taken and submitted to NQM Funding.

The price paid by those who participate in or are impacted by loan fraud is even more costly, impacting borrowers, family members, neighborhoods, and the nation's overall economy. If a borrower cannot legitimately qualify for a loan or afford a particular property, it is a disservice to encourage or enable them to buy a property they cannot afford and may lose to foreclosure. Closing a loan for a borrower, without verifying they can afford it, is considered predatory lending.

Potential consequences that may be incurred by an employee or company found or suspected of being a participant in a fraudulent loan transaction include:

- Criminal prosecution including time in jail.
- Loss of License(s).
- Loss of lender access due to industry exchange of information between lenders, mortgage insurance companies including submission of information to investors (Fannie Mae/Freddie Mac), police agencies, and state licensing agencies.
- Loss of approval status and potential civil action by NQM Funding, LLC.
- Civil action by applicant/borrower or other parties to the transaction.

NQM Funding, LLC will not tolerate loan fraud. NQM Funding stands behind the quality of its loan production and expects any of our associates and employees to do the same. NQM Funding practices a zero-tolerance policy of any predatory lending, loan fraud and/or misrepresentation.



We perform pre-funding , post-funding file reviews, and data integrity reverification to ensure the loan meets quality standards.

EXPOSURE

NQMF uses the following to track exposure to “individual borrower which includes entities and guarantors” by social security number or EIN number.

Exposure limits are as follows:

- All Programs except Investor DSCR – No Ratio, the limits are capped at the lesser of the amounts listed below.
 - Max \$10M or 10 loans in aggregate
 - Max \$5M or 5 any cash-out transaction & DSCR Multi- Mixed Program loans.
- Investor DSCR No Ratio:
 - Max \$ 7.5M or 10 loans in aggregate
 - Maximum \$5M or 5 cash-out transactions

GUIDELINES AND PROGRAMS

NQM Funding offers a wide variety of Programs as described below.

GUIDELINES

These NQM Funding, LLC Underwriting Guidelines (“the Guidelines”) coupled with each of the Program Matrices for the Programs listed below (“Matrix or Matrices”), provide the comprehensive requirements for NQM Lending, LLC to close or purchase a loan.

The Program descriptions within these Guidelines mirror the Program Matrices except for Geographic Restrictions (See [Geographic Restrictions](#)) and the LTV / Loan Amount / Credit Score Combinations.

Where these Guidelines are silent, defer to FNMA Guidelines.

NON-QM PROGRAMS

- Flex Supreme
- Flex Select (including Express - DU)
- Super Jumbo
- Select ITIN
- Foreign National
- Second Lien Select

DSCR PROGRAMS

- DSCR Supreme
- Investor DSCR
- Investor DSCR No-Ratio
- Multi & Mixed (Mixed-Use 2-8 Units and Residential 5-10 Units)

Note:

Foreign Nationals:

- Foreign Nationals are eligible for DSCR (excluding Multi & Mixed) under the Foreign National Program
 - For Multi & Mixed-Use properties see the Multi & Mixed Program

NON-QM PROGRAMS

FLEX SUPREME OVERVIEW

The Flex Supreme Program is designed for the most qualified borrowers from an income and credit standpoint, with less complex transactions. Refer to the Flex Supreme Matrix for LTVs, minimum and maximum loan amounts, etc.

FLEX SUPREME - GENERAL REQUIREMENTS

Exceptions	• Not Permitted
Product Type	• 30 Year Fixed Fully Amortizing • 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) • 5/6 & 7/6 SOFR ARMs - Fully Amortizing only, qualify at higher of fully indexed
Interest Only	• Minimum 700 credit score and Max 75% LTV. First Time Homebuyers are ineligible
Loan Amounts	• Minimum \$100,000 and Max \$3,000,000
2-1 Buydown	• Not permitted
Occupancy	• Primary Residence, Second Homes, and Investment Properties
Loan Purpose	• Purchase, Rate & Term Refinance, and Cash Out Refinance
Cash Out Refinance	• Minimum of 6 (six) months seasoning from most recent transaction. • ≤ 70 LTV: Unlimited and > 70 LTV: \$500,000 • Refinance of an existing Texas 50(a)(6), Texas Section 50(a)(4) and Texas Section 50(a)(3) are ineligible. • Not permitted in declining markets
Interested Party Contributions	• Primary Residence and Second Homes: ◦ $\leq 75\%$ LTV = 9% ◦ $> 75\%$ = 6% • Investment Properties: ◦ Max 6%
	• Non-Arm's Length transactions • Non-Occupant co-borrowers on Second Home and Investment Properties

Ineligible Transactions	• Delayed Financing • Flip transactions (Seller on title < 180 days) unless they are a national / regional builder • Cash Out Refinance in a declining market • Refinances of properties listed for sale in the previous 6 months (based on the application date) • Refinances of existing Texas Section 50(a)(6), Texas 50(f)(2) and Texas Section 50(a)(3) loans • Escrow Holdbacks • A transaction paying off an Installment Land Contract • Title held in Tenants in Common with unequal ownership • Community Land Trusts
Subordinate Financing	• Permitted on Primary Residence and Second Homes
Escrow Waivers	• Waiver of escrows is permitted as follows: ○ Primary Residence and Second Homes only ○ Loan must be non-HPML ○ Housing History: 0x30x12 is required ○ CA: Minimum score 700 • *Waiver of escrows is not permitted on the following: ○ Flood Insurance premiums for properties located in zones A or V ▪ Taxes and hazard escrows can be waived provided the escrow waiver requirements are met and the loan is priced with an escrow waiver. *Elective flood insurance policies for properties not located within a flood map/zone which do not require flood insurance coverage, are not required to be escrowed.
Prepayment Penalty	• Required where permitted for Investment Properties . Refer to the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal. • Not permitted on Primary Residence or Second Homes
Age of Loan Documentation	• Credit: 120 days • Income and Assets: 90 days

FLEX SUPREME - BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident (U.S. credit only) H1B and L1 Visas only; Max 75% LTV • Non-Occupant Co-Borrowers • First Time Homebuyer (FTHB)	<u>Ineligible:</u> • ITINs • DACA • Foreign Nationals
Non-Occupant Co-Borrower	• Permitted for Primary Residence only • Max Total DTI 43% • Max 65% DTI for occupying borrower • Cash Out not permitted • Non-occupant co-borrower must be a relative • Rate & Term Refinance (non-occupant co-borrower must be on current loan) • Max Loan Amount \$1,000,000	

First Time Homebuyer (FTHB)	• 1-Unit Primary Residence only • 0x30x24 rental history • Max DTI <= 43% • Minimum 7-years seasoning for credit events • Interest Only not permitted • At least 1 borrower must have a 24 month rental history • When at least one borrower has owned a residential property in the prior 3 years, the FTHB requirements do not apply
------------------------------------	---

FLEX SUPREME - CREDIT REQUIREMENTS

Credit Score	• Minimum credit score of 680 is required • A minimum of 2 credit scores is required (Refer to Tradelines) • The Representative Credit Score is based on the primary wage earners'* credit score qualify as follows: ◦ Highest middle of 3 credit scores or lower of 2 credit scores • Additional borrowers must have a minimum 600 score if not the primary wage earner. * For Asset Utilization use the highest Representative Score of all borrowers
Tradelines	• Tradeline requirements are not waived when the Primary borrower has 3 credit scores • Each borrower must have a minimum of 3 traditional tradelines rated for at least 12 months, OR 2 trades reporting for 24+ months, OR 24-month mortgage history reporting on credit • Guidance around tradeline eligibility: ◦ Trades must reflect an acceptable payment history with no more than 0x30x12 and minor delinquency permitted in months 13-24 ◦ Closed accounts may be used to satisfy the minimum tradeline requirements if payment history is acceptable (provided it was closed in the last 12 months) ◦ Deferred accounts (w/o payment history) cannot be used to meet the minimum requirement ◦ Borrowers who do not meet the requirements above are ineligible for this Program (may be considered under another Program)
Housing History	• 0x30x12 • First Time Homebuyer 0x30x24
Credit/Housing Events	• Borrowers with prior significant derogatory credit events must meet the following criteria: ◦ Max DTI 43% ◦ All borrowers must have reestablished acceptable credit verified after the credit event ◦ Borrowers with unrelated multiple significant credit events are ineligible ◦ Minimum 4 years seasoning required ◦ First time homebuyer >= 7 years seasoning required

FLEX SUPREME - DTI AND RESIDUAL REQUIREMENTS

Max DTI	• 50% • When DTI is > 43% and credit score of >= 740 is required • First Time Homebuyer (FTHB) Max 43% • Non-Occupant Co-Borrower Max 43% • Borrowers with prior Housing or Credit Event Max 43%
Residual Income	• Applies to HPML loans or when the DTI > 43% on Primary Residence and Second Homes only • Defined as Gross Monthly Income less Total Monthly Obligations

	- Requirement based on # in household: 1 person = \$1,500 2 persons = \$2,500 - Add \$150 per additional household member (related or unrelated)
FLEX SUPREME - INCOME REQUIREMENTS	
Self-Employment	Borrowers must have a minimum of 2 years in the current business
Secondary Income	- Secondary income combined with primary source of income: - Additional income sources cannot represent more than 50% of the total qualifying income
Full Doc - Income Requirements	
Wage Earners	30 days of paystubs reflecting YTD earnings, 1 or 2 years W-2 or an electronic verification of employment, W-2 transcripts and a fully executed and signed IRS Form-4506C
Self-Employment	1 or 2 years of personal and business tax returns (including K-1s), YTD P&L, Tax Transcripts, 2 months of most recent personal or business bank statements to support the income on the P&L
Rental Income	- Rental income on the Tax Returns: - When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent year's income will be used for qualifying - Cash flow Analysis of the Schedule E should be completed - Rental Income NOT on the Tax Returns: - Evidence of borrower's ownership of the property - For a refinance and/or to document rental income on other REOs: - Lease agreement - Two months of bank statements demonstrating receipt of rental income. - Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source. 75% of the rental amount on the lease is used for qualifying.
Alt Doc - Income Requirements	
Personal Bank Statements	12 or 24 months of personal and 2 months of business bank statements - Qualifying income is determined by the total eligible deposits from the 12 or 24 months of personal statements divided by the number of statements - Business bank statements must reflect business activity and transfers to the personal account. Borrower must have a minimum of 50% ownership in the business, individually or combined with a co-borrower - Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history
Business/Co-Mingled Bank Statements	12 or 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: - Fixed Expense Ratio (50%); OR - Expense ratio provided by a third party (CPA or EA) min ratio of 20%, OR - Third party prepared Profit & Loss Statement (CPA or EA) min ratio of 20% - Borrower must have a minimum of 50% ownership in the business, individually or combined with a co-borrower

	• Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history
IRS Form 1099	• Borrowers receiving 1099 income are eligible if they are individuals paid via 1099 but are not business owners of the entity issuing the 1099; and meet the required 2 most recent consecutive full years of employment with the same employer(s) • 1 or 2 Years' 1099 • Fixed Expense Ratio of 10% • YTD documentation to support continued receipt of income from each employer or NQMF VOE when 1099 is > 90 days from the Note date • Not permitted for Investment Properties
Asset Utilization (Standalone only)	• May not be used as supplemental income • Not permitted for Investment Properties • Qualified Assets must be seasoned for 3 months • Monthly Income Calculation: ◦ Net Qualified Assets / 84 Months • <u>Restrictions:</u> ◦ Cash Out transactions are ineligible ◦ Max LTV must be reduced by 10% • <u>Ineligible Assets:</u> ◦ Business assets ◦ Unseasoned Foreign Assets ◦ Proceeds from sale of real estate which is not seasoned for a minimum of three (3) months ◦ Privately traded or restricted / non-vested stocks

FLEX SUPREME - ASSET AND RESERVE REQUIREMENTS

Assets	• Deposits > 50% of gross income must be documented for purchases. • Business assets may be used when the borrower(s) has 100% ownership of the business; or a borrower has 50% ownership, and their non-borrowing spouse owns the other 50% • Foreign Assets not permitted
Reserves	• <= \$500,000 = 3 months PITIA • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA • > \$2,500,000 to \$3,000,000 = 12 months PITIA • Cash Out proceeds may be used to satisfy reserves. • When asset utilization is the sole source of income, reserves are not required. • All reserves must be deposited in a U.S. Financial Institution.
Gift Funds	• Permitted on 1-unit properties only, provided borrower meets the minimum contribution: ◦ 5% primary ◦ 10% Second Home and Investment Properties • Gift funds may be used for down payment and closing costs: ◦ 100% gift funds may be used for down payment and closing costs on a Primary Residence or Second Home when the LTV is <= 75%. ◦ For Investment Properties, gift funds are permitted after meeting the 10% minimum borrower contribution regardless of LTV. • Gift funds are not permitted to be used towards reserves. • Gifts of equity are ineligible • First Time Homebuyer (FTHB) are eligible provided all the respective requirements are

	met.
--	------

FLEX SUPREME - PROPERTY REQUIREMENTS

Property Type	Single Family, PUD, Townhome (Attached/Detached)	Single Family residences with 1 or more accessory dwelling unit (ADU) are permitted if subject property is in a municipality that allows. The Appraiser must specifically confirm compliance with local regulations and provide a minimum of 2 similar comparables
	2-4 Units	- Max 75% LTV - Not eligible for First Time Homebuyers - Not eligible for Second Homes 2-4 units with 1 ADU allowed if permitted by the local municipality. The appraiser must specifically confirm compliance with local regulations and provide a minimum of 2 similar comparables.
	Condominiums	- Warrantable Condominiums: Max 75% LTV - Limited review not available. - Non-Warrantable Condos and Condotels are not permitted. - Condominium leaseholds not permitted
Rural Properties	- Primary Residence only - Max 70% LTV - Cash-Out not permitted - See acreage below.	
Appraisals	- A second appraisal required for loans > \$2,000,000 - Appraisal Review Product required on all loans with a FNMA SSR over 2.5 except for those with a full second appraisal	
Declining Markets	- Declining markets, as identified by the appraiser, require a 5% LTV reduction off Max LTV - Cash Out Refinance not permitted in Declining Markets	
Acreage	Max 10 acres on Primary Residence and Second Homes; 5 acres on Investment Properties	

FLEX SELECT OVERVIEW

The Flex Select Program is designed to cover the widest range of income documentation types, housing history, and other program specific options. Refer to the Flex Select Matrix for LTVs, minimum and maximum loan amounts, etc.

FLEX SELECT - GENERAL REQUIREMENTS

Exceptions	Permitted except for P&L Only and Express DU
Product Type	40 Year Fixed, 30 Year Fixed, 15 Year Fixed 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) 5/6 SOFR ARM, 30 Year Term – Fully Amortizing 5/6 SOFR ARM I/O, 30 Year Term and 40 Year Term 40 Year products and terms are not permitted for Manufactured Housing - I/O products are not available for Express (DU)
Interest Only (I/O)	- Min Credit Score: 680 - Max LTV: 80% - Max DTI 50% - Not permitted on Manufactured Housing

Loan Amounts	• Minimum: \$125,000 and Max \$3,500,000 • Loan Amounts \$125,000 - \$149,999 require a 5% reduction in LTV
2- 1 Buydown	• Purchase Only • Minimum Score 680 • Max LTV 80% • Max DTI 50% • 30 Year Fixed Only • Qualify using Note Rate • Primary Residence, Second Home and Investment Properties • Seller or Builder Funded Only • Lender Paid or 3rd Party Buydowns are permitted for Correspondent Clients only
Occupancy	• Primary Residence , Second Home, and Investment Property
Loan Purpose	• Purchase, Rate & Term Refinance, Cash Out Refinance, and Debt Consolidation
Cash Out Refinance	• Minimum of six (6) months seasoning from most recent transaction. • Max cash-out (defined as cash in hand): ◦ If LTV <= 60% = Unlimited ◦ If LTV > 60% = Max \$1,000,000 or unlimited with 18 months reserves exclusive of cash back • Condos: Max 75% LTV • Condotel: See Condotel below for LTV limitations.
Interested Party Contributions	• Primary Residence and Second Homes: ◦ <= 75% LTV = 9% ◦ > 75% = 6% • Investment = 6%
Subordinate Financing	• Permitted on Primary Residence and Second Homes only
Escrow Waivers	• Waiving escrows for taxes and insurance* is allowed on non-HPML loans if housing/rental history is 0x30x12, up to 80% LTV ◦ CA: Minimum score 700, up to 90% LTV • Waiver of escrows is not permitted on the following: ◦ Flood Insurance premiums for properties located in zones A or V ◦ Note however that taxes and hazard escrows can be waived provided the escrow waiver requirements are met and the loan is priced with an escrow waiver *Elective flood insurance policies for properties not located within a flood map/zone which does not require flood insurance coverage, are not required to be escrowed.
Prepayment Penalty	• Required on Investment Properties when permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal. • No PPP – permitted Correspondent only
Age of Loan Documentation	• Credit: 120 days • Income and Assets: 90 days

FLEX SELECT - BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Alien • Non-Permanent Resident Alien	<u>Ineligible:</u> • ITINs • DACA • Foreign Nationals
Non-Occupant Co-Borrower	• Primary Residence only • Max DTI Total DTI 50% • No Cash-Out Refi ; Rate & Term Refinance (non-occupant must be on current loan)	

	• Non-occupant co-borrower must be a relative • Max Loan Amount \$1,000,000
First Time Homebuyer (FTHB)	• Permitted to a max loan size of \$1,500,000 on Primary Residence, Second Homes, and Investment Properties

FLEX SELECT - CREDIT REQUIREMENTS

Credit Score	• Minimum credit score 660 is required • The Representative Score is based on the primary wage earners'* credit score, qualify as follows: ◦ Middle of 3 credit scores or lower of 2 credit scores • Additional borrowers must have a minimum credit score of 600 • P&L Only: all borrowers must have a minimum credit score of 700 • * For Asset Utilization use the highest Representative Score for all borrowers
Tradelines	• Tradeline requirements are waived with three (3) credit scores • Spouses may combine trades • Primary borrower has 3 credit scores: or • 2 open and reporting trades 24 months; or • 3 open and reporting trades 12 months; or • 24-months mortgage rating reporting on credit report

Housing History and Housing Event Seasoning Restrictions

Housing History	1x30x12	2 x 30 x 12	0x60x12	0x90x12 Primary Residence Only
BK/FC/SS/DIL/Mod	>= 4 Years	>= 3 Years	>= 2 Years	>= 1 Year
Max LTV/CLTV	90%	80%	70%	65%
Max LTV Cash Out	80%	75%	70%	NA
Max Loan Amount	\$3,500,000	\$3,000,000	\$2,000,000	\$2,000,000

The above chart displays the options available for a borrower that has experienced a housing event and/or housing delinquency. Example: a borrower can have rolling 30 day lates on prior housing in the last 12 months and qualify with a 0x60x12.

FLEX SELECT - DTI AND RESIDUAL INCOME REQUIREMENTS

DTI Requirements	• Max 50% • 40 Year Fixed Must Qualify as a 30 Year at <= 55% DTI. • 55% DTI (>50% to 55%) with the following restrictions: ◦ Minimum credit score 680 ◦ Max 80% LTV ◦ 0x30x12 ◦ Interest-Only is not permitted ◦ Max loan amount \$2,500,000 ◦ 40 Year term not permitted ◦ 4 years seasoning for housing events required ◦ 2-1 Temporary Buydowns are not permitted ◦ Minimum monthly residual income of \$3,500 is required.
Residual Income	• Applies to HPML loans or when the DTI > 43% on Primary Residence and Second Homes only

	• Defined as Gross Monthly Income less Total Monthly Obligations • Requirement based on # in household: ○ 1 person = \$1,500 ○ 2 persons = \$2,500 ○ Add \$150 per additional household member (related or unrelated)
FLEX SELECT - INCOME REQUIREMENTS	
General Requirements	
Self-Employment History	• Self-employment history of >=2 years is required. If self-employment history is < 2 years • Self-employment 18+ months with 3+years prior experience in the same line of business • Self-employed borrowers in a licensed profession (i.e., Medical, Legal, Accounting) will be considered from a business that has been in existence for less than two (2) years, but greater than one (1) year provided the borrower meets the following requirements: ○ Borrower has at least three (3) years of documented previous experience in the same profession, or ○ Evidence of formal education in a related field, and ○ Minimum credit score: 700; Max LTV: 80% Primary Residence / 75% Second Home / 70% Investment Properties
Full Documentation	
Wage Earners	• 30 days of paystubs reflecting YTD earnings, 1 or 2 years W-2 or an electronic verification of employment, W-2 Transcripts and a fully executed and signed IRS Form-4506C
Self-Employment	• 1 or 2 years of personal and business Federal Tax Returns, YTD P&L, Tax Transcripts , 2 months of most recent bank statements to support the income on the P&L
Rental Income	• Rental income on the Tax Returns: ○ When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent years 'income will be used for qualifying ○ Cash flow Analysis of the Schedule E should be completed • Rental Income NOT on the Tax Returns: ○ Evidence of borrower's ownership of the property ○ For a refinance and/or to document rental income on other REOs: ▪ Lease agreement ▪ Two months of bank statements demonstrating receipt of rental income. ▪ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source. ▪ 75% of the rental amount on the lease is used for qualifying
Alt Doc - Income Requirements	
Personal Bank Statements	• 12 or 24 months of personal and 2 months of business bank statements • Qualifying income is determined by the total eligible deposits from the 24 or 12 months of personal statements divided by the number of statements • The business bank statements must reflect business activity and transfers to the personal account
Business/Co-Mingled Bank Statements	• 12 or 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ○ Fixed Expense Ratio (50%); OR ○ Expense ratio provided by a 3rd party (CPA or EA) min ratio of 20%, OR ○ 3rd party prepared Profit & Loss Statement (CPA or EA) min ratio of 20%
P&L Plus 2 Months Bank Statements	• Max 80% LTV • 12 or 24 months P&L; prepared by CPA/EA or PTIN licensed tax preparer

	• CPA/EA/PTIN licensed tax preparer must also attest to having prepared the borrower's most recent tax returns • Verbal verification of P&L is required prior to closing • Qualifying income is the monthly net income from the P&L divided by the number of months covered by the P&L • Depreciation, depletion and amortization/casualty losses listed on the P&L may be added back to the applicant's income • Minimum of 2 months business bank statements • The monthly gross revenue on the P&L must be supported by the bank statements • Minimum expense ratio is 10%	
P&L Only	• Exceptions are not permitted. • Not permitted for borrower's with less than 2 years in the current business • Max Loan Amount \$1,500,000 • 700+ credit score required for all borrowers • Max LTV is the lesser of the LTV on the Program Matrix or: ○ 80% Primary Residence ○ 75% Second Home and Investment Properties • 12 or 24 months P&L prepared by CPA/EA or PTIN licensed tax preparer • Minimum expense ratio is 10% • CPA/EA/PTIN licensed tax preparer must also attest to having prepared the borrower's most recent tax returns • Verbal verification of P&L is required prior to closing. • Qualifying income is the monthly net income from the P&L divided by the number of months covered by the P&L • Depreciation, depletion and amortization/casualty losses listed on the P&L may be added back to the applicant's income	
IRS Form 1099	• 1 or 2 years IRS Form 1099 • Fixed Expense Ratio of 10%	• YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is >90 days from the note date
WVOE	• Maximum loan amount \$1,500,000 • Minimum credit score 680 for Primary Residence max 80% LTV; Second Home and Investment Property max 75% LTV • 0x12x30 housing history is required; borrowers without a housing history are not permitted • Family members or related individuals may not employ borrowers • W2s, Federal Tax Returns, Paystubs, 4506-C are not required • Borrowers may not have any other active source of income; passive income such as rental income may be included • Written Verification of Employment (WVOE) – FNMA 1005 completed with the past 2 years of income/employment. Form must be completed by Human Resources, Payroll, or an Officer of the Company: ○ Two (2) most recent months of bank statements supporting at least 65% of the gross wages reflected in the WVOE ○ Verification of delivery and receipt of the FNMA Form 1005 required ○ One-year history with the same employer with a minimum of two (2) years in the same line of work.	
Asset Utilization	• Qualified Assets must be seasoned for 3 months • Purchase/Rate & Term Refinance:	

	- o > 85%LTV permitted per the matrix provided when the DTI is <=60% without using assets for income • <u>Option 1: DTI calculation:</u> - o When the DTI without Asset Utilization is <= 60%, follow the below calculation when determining the amount of income to use as secondary income - o Monthly Income Calculation: ▪ Net Qualified Assets / 36 Months • <u>Option: 2: DTI calculation:</u> - o When the DTI without Asset Utilization is > 60% or when the borrower's entire income is comprised of income from assets. - o Monthly Income Calculation: ▪ Net Qualified Assets / 60 Months
--	--

FLEX SELECT - ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required • Large deposits > 50% of gross income) must be documented on purchase transactions
Reserves	• <= \$500,000 = 3 months PITIA w/LTV <= 80% • <= \$500,000 = 6 months PITIA w/LTV > 80% • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA • > \$2,500,000 to \$3,500,000 = 12 months PITIA • Cash Out proceeds may be used to satisfy reserves • When Asset Utilization is the sole source of income, reserves are not required
Gift Funds	• Gift funds permitted provided borrower meets minimum contribution: - o 5% primary - o 10% Second Home and Investment Properties • 100% Gift Funds may be used for down payment and closing cost for Primary Residence and Second Home when the LTV U.S. <=to 80% • Investment Properties, gift funds are permitted after meeting the minimum 10% borrower contribution regardless of LTV • Gift funds are not permitted to be used towards reserves • Gift of Equity permitted for Primary Residence only

FLEX SELECT - PROPERTY REQUIREMENTS

Property Types	Single Family, PUD, Townhouse (Attached/Detached)	• Single Family residences with 1 or more accessory dwelling units (ADU) are permitted if subject property is in a municipality that allows. • The Appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables • Refer to 2-4 Units below
	2-4 Units	• Lower of Matrix LTV or max 85% LTV • 2-4 units with 1 ADU are permitted if subject property is in a municipality that allows. • The Appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables
	Condominium	• Warrantable / Non-Warrantable: - o Purchase & Rate & Term Refinance: Max 85% LTV - o Cash Out: 75% LTV - Limited Review Established Condos Outside of Florida (Warrantable)

Property Types (Continued)		LTV/CLTV Limits where the building has 5+ units: ○ Primary Residence 85% ○ Second home and Investment Property 75% • Limited Review <u>Established Condos in Florida</u> (Warrantable) LTV/CLTV Limits: ○ Primary residence 75%/90% ○ Second home and Investment Properties: 70%/75% • Condominium leaseholds not permitted	
	Condotel	<u>Primary Residence</u> • Purchase or Rate & Term Refinance: ○ Lesser of Matrix LTV or Max 85% LTV • Cash-Out: ○ Lesser of Matrix LTV or Max 75%	<u>Second Home & Investment Property</u> • Purchase or Rate & Term Refinance: ○ 700+ credit score; lesser of Matrix LTV or Max 75%LTV ○ 680-699 credit score; lesser of Matrix LTV or Max 70% LTV • Cash Out Refinance: ○ 700+ credit score; lesser of Matrix LTV or Max 65% LTV ○ 680-699 credit score; lesser of Matrix LTV or Max 60% LTV
		• Must have a full kitchen & a separate bedroom. • Must be in a resort area or affiliated with a national hotel chain • Max Loan Amount \$1,500,000	
	Co-ops	• Eligible for the Delegated Correspondent Channel ONLY • Correspondent Clients must use its own Closing Plan Codes ○ Available in New York City - 5 Boroughs ONLY: Bronx, Brooklyn, Manhattan, Queens & Staten Island • Max 80% LTV	
	Manufactured Housing	• Eligible for the Delegated Correspondent Channel ONLY • Correspondent Clients must use its own Closing Plan Codes. • Requirements: ○ Min 20’ wide (Double-wide), min 750+ sq ft, must meet “HUD Code” including being built on a permanent chassis, installed on a permanent foundation, and title as real estate ○ May not be older than 15 years ○ May not be if in need of repairs (as per the appraisal) of more than 5% of the property value • Eligible Transactions: ○ Cash Out not permitted, Primary Residence and Second Home only, minimum credit score 680, Max 80% LTV ○ Investment property and Interest Only loans are not permitted	
Rural Properties	• Rural properties permitted for Primary Residence up to 80% LTV; max 20 acres • Second home and Investment Properties may be considered when the subject has <= 2 acres up to a max LTV of 75%		
Appraisals	• Second appraisal required for loans > \$2,000,000 • Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5, except for those with a full second appraisal		
Declining Markets	• As identified by the appraiser, require a 5% LTV reduction off the matrix when > 65% LTV		

Acreage	• Max 20 acres Primary Residence & Second Home; max 5 acres Investment Properties
FLEX SELECT EXPRESS (DU) - REQUIREMENTS	
Express (DU) Follow Flex Select where silent in this section.	
Underwriting Method	• FNMA DU only • P&L income type is in eligible • Eligible DU Findings – Approve/Eligible and Approve/Ineligible. ◦ Ineligible results are only permitted for items such as loan size, LTV limits, loan purpose or feature. DU cannot be ineligible for a credit event or due to risk factors. • Credit score used to qualify is the credit score from the primary borrower • Extenuating circumstances for derogatory credit are not eligible, i.e., cannot instruct DU to disregard information on credit report(s) to receive an Approve/Eligible • Seller negotiated criteria/variances with FNMA are not eligible • Non -Delegated Correspondents are responsible for providing the DU Findings with the loan submission, and must match the final terms of the loan
LTV/Score Eligibility	• 740-759 credit scores are ineligible for loans with LTV > 85% ; follow standard program requirements
Max Loan Amount & LTV	• Max Loan Amount = \$2,000,000 • Max LTV = 90% LTV (minimum 760 credit score for LTVs > 85%) • > 85% LTV = Max loan amount is \$1,500,000 • First time homebuyer max loan amount \$1,500,000
Interest-Only	• Not permitted
Exceptions	• Not permitted
ITIN	• Not eligible
Non-Occupant Co-Borrower	• Primary Residence only • Purchase and Rate & Term Refinance only (non-occupant must be on the current mortgage for a Rate & Term Refinance refinance) • Non-occupant co-borrower must be a relative • Max 90% LTV • The occupying borrower and non-occupant co-borrower ratios may be blended to a max of 50% DTI • Max loan amount \$1,000,000 • Use the primary borrower's credit score, whether it be the occupant or the non-occupying co-borrower
Credit/Housing Events	• Follow AUS except for housing history must be 0x30x12 and no extenuating circumstances for Bankruptcy or Housing Event
Housing History	• 0x30x12 • DU may waive the requirements for a rental history on certain DU casefiles, documentation is still required to support a 0x30x12 history. It is permissible to allow the waiver of cancelled checks for private party VORs when permitted per DU
Income	• Max DTI: 50% • Follow program documentation requirements • Follow program DTI restrictions • Transcripts required for the number of years of income used to qualify on Full Doc loans • P&L Only not eligible

	Self-employment < 2 years not eligible
Reserves	- LTVs > 85%: - Up to \$1,500,000 with 760+ credit score = 6 months PITIA - LTV <= 85%: - Loans <= \$2,000,000 follow DU Findings - Loans > \$2,000,000 must meet product reserve requirements
Appraisal	Reduced Condo Reviews are not permitted. Appraisal waivers (PIW) are not permitted

SUPER JUMBO OVERVIEW

The Super Jumbo Program is a specialty program for high-net-worth borrowers with solid and stable income and credit, as well as considerable assets to cover down payment, closing costs and reserves. Refer to the Super Jumbo Matrix for LTVs, minimum and maximum loan amounts, etc.

All loans must be approved by the NQM Funding, LLC Credit Committee.

SUPER JUMBO - GENERAL REQUIREMENTS

Exceptions	Not Permitted
Product Type	30 Year Fixed Fully Amortizing 40 Year Fixed IO (10 year I/O period, and remaining term fully amortizing)
Interest Only	Eligible with no additional requirements
Loan Amounts	Min \$3,500,001 – Max \$5,000,000
2-1 Buydown	Not permitted
Occupancy	Primary Residence only
Loan Purpose	Purchase, Rate & Term Refinance and Cash-Out
Cash-Out	- Max cash-out: \$1,500,000 - Cash Out proceeds may not be used to meet reserves
Interested Party Contributions	6%
Subordinate Financing	Not permitted
Escrow Waivers	Not permitted
Prepayment Penalty	Not permitted
Age of Loan Documentation	- Credit: 120 days - Income and Assets: 90 days

SUPER JUMBO - BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> - U.S. Citizens - Permanent Resident Aliens - Non-Permanent Resident Aliens (U.S. credit only)	<u>Ineligible:</u> - ITIN - DACA - Foreign Nationals
Non-Occupant Co-Borrower	Not permitted	

First Time Homebuyer (FTHB)	• Not permitted
------------------------------------	---

SUPER JUMBO - CREDIT REQUIREMENTS

Credit Score	• Minimum credit score 720 for all borrowers • The Representative Score is based on the primary wage earners'* credit score, qualify as follows: ◦ Middle of 3 credit scores or lower of 2 credit scores *For Asset Utilization use the highest Representative Score for all borrowers.
Tradelines	• Tradeline requirements are not waived when the Primary borrower has 3 credit scores • Each borrower must have a minimum of 3 traditional tradelines rated for at least 12 months, OR 2 trades reporting for 24+ months, OR 24-month mortgage history reporting on credit. • Primary borrower has 3 credit scores; OR • Min 2 open & reporting 24 months; OR • 3 open and reporting 12 months; OR • 24-months mortgage rating reporting on credit
Housing History	• 0x30x24
Credit / Housing Events	• 4 years seasoning required

SUPER JUMBO - DTI AND RESIDUAL INCOME REQUIREMENTS

Max DTI	• Max 38%
Residual Income	• Not required

SUPER JUMBO - INCOME REQUIREMENTS

Overall Income Requirements	
Self- Employment	• Borrower must have 2 years in the current business
Full Doc - Income Requirements	
Wage Earners	• 30 days of paystubs reflecting YTD earnings, 1 or 2 years W-2 or an electronic verification of employment, W-2 transcripts and a fully executed and signed IRS Form-4506C
Self-Employment	• Self-Employed: 1 or 2 Years of Personal and Business Federal Tax Returns, Year to date P&L, Tax Transcripts, 2 months of most recent bank statements
Rental Income	• Rental income on the Tax Returns: ◦ When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent year's income will be used for qualifying ◦ Cash flow Analysis of the Schedule E should be completed. • Rental Income NOT on the Tax Returns: ◦ Evidence of borrower's ownership of the property ◦ For a refinance and/or to document rental income on other REOs ◦ Lease agreement ◦ Two months of bank statements demonstrating receipt of rental income. ◦ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source ◦ 75% of the rental amount on the lease is used for qualifying

Alt Doc – Income Requirements	
Personal Bank Statements	• 24 months of personal and 2 months of business bank statements • Qualifying income is determined by the total eligible deposits from the 24 months of personal statements divided by the number of statements • The business bank statements must reflect business activity and transfers to the personal account
Business/Co-Mingled Bank Statements	• 24 months of business bank statements • Qualifying income is determined by ONE of the following analysis methods: ◦ Fixed Expense Ratio (50%); OR ◦ Expense Ratio provided by a 3rd party (CPA or EA) min ratio of 20%, OR ◦ 3rd party prepared Profit & Loss Statement (CPA or EA) min ratio of 20%
Asset Utilization	• Allowed as sole source of income only • Assets must be seasoned for 3 months ◦ Monthly Income Calculation: ▪ Net Qualified Assets /84 Months

SUPER JUMBO – ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required
Reserves	• > \$3,500,000 to \$4,000,000: 12 months min PITIA reserves • > \$4,000,000 to \$5,000,000: 18 months min PITIA reserves • Cash-Out proceeds may not be used to meet reserves
Gift Funds	• Permitted after 20% minimum borrower contribution towards down payment, closing costs, prepaids; and reserves must be met from Borrower's own funds

SUPER JUMBO – PROPERTY REQUIREMENTS

Property Types	Single Family 1-Unit, PUD, Townhouse (Attached/ Detached)	• Single Family residences may have a max of 1 accessory dwelling unit (ADU) are permitted if subject property is in a municipality that allows. • The Appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables
	Condo (Warrantable/ Non-Warrantable)	• Permitted; no additional restrictions • Condominium leaseholds are not permitted
Rural Properties	• Not permitted	
Appraisal Requirements	• Two (2) Full Appraisals (interior/exterior)	
Declining Markets	• Purchase and Rate & Term Refinance: the lesser of matrix LTV or max 65%. • Cash-Out: the lesser of matrix LTV or max 55%	
Acreage	• Max 2 acres	

SELECT ITIN OVERVIEW

The Select ITIN Program is designed specifically for the ITIN borrower (including DACA) to provide financing solutions for this specific group of borrowers. Refer to the Select ITIN Matrix for LTVs, minimum and maximum loan amounts, etc.

SELECT ITIN - GENERAL REQUIREMENTS

Exceptions	• Permitted
Product Type	• 15 Year Fixed, 30 Year Fixed, Fully Amortizing • 30 Year Fixed I/O (10 Year I/O period, and remaining term fully amortizing) • 5/6 SOFR ARM 30 Year Term – Fully Amortizing • 5/6 SOFR ARM I/O - 30 Year Term • Interest Only Products listed above: Qualify off fully amortizing payment.
Express (DU)	• Not Eligible
Interest Only	• Min Credit Score: 680 • Max LTV: 80%
Loan Amounts	• Minimum: \$125,000 and Max \$2,500,000 • Loan Amounts \$125,000 - \$149,999 require a 5% reduction in LTV
2- 1 Buydown	• Purchase Only • Full Doc and Bank Statement Only • Minimum Credit Score 680 • Max LTV 80% • Max DTI 50% • 30 Year Fixed Only • Qualify using Note Rate • Primary Residence, Second Home and Investment Properties . • Seller or Builder Funded Only • Lender Paid or 3rd Party Buydowns are permitted for Correspondent Clients only.
Occupancy	• Primary, Second Home; and Investment Property
Loan Purpose	• Purchase, Rate & Term Refinance, and Cash Out Refinance
Cash Out Refinance	• Minimum of six (6) months seasoning from most recent mortgage transaction. • Max cash-out (defined as cash in hand): ○ If LTV <= 60% = Unlimited ○ If LTV > 60% = Max \$1,000,000 (Not eligible with Express/DU opt for unlimited cash-out with 18 months additional reserves) • Condos – Max 75% LTV
Interested Party Contributions	• Primary Residence and Second Homes: ○ <= 75% LTV = 9% ○ > 75% = 6% • Investment: ALL = 6%
Subordinate Financing	• Not Permitted
Escrow Waivers	• Not permitted
Prepayment Penalty	• Required on Investment Properties when permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal. • No PPP – Correspondent Only
Age of Loan Documentation	• Credit: 120 days • Income and Assets: 90 days

SELECT ITIN - BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • ITIN must be valid and at least 2 years consistent ITIN payments reporting to the	<u>Ineligible:</u> • Irrevocable or blind trust • Inter-Vivos Revocable Trust
-----------------------------	--	--

	- IRS is required. This can be validated with the borrower's current ITIN # along with a 2 year employment history - Multiple borrowers - one borrower must have ITIN - DACA is eligible with ITIN / SSN with Valid U.S. driver's license along with EAD card evidencing their DACA status	Non ITIN borrowers
Borrower Documentation Requirements	- Government photo ID from U.S. or eligible country of origin - Examples include Government license, passport, matricular consular, etc. A Visa is not required in addition to the above for an ITIN borrower - ITIN card or letter from the IRS - ITIN is required to be assigned to the borrower prior to application - All documentation in the file must support the borrower's ITIN number and cannot reference a SSN belonging to another individual - Evidence of unexpired ITIN can be accomplished as follows: - Full Doc/1099 loans: Current executed transcripts will validate the borrower's current ITIN status - Alt Doc loans: Provide one of the following: - IRS letter dated within the last 3 years - Fully executed W7, including agent's signature - Letter from licensed tax preparer confirming they have filed the borrower's most recent Federal Tax Return	
Non-Occupant Co-Borrower	- Primary Residence Only - Rate & Term Refinance Refi (non-occupant co-borrower must be on current loan) - Max Total DTI 50% (Max 65% DTI for Occupying Borrower) - Non-occupant co-borrower must be a relative - Max Loan Amount \$1,000,000	
First Time Homebuyer (FTHB)	Permitted to a maximum loan size of \$1,500,000 on Primary Residence, Second Home and Investment Properties	
SELECT ITIN - CREDIT REQUIREMENTS		
Credit Score	- Minimum credit score 660 for primary borrower - Additional borrowers must have a minimum credit score of 600 - A minimum of 2 credit scores is required; 1 credit score is permitted when the credit report has sufficient tradeline activity, defined below in the Tradelines section - The Representative Credit Score is based on the primary borrowers' credit score; qualify as follows: - Middle of 3 credit scores or lower of 2 credit scores 1 credit score, use as the Representative Credit Score	
Tradelines	- Tradeline requirements are waived with three (3) credit scores - Spouses may combine trades - Authorized user accounts and/or collections and charge-offs are not considered a valid trade. - When only 1 or 2 credit scores are available, minimum tradelines are required: 3 trades reporting for 12+ months, OR 2 trades reporting for 24+ months, OR	

	○ 2 year mortgage history
Non-Traditional Credit	● If the borrower is unable to meet the above requirements, borrower may qualify using Non-Traditional Credit as defined below: ○ A minimum of 2 credit scores is required ○ Loan amount < = \$1,500,000 ○ The credit history must include 3 credit references covering the most recent 12 months from the date of application supported with cancelled checks or bank statements. ○ Acceptable tradelines may be mortgage/rental verification; utilities such as electricity, gas, water, telephone service, television, and internet service providers. If utilities are included in the rental housing payment, they cannot be considered a separate source of nontraditional credit. ● It is permissible to combine trades from the credit report with non-traditional credit to meet the tradeline requirement
Housing History	● 0x30x24
Housing / Credit Events	● 4 years seasoning is required

SELECT ITIN - DTI AND RESIDUAL INCOME REQUIREMENTS

Max DTI	● Max 50%
Residual Income	● Requirement based on # in household ● Defined as Gross Monthly Income less Total Monthly Obligations ● Applies to HPML loans or when the DTI > 43% on Primary Residence and Second Homes only: ○ 1 person = \$1,500 ○ 2 persons = \$2,500 ○ Add \$150 per additional household member (related or unrelated)

SELECT ITIN - INCOME REQUIREMENTS

Full Doc Income Requirements	
Wage Earners	● Fully written verification of employment signed IRS Form-4506C and 1 or 2 years Tax Transcripts ● Providing documentation with a SSN not belonging to the borrower will render the file ineligible for purchase
Self-Employment	● 1 or -2 years 1040s plus Tax Transcripts, YTD P&L, plus 2 months bank statements, K-1s and Schedule E for all business entities prior 1-2 years if >=25% ownership
Rental Income	● Rental income on the Tax Returns: ○ When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent year's income will be used for qualifying ○ Cash flow Analysis of the Schedule E should be completed ● Rental Income NOT on the Tax Returns: ○ Evidence of borrower's ownership of the property ○ For a refinance and/or to document rental income on other REOs ○ Lease agreement ○ Two months of bank statements demonstrating receipt of rental income. ○ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source ○ Primary Residence and Second Homes: ○ May add 75% of gross rent to borrowers qualifying income

	- Investment property: - Income used to qualify is 75% of the lesser of documented rent or market rent per appraisal
Alt Doc Income Requirements	
Personal Bank Statements	12 or 24 months of personal and 2 months of business bank statements. The business bank statements must reflect business activity and transfers to the personal account - Qualifying income is determined by the total eligible deposits from the 24 or 12 months of personal statements divided by the number of statements
Business Bank Statements	12 or 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: - Fixed Expense Ratio (50%); OR - Expense ratio provided by a 3rd party (CPA or EA) min ratio of 20%, OR 3rd party prepared Profit & Loss Statement (CPA or EA) min ratio of 20%
IRS Form 1099	1 or 2 years 1099 - Fixed Expense Ratio of 10% YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is >90 days from the note date
Asset Utilization	- May be combined with Full Doc Income as primary source of income up to 85% LTV - Qualified Assets must be seasoned for 3 months - Monthly Income Calculation: - Net Qualified Assets / 60 months

SELECT ITIN - ASSETS AND RESERVE REQUIREMENTS

Assets	30-day asset verification required - Deposits > 50% of gross income must be documented on purchases
Reserves	<= \$500,000 = 3 months PITIA w/LTV <= 80% <= \$500,000 = 6 months PITIA w/LTV > 80% > \$500,000 to \$1,500,000 = 6 months PITIA > \$1,500,000 to \$2,500,000 = 9 months PITIA - Cash Out proceeds may be used to satisfy reserves. - When Asset Utilization is the sole source of income, reserves are not required.
Gift Funds	- Gift funds permitted provided borrower meets minimum contribution: 5% primary 10% Second Homes 100% gift funds may be used for down payment and closing costs on a Primary Residence or Second Home when the LTV is <= 75%. - Gift funds are not permitted to be used towards reserves. - Gift of Equity permitted for Primary Residence transactions only.

SELECT ITIN - PROPERTY REQUIREMENTS

Property Type	Single Family, PUD or Townhouse (Attached or Detached)	- Single Family, PUD or Townhouse: - Purchase: Max 85% LTV for Primary only - Rate & Term Refinance: Max 80% LTV - Single Family residences with 1 or more accessory dwelling unit (ADU) are permitted if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables. - Refer to 2-4 Units below.
	Condominiums	Condos – Non-Warrantable:

		○ Max LTV is the lesser of the Matrix LTV or 75% LTV • Purchase and Rate & Term Refinance: ○ Primary Residence = Max LTV 75% ○ Second Homes & Investment Property = Max LTV 70% ○ Condos – Warrantable: Outside of Florida, Max 80% LTV ○ Limited Review Condos: Max 75% LTV • Condominium leaseholds not permitted
	2-4 Units	• 2-4 Units: Max 80% LTV • 2-4 units with 1 ADU are permitted if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.
Rural Properties	• Rural properties permitted for Primary Residence up to 80% LTV. • Second home and Investment Properties may be considered when the subject has <= 2 acres up to a max LTV of 75%.	
Appraisals	• Second appraisal required for loans > \$2,000,000. • Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5, except for those with a full second appraisal.	
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Program Matrix Max LTV when > 65% LTV.	
Acreage	• Max 20 acres for Primary Residence & Second Home; Max 5 acres Investment Properties .	

FOREIGN NATIONAL OVERVIEW

The Foreign National Program is designed to cover to cover a range of income documentation types, and other program specific options for the Foreign National Borrower. Refer to the Foreign National Matrix for LTVs, minimum and maximum loan amounts, etc.

Foreign Nationals:

- Foreign Nationals are eligible for DSCR (excluding Multi & Mixed) under the Foreign National Program
 - For Multi & Mixed-Use properties see the [Multi & Mixed Program](#)

FOREIGN NATIONAL - GENERAL REQUIREMENTS

Exceptions	• Permitted
Product Type	• 30 Year Fixed, 15 Year Fixed • 30 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing).
Interest Only	• Eligible on 30-Yr Fixed I/O
Loan Amounts	• Min: 150,000 and Max \$3,000,000
2-1 Buydown	• Not permitted
Occupancy	• Full Doc/Alt Doc: Second home (1-Unit only) and Investment Properties 1-4 Units • DSCR: Investment properties 1-4 Units (Business Purpose)
Loan Purpose	• Purchase, Rate & Term Refinance, and Cash Out Refinance
Cash-Out Refinance	• > 55% LTV = \$1,000,000; or • <= 55% LTV = Unlimited • Condo and 2-4 Units = Max Cash LTV 65%

Interested Party Contributions	Second homes • <= 75% LTV = 9% Investment • ALL = 6%
ACH Payment	• Automatic Payment Authorization (ACH) Form is required for all foreign national borrowers. Funds must be from a U.S. Bank. ○ The executed ACH enrollment for payment of Principal, Interest, Taxes and Insurance must be provided. ○ The ACH enrollment form must include the bank routing number, account number, and account type. Borrowers may select a date within the grace period stated on the Note. • To set up the Automatic Payment Authorization (ACH), a copy of the borrower's cancelled check to validate the bank's routing and account number and the executed ACH form are required prior to or no later than closing.
Subordinate Financing	• Not Permitted
Insurance Requirements	• In addition to property and title insurance, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. • Rent Loss Insurance may be waived with three additional months of PITIA reserves. • Blanket policies covering the subject property are permitted.
Escrow Waivers	• Not Permitted
Prepayment Penalty	• Required where permitted for Investment Properties. Refer to the "Business Purpose Licensing & PPP Restrictions" PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	• Credit: 120 days • Income and Assets: 90 days

FOREIGN NATIONAL - BORROWER ELIGIBILITY

Borrower Eligibility	• A Foreign National is a non-U.S. citizen that must live and work in another country and be a legal resident of that same country. • Borrowers may not purchase property intended for use as a Primary Residence. • If a non-U.S. Citizen is borrowing with a U.S. Citizen, Foreign National documentation requirements still apply
Documentation Requirements	• If a non-U.S. Citizen is borrowing with a U.S. Citizen, Foreign National documentation requirements still apply. • The following documentation is required: ○ Copy of the borrower's valid and unexpired passport and: ○ Copy of the borrower's unexpired visa OR an I-797 form (Notice of Action) with valid extension dates and I-94 Form (Arrival/Departure Record), or ○ Borrowers from countries participating in the State Department's Visa Waiver Program (VWP) are not required to provide a valid visa. • Participating countries can be found at https://travel.state.gov/content/travel/en/U.S.-visas/tourism-visit/visa-waiver-program.html. • Citizens of Canada traveling to the United States do not require a nonimmigrant visa. • A list of nonimmigrant Visa types is located on the U.S. Department of State website: https://travel.state.gov/content/travel/en/U.S.-visas/visa-information-resources/all-visa-categories.html

	• All parties (Borrower's and Seller's) involved on the transaction must be screened through exclusionary lists and must be cleared through OFAC's SND list. • A search of Specially Designated Nationals & Blocked Persons list may be completed via U.S. Department of Treasury: http://sdnsearch.ofac.treas.gov/ • Borrowers from OFAC sanctioned countries are ineligible: ○ http://www.treasury.gov/resourcecenter/sanctions/Programs/Pages/Programs.aspx ○ Individuals with Diplomatic immunity are not eligible: immunity status is listed on the reverse side of the U.S. issued ID card or at: https://2009-2017.state.gov/s/cpr/rls/dpl/index.htm • Documents signed outside of the United States must be notarized by a U.S. embassy or consular official specific documentations requirements are listed in the General Guidelines.
Non-Occupant Co-Borrower	• Permitted when the non-occupying co-borrower is a U.S. Citizen taking title to the property
First Time Homebuyer (FTHB)	• Permitted
Investor Experience	• Not Required
Power of Attorney	• Power of Attorney not permitted

FOREIGN NATIONAL - CREDIT REQUIREMENTS

Credit Score	• When a U.S. Credit report is obtained, the minimum credit score is 700. • Representative Credit core requirements: ○ The primary borrower must have a valid credit score from at least 2 of the following 3 agencies: Experian (credit score), Transunion (Empirica), and Equifax (Beacon) ▪ Only credit scores from these agencies are acceptable. ○ Select the middle credit score when 3 scores are provided and the lower credit score when only 2 credit scores are provided. • A U.S. credit report should be obtained for each borrower with a valid Social Security Number. The credit report should provide merged credit information from the 3 major national credit repositories. • Foreign Credit: ○ For borrowers without a valid Social Security Number, an Individual Taxpayer Identification Number (ITIN) is also allowed. An ITIN is acceptable if the borrower has the ITIN for purposes of reporting taxes from passive income sources only and is not employed in the U.S ○ A traditional U.S. credit report is not required for borrowers without a valid SSN ○ Borrowers who do not have an SSN or ITIN may still proceed using Foreign Credit ○ The URLA should be updated with 999-99-9999 in the SSN field. ○ All other Program requirements still apply.
Tradelines	• <u>Qualifying with U.S. Credit:</u> ○ Minimum: 2 open and reporting 24 months or 3 open and reporting 12 months even if 3 credit scores are available. • <u>Qualifying Foreign Credit:</u> ○ A Qualifying Foreign Credit borrower may or may not have a U.S. credit report

	with no credit score, a single credit score, or a credit score with insufficient tradelines. ○ Must establish an acceptable credit history demonstrating either 2 open tradelines reporting for 2 years with activity in the most recent 12 months displaying or three open trades with a 12+ month rating. in either example trades must experience no derogatory payments ○ This can be accomplished through a combination of any of the following: ▪ Tradelines evidenced on an international credit report if a U.S. credit report cannot be produced or does not reflect sufficient trades; and/or ○ Alternative tradelines consisting of two of the following: ○ Credit reference letter(s) from the borrower's country of origin with the following information: ▪ State the type and length of the relationship, how the accounts are held, and status of the account. ▪ Contact information must be provided for the person signing the letter; and ▪ Any translation must be signed and dated by an unaffiliated certified translator. Google translator is not permitted. • A 2 year housing history can be used as a tradeline if a Primary Residence is owned free and clear but taxes and insurance is paid for 12 months or more this can be used for one of the 3 trade lines.
Housing History	• 0x30x12 • CPA Letter – Free and Clear Property Form or other evidence may be used as verification. Property Tax and/or Property Insurance paid annual invoice(s) may be used to validate housing expense and alternative trade • Taxes and insurance must be included in the DTI, unless evidence is provided to support taxes and/or insurance does not exist
Credit / Housing Event	• 4 years seasoning is required

FOREIGN NATIONAL - DTI AND RESIDUAL INCOME REQUIREMENTS

DTI Requirements	• Max 50% for Full Doc or Asset Utilization
Residual Income	• Required on Second Homes only • Defined as Gross Monthly Income less Total Monthly Obligations. • Requirement based on # in household • Applies to HPML loans or when the DTI > 43% on Second Homes only: ○ 1 person = \$1,500 ○ 2 persons = \$2,500 ○ Add \$150 per additional household member (related or unrelated)

FOREIGN NATIONAL - INCOME REQUIREMENTS

Full Doc - Income Requirements	
Wage Earners	• Letter from employer on company letterhead providing current monthly salary and YTD earnings, OR 2 months' pay stubs with YTD earnings. • Verification of earnings for the last 2 years (letter from employer or W-2 equivalent). • Employer to be independently verified (via LexisNexis, D&B International Business Search, Google, or other means of verification).

	• An unaffiliated certified translator must translate all documents.
Self-Employment	• Borrowers who have been self-employed for at least 2 years are allowed. • The following items must be obtained: ◦ Letter from a CPA providing income for the last 2 years and year to date earnings. ◦ Self-employed business and CPA are to be independently verified (via Lexis Nexis, D&B international business search, google, or other means of verification). • An unaffiliated certified translator must translate all documents. • Verbal verification of employment are not required.
Rental Income	• Rental income on the Tax Returns: ◦ When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent years' income will be used for qualifying ◦ Cash flow Analysis of the Schedule E should be completed • Rental Income NOT on the Tax Returns: ◦ Evidence of borrower's ownership of the property ◦ For a refinance and/or to document rental income on other REOs ◦ Lease agreement ◦ Two months of bank statements demonstrating receipt of rental income. ◦ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source. ◦ 75% of the rental amount on the lease is used for qualifying.
Alt Doc - Income Requirements	
Asset Utilization	• May be used as a sole source of income or combined with other income. • Eligible Qualified Assets must be seasoned for a minimum of three (3) months. • Borrowers must have the lesser of: ◦ 1.5 times the loan balance or ◦ \$1,000,000 in Qualified Assets, both of which must be net of down payment, closing costs, and required reserves to qualify. • Monthly Income Calculation: ◦ Net Qualified Assets / 60 months • Foreign Assets are eligible.
FOREIGN NATIONAL - DSCR RATIO AND RENTAL INCOME REQUIREMENTS	
DSCR Ratio	• Min 1.00 • Min 1.15 Short Term Rentals • DSCR Ratio Calculation: ▪ Short or Long Term Gross Rental Income / PITIA Fully Amortizing or ITIA (for IO Loans)
Lease and Occupancy Requirements	• All refinance transactions require the property to be leased. Vacant property is not eligible <u>except</u> for: ◦ Properties leased through short term rental agencies; or ◦ With evidence that property has been recently rehabbed and is currently listed for rent and is being marketed as such. • Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member.

Short Term Rentals (STR)	<u>Short Term Rentals:</u> • Defined as properties leased on a nightly, weekly, monthly, or seasonal basis. • Min DSCR ≥ 1.15 • Max LTV: Lesser of 70% or the Matrix LTV/CLTV • Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs ◦ Note: except for the five (5) New York City Boroughs which are ineligible for purchase <u>Short Term Gross Rental Income:</u> • The following options are available: ◦ 1007/1025 or ◦ Alternative Short Term Rent Analysis form developed by an AMC or ◦ 12-month look back on rents received using bank statements or third party rental statements. ◦ When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property's rents.
Long Term Rentals	<u>Long Term Gross Rental Income:</u> • If using the lesser of market rents or the lease, nothing further is required. • If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. • If the actual rent exceeds 120% of the market rents, the rents are capped at 120%. • If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. • If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120%
FOREIGN NATIONAL - ASSET AND RESERVE REQUIREMENTS	
Assets	• 30 days asset verification required for U.S. Based Accounts; 60 days for Foreign Assets • Funds required for downpayment and closing costs must be seasoned in a U.S. depository institution for 10 days prior to closing unless funds are held in a foreign bank with U.S. Based FDIC insured branches OR wired directly to the closing agent • Funds used for reserves may be held in a foreign account. The value of the asset must be converted to U.S. dollars and include a printout of the current exchange rate • Large deposits ($> 50\%$ of gross income) must be documented on purchases.
Reserves	• 12 months of PITIA • 6-months with 5% LTV reduction. • Cash Out Refinance may be used to satisfy requirement • Reserves not required when using Asset Utilization as sole source of income.
Gift Funds	• Permitted after meeting minimum 10% borrower contribution, <u>plus</u> reserves, regardless of LTV. • Max loan amount of \$1,000,000 when there is a gift • No maximum amount of donors • Gift funds are not permitted to be used towards reserves.

FOREIGN NATIONAL - PROPERTY REQUIREMENTS

Property Types	Single Family, PUD, Townhome (Attached or Detached)	Single family residences with 1 or more accessory dwelling unit (ADU) are permitted if subject property is in an municipality that allows. The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.	
	Condominiums and 2-4 Units	- Condos: Warrantable and Non-Warrantable - Condos and 2-4 Units Max LTV/CLTV: - Purchase and Rate & Term Refinance = 70% - Cash Out = 65% - Condominium leaseholds not permitted 2-4 Units with 1 ADU are permitted if subject property is in a municipality that allows. The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables.	
	Condotels	- Full Doc Second Home & Investment Property Purchase or Rate & Term Refinance: - Max 70% LTV - Full Doc Second Home & Investment Property (including Business Purpose Loans): - Max 60% LTV	- DSCR Purchase or Rate & Term Refinance: - Max 65% LTV - DSCR Cash Out Refinance - Max 60% LTV
		- Max Loan Amount \$1,500,000 - Must have full kitchen & 1 separate bedroom. - Must be in a resort area or affiliated with a national hotel chain.	
	Multi-Family and Mixed-Use	Refer to the DSCR Multi & Mixed Program	
Rural Properties	- Not Permitted - Properties listed as Rural / Underserved on the following website are not eligible: https://www.consumerfinance.gov/rural-or-underserved-tool/		
Appraisals	- Second appraisal required for loan amounts > \$2M - DSCR: - C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.		
Declining Markets	Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when >65% LTV		
Acreage	Max 2 acres		

SECOND LIEN SELECT OVERVIEW

The Second Lien Select Program is designed to cover a range of options for the borrower who desires a closed end second lien loan. Refer to the Second Lien Select Matrix for LTVs, minimum and maximum loan amounts, etc.

SECOND LIEN SELECT - GENERAL REQUIREMENTS

Exceptions	• Not Permitted	
Compliance	• Loans must comply with all applicable federal and state regulations. • Fully documented ATR • Higher-Priced Mortgage Loans (HPML) and Higher-Priced Covered Transactions (HPCT) are permitted subject to complying with all applicable regulatory requirements. • Loans that do not pass the NY Subprime test are ineligible.	
High Cost Thresholds	• Loans that are considered High Cost solely due to exceeding the High Cost APR Threshold, provided the Section 32 Loan Disclosure was provided to the Borrower(s) no later than three (3) days prior to closing, will be considered. • Not Permitted: ◦ When the points and fees test exceeds the 5% limitation ◦ Any loan that fails any State High Cost test	
Product Type	• 15, 20, 25 and 30 Year Fixed Terms - Fully Amortizing	
Interest Only	• Not Permitted	
Loan Amounts	• Min: \$125,000 – Max \$500,000	
2-1 Buydown	• Not Permitted	
Occupancy	• Primary Residence and Second Home	
Loan Purpose	• Purchase, Rate & Term Refinance and Cash Out Refinance	
Cash-Out	• Cash Out with less than six (6) months seasoning is permitted, provided the LTV is based off the lesser of the purchase price or the appraised value • For a refinance transaction paying off an existing subordinate lien, if that subordinate lien was a Cash Out Refinance transaction, a minimum of six (6) months seasoning must elapse prior to the new refinance	
Interested Party Contributions	• Not permitted	
Senior Lien Product Eligibility	<u>Eligible:</u> • A copy of the first lien note is required to evidence: ◦ Remaining term of five (5) years at time of close (60 payments left). ◦ Interest Only (I/O) First Mortgage must be qualified at the greater of the fully amortizing P&I payment or Note rate. ◦ Whether fully amortizing or interest only, the remaining term must be a minimum of five (5) years (60 payments left) at time of closing. ◦ Financing must not permit the note holder to “call” the loan due within the first five years following the loan closing. • On a stand-alone second, if the mortgage statement or credit report has sufficient	<u>Ineligible:</u> • Negative amortization feature • Balloon feature • Material modifications (loan amount, interest rate, final maturity, or product structure regardless of seasoning, except for loans modified under a COVID related event meeting the Modifications and Covid Related Forbearance section. • Amortization term greater than 40 years. • Contract for Deed or Contract for Purchase. • Privately held first lien. • Loans with provisions prohibiting the placement of additional liens on the subject property. • Loans with provisions for future advances.

Senior Lien Product Eligibility (continued)	information to determine the payment and the terms, a copy of the first lien note is not required. - It is acceptable for our Borrower to have legally assumed a first lien mortgage, and apply for a second lien, if the first mortgage conforms to the eligibility criteria. - For simultaneous transactions, the following is required in the second lien file: - Copies of first lien note and mortgage/deed of trust Final Closing Disclosure for the first lien transaction that corresponds with the final CD for the subject second lien.	
Escrow Waivers	Follow First Lien Program requirements. Escrows not required on second liens.	
Prepayment Penalty	Not permitted	
Age of Loan Documentation	- Credit: 120 days - Income and Assets: 90 days	
SECOND LIEN SELECT - BORROWER ELIGIBILITY		
Borrower Eligibility	<u>Eligible:</u> - U.S. Citizens - Permanent Resident Aliens - Non-Permanent Resident Aliens	<u>Ineligible:</u> - ITIN - DACA - Foreign National
Non-Occupant Co-Borrower	Not permitted on the first or second lien	
First Time Homebuyer (FTHB)	Permitted	
SECOND LIEN SELECT - CREDIT REQUIREMENTS		
Credit Score	- Minimum credit score 680 - The Representative Credit Score is based on the primary borrowers' credit score; qualify as follows: - Middle of 3 credit scores or lower of 2 credit scores - Additional borrowers must have a minimum credit score of 620	
Tradelines	- If the Primary borrower has 3 credit scores, there are no further tradeline requirements. - Otherwise, trades must meet one of the following: 3 reporting for 12+ months + activity within most recent 12 months (may be closed) 2 reporting for 24+ with activity within most recent 12 months (may be closed) 24 months mortgage history reporting on credit report with a credit score	
Housing History	0x30x24 on all mortgages	

Credit / Housing Events	• 4 years seasoning is required
--------------------------------	---

SECOND LIEN SELECT - DTI AND RESIDUAL INCOME REQUIREMENTS

Max DTI	• Max 50% Primary Residence • Max 43% Second home
Residual Income	• Primary Residence and Second Home only • Requirement based on # in household • Defined as Gross Monthly Income – Total Monthly Obligations • Applies to HPML loans or when the DTI > 43%: ○ 1 person = \$1,500 ○ 2 persons = \$2,500 ○ Add \$150 per additional household member
I/O First Mortgage Qualifying Requirements	• Interest Only (I/O) First Mortgage must be qualified at the fully amortizing P&I payment

SECOND LIEN SELECT - INCOME REQUIREMENTS

Full Doc - Income Requirements	
Wage Earners	• 30 days of paystubs reflecting YTD earnings, 2 years W-2 or an electronic verification of employment, W-2 Transcripts and a fully executed and signed IRS Form-4506C
Self-Employment	• 2 Years personal and business Federal Tax Returns, Year to date P&L, IRS Form 4506, 2 most recent and consecutive bank statements
Rental Income	• Rental income on the Tax Returns: ○ When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent year's income will be used for qualifying. ○ Cash flow Analysis of the Schedule E should be completed • Rental Income NOT on the Tax Returns: ○ Evidence of borrower's ownership of the property ○ For a refinance and/or to document rental income on other: ▪ Lease agreement ▪ Two months of bank statements demonstrating receipt of rental income. ▪ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source ▪ 75% of the rental amount on the lease is used for qualifying
Alt Doc - Income Requirements	
Personal Bank Statements	• 24 months of Personal and 2 months of business bank statements. • Qualifying income is determined by the total eligible deposits from the 24 months of personal statements divided by the number of statements • The business bank statements must reflect business activity and transfers to the personal account • Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history

Business/Co-Mingled Bank Statements	• 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ○ Fixed Expense Ratio (50%) OR ○ Expense ratio provided by a 3rd party (CPA or EA) min ratio of 20% OR ○ 3rd party prepared Profit & Loss Statement (CPA or EA) min ratio of 20% • Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history
P&L Plus 2 Months Bank Statements	• 24 months P&L, prepared by CPA, EA, PTIN licensed tax preparer • Minimum of 2 months business bank statements • Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history • Qualifying Income is calculated by determining total deposits per bank statements (minus any disallowed deposits) multiplied by the expense percentage and divided by 24 months • The Expense Statement must be prepared and signed by a third party (CPA, EA or PTIN licensed tax preparer) specifying business expenses as a percentage of the gross annual sales/revenue. The tax preparer must attest they have either prepared or reviewed the borrower's most recent tax return • A minimum 10% Expense Ratio is required
IRS Form 1099	• 1 or 2 Years 1099 • Fixed Expense Ratio of 10% • YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is >90 days from the Note date

SECOND LIEN SELECT - ASSET AND RESERVE REQUIREMENTS

Assets	• 30 days asset verification required • Large deposits (> 50% of gross income or average deposits) on a bank statement loan must be documented on purchase transactions
Reserves	• 6 months' reserves required • Cash Out Refinance may be used to satisfy requirement
Gift Funds	• Gift funds are permitted provided borrower meets the minimum contribution: ○ 5% Primary Residence ○ 10% Second Home • Gift funds not permitted to be used towards reserves

SECOND LIEN SELECT - PROPERTY REQUIREMENTS

Property Type	Single Family, PUD or Townhome (Attached or Detached)	• Single Family Residence with 1 or more accessory dwelling unit (ADU) are permitted if subject property is in an municipality that allows and 2 similar comparables
	Condos	• Warrantable & Non-Warrantable permitted. • Non-Warrantable Condominium: reduce 5% from matrix LTV. • Condominium leaseholds are not permitted
	Condotels	• Not Permitted
Rural Properties	• Not permitted	
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when >65% LTV	

Appraisals	• Full interior/exterior appraisal required
Acreage	• Max 20 acres Primary Residence & Second Home; max 5 acres Investment Properties

DSCR PROGRAMS

DSCR Programs are designed for investment property loans that are designated for business purpose only.

The property must not and cannot be occupied by a borrower, any member of the borrower's LLC, or any family member.

DSCR GENERAL REQUIREMENTS

The following requirements apply to all DSCR transactions.

General Requirements	
Forms and Affidavits	• Business Purpose & Occupancy Affidavit (all borrowers are required to sign to declare that the property is, or will be, for commercial business or investment purpose only) • For Retail and Wholesale channel transactions only: The Business Rider to the Mortgage/Deed of Trust must be executed at closing ◦ This requirement does not apply to Correspondent Channel transactions • Compliance Agreement – DSCR Loans: NQMF, Compliance Agreement, or Client's equivalent document will be required (In which the borrower(s) agree(s) to furnish the Lender and its successors and/or assigns with current copies of all Lease Agreements within a reasonable time upon request.) • 1-4 Family Rider/Assignment of Rents (FNMA Form 3170) • Guaranty (if applicable)
Fraud and Background Check	• A third-party fraud detection report for all borrowers and/or guarantors is required. • Report findings must cover standard areas of quality control including, but not limited to borrower validation, social security number verification, criminal records, and property information (subject property and other real estate owned) • All high-level alerts on the report must be addressed • The fraud check should also include occupancy status to assist in the validation and endorsement of the Business Purpose & Occupancy Affidavit
Vesting and Ownership	• Ownership must be fee simple • Acceptable forms of vesting are: ◦ Individuals ◦ Joint tenants ◦ Tenants in Common (No Ratio Program - only permitted if all borrowers match the actual borrowers on the loan. ◦ Inter Vivos Revocable Trust ◦ Business Entity ▪ Limited Liability Company (LLC) ▪ Limited and General Partnerships ▪ Corporations ▪ S Corporations • Note: Only individuals can be borrowers. The other entities listed above relate only to

	- an ownership interest in the subject property • Vesting in non-profit entity is not permitted
Power of Attorney	• A Limited Power of Attorney (POA) is acceptable when following requirements are met: ○ POA is specific to the transaction ○ Recorded with the mortgage/deed of trust ○ Contains an expiration date ○ Used only to execute the final loan documents ○ Borrower who executed the POA signed the initial 1003 • No interested party to the transaction (such as property seller, broker, loan officer, realtor, etc.) may function as Power of Attorney • Not permitted on cash-out transactions • Not permitted on loans vesting in the name of an Entity • Not permitted on Foreign National transactions
Application	• The application must include the subject property (when the transaction is a refinance) along with the borrower's Primary Residence on the Schedule of Real Estate owned. Other properties owned by the borrower are not required to be disclosed on the application
Credit Inquiries	• An inquiry explanation is not required

DSCR SUPREME OVERVIEW

The DSCR Supreme Program is designed for the most qualified borrowers from a credit standpoint, with less complex transactions. Refer to the DSCR Supreme Matrix for LTVs, minimum and maximum loan amounts, etc.

DSCR SUPREME - GENERAL REQUIREMENTS

Exceptions	• Not Permitted
Product Type	• 30 Year Fixed Fully Amortizing • 30 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) • 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) • 5/6 & 7/6 SOFR ARMs – 30 Year Terms Only
Interest Only	• Borrower to qualify using the I/O payment based on the qualifying rate.
Loan Amounts	• Min \$150,000 - Max \$2,000,000
Interested Party Contributions	• Max 6%
Subordinate Financing	• Not Permitted
Occupancy	• Investment Properties Business Purpose ONLY
Loan Purpose	• Purchase, Rate & Term Refinance, and Cash Out Refinance
2-1 Buydown	• Not permitted
Cash Out Refinance	• Minimum of 6 months seasoning from most recent transaction • Must exceed the Rate & Term Refinance thresholds for max cash back: 2% of the loan amount. • Max Cash in hand:

	○ > 50% LTV: \$1.0M ○ ≤ 50% LTV: Unlimited ● Not permitted in Declining Markets
Insurance Requirements	● In addition to property and title insurance, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. ● Rent Loss Insurance may be waived with three additional months of PITIA reserves. ● Blanket policies covering the subject property are permitted.
Escrow Waivers	● Waiving escrows for taxes and insurance* is allowed if housing/rental history is 0x30x12. ● Waiver of escrows is <u>not permitted</u> on the following: ○ Flood Insurance premiums for properties located in zones A or V. ○ Note however that taxes and hazard escrows can be waived provided the escrow waiver requirements are met and the loan is priced with an escrow waiver *Elective flood insurance policies for properties not located within a flood map/zone which do not require flood insurance coverage, are not required to be escrowed
Prepayment Penalty	● Required where permitted. Refer to the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	● Credit: 120 days ● Assets: 90 days

DSCR SUPREME - BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> ● U.S. Citizens ● Permanent Resident Aliens	<u>Ineligible:</u> ● ITIN ● DACA ● LLCs, partnerships, or corporations (may qualify for vesting only) ● Trusts or Land Trusts (trusts may qualify for ownership vesting only) ● Foreign Nationals ● Non-Permanent Resident Aliens
First Time Homebuyer (FTHB)	● Not Permitted	
Investor Experience	● Not required	
Entity Vesting	● Permitted	

DSCR SUPREME - CREDIT REQUIREMENTS

Credit Score	● Minimum credit score is 720 ● The Representative Score is as follows: ○ Lowest middle score of all borrowers ○ A minimum of 2 scores required ○ Borrowers' with three credit scores: use the lowest middle score of all borrowers to qualify ● Borrowers' with 2 credit scores: use the lower of the two scores to qualify
---------------------	--

Tradelines	• Tradeline requirements are not waived when the Primary borrower has 3 credit scores. • Each borrower must have a minimum of 3 traditional tradelines rated for at least 12 months, OR 2 trades reporting for 24+ months, OR 24-month mortgage history reporting on credit. • Guidance around tradeline eligibility: ○ Trades must reflect an acceptable payment history with no more than 0x30x12 and minor delinquency permitted in months 13-24. ○ Closed accounts may be used to satisfy the minimum tradeline requirements if payment history is acceptable (provided it was closed in the last 12 months). ○ Deferred accounts (w/o payment history) cannot be used to meet the min requirement. ○ Borrowers who do not meet the requirements above are ineligible for this Program (may be considered under another Program).
Evidence of Primary Residence	• All borrowers must presently maintain a Primary Residence • Borrowers who own a Primary Residence must provide proof of ownership or evidence they are living in a property owned or rented by their spouse/domestic partner • Mortgage and/or rental payments on the subject and Primary Residence not reflected on the original credit report must be documented via an institutional third-party (Verification of Rent or Verification of Mortgage - VOR/VOM) • Borrowers who rent a Primary Residence must provide evidence of an active lease in place • Primary Residence should be supported by one of the following characteristics: ○ In a different geographical location from the subject property; or ○ General appeal and location of the Primary Residence is superior to subject property
Housing History	• 0x30x12
Rent Free	• Rent-free circumstances in which the borrower is not residing with their spouse/domestic partner, will be considered as follows: ○ Refinance transaction: provided the borrower has an established address supported by a rent-free letter from the property owner and there is no suggestion of occupancy in the subject property. ○ On a purchase transaction: When the subject property is in a different geographic area from the residence, or ○ The borrower is an experienced investor with existing REOs
Credit/Housing Events	• Borrowers with significant derogatory credit events must meet the following criteria: ○ All borrowers must have reestablished acceptable credit verified after the credit event. ○ Borrowers with unrelated multiple significant credit events are ineligible ○ Minimum 4 years must have elapsed from the date of the credit event
DSCR SUPREME - DSCR RATIO AND RENTAL INCOME REQUIREMENTS	
DSCR Ratio	• Min 1.00 • Min 1.15 Short Term Rentals • Min 1.25 First Time Investors ○ An experienced in investor must have a history of owning and managing commercial or residential real estate for at least 1 year in the last 3 years otherwise the borrower is considered a first time investor. • DSCR Ratio Calculation:

	○ DSCR Ratio = Short or Long Term Gross Rental Income / PITIA Fully Amortizing or ITIA (for IO Loans).
Lease and Occupancy Requirements	<u>General Requirements:</u> • For all purchase transactions, it is acceptable for property to be vacant; gross market rents from the 1007 / 1025 will be used. ○ If the property is currently tenant occupied, the 1007/1025 must reflect the terms of the current lease • All refinance transactions require the property to be leased. Vacant property is not eligible <u>except</u> for: ○ Properties leased through short term rental agencies; or ○ With evidence that property has been recently rehabbed and is currently listed for rent and is being marketed as such. • Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member. • On a Delayed Financing transaction, the property may be unleased at the time of the appraisal
Short Term Rentals (STR)	<u>Short Term Rentals:</u> • Defined as properties leased on a nightly, weekly, monthly, or seasonal basis. • Min DSCR ≥ 1.15 • Max LTV: Lesser of 75% or the Matrix LTV/CLTV • Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs ○ Note: except for the five (5) New York City Boroughs which are ineligible for purchase. <u>Short Term Gross Rental Income:</u> • The following options are available: ○ 1007/1025 or ○ Alternative Short Term Rent Analysis form developed by an AMC or ○ 12-month look back on rents received using bank statements or third party rental statements • When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property's rents.
Long Term Rentals	<u>Long Term Gross Rental Income:</u> Monthly gross rents are calculated as follows: • If using the lesser of market rents or the lease, nothing further is required • If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120% • If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120% • Refinance: ○ FNMA 1007/1025 required, along with one (1) of the following: ▪ Executed lease with no less than 1 month remaining at time of closing is required for all units in the subject property. Month-to-month tenancy is not subject to this requirement with sufficient evidence (such as a signed extension letter, or 1007,

	which includes a review of the current lease confirming month-to-month).
--	--

DSCR SUPREME - ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required • Atypical deposits do not need to be sourced on DSCR transactions
Reserves	• Reserves PITIA or ITIA, as applicable: ◦ <= \$500,000 = 3 months ◦ > \$500,000 to \$2,000,000 = 6 months • Cash Out proceeds can be used to satisfy reserves
Gift Funds	• Permitted after meeting 10% minimum borrower contribution, regardless of LTV. • Cannot be used to meet reserve requirements.

DSCR SUPREME - PROPERTY REQUIREMENTS

Property Type	Single Family, PUD or Townhome (Attached or Detached)	• Single Family properties with 1 or more accessory dwelling unit (ADU) are permitted if subject property is in an municipality that allows; • The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables
	Warrantable Condos	• Max 75% LTV • Condominium leaseholds are not permitted
	2-4 Units	• Reduce Matrix LTV by 5% • 2-4 units with 1 ADU are permitted provided the subject property is in a municipality that allows; • The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables
Rural Properties	• Not Permitted • Properties listed as Rural / Underserved on the following website are not eligible: https://www.consumerfinance.gov/rural-or-underserved-tool/	
Appraisals	• Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5 unless there is a second appraisal • > \$2,000,000 requires a full second appraisal • C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.	
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when >65% LTV • Cash Out Refinance not permitted in Declining Markets	
Acreage	• Max 2 acres; Acreage and land value must be typical and common for the subject's market.	

INVESTOR DSCR OVERVIEW

The Investor DSCR Program is designed to cover to cover the widest range of options available to the DSCR investor. Refer to the Investor DSCR Matrix for LTVs, minimum and maximum loan amounts, etc.

INVESTOR DSCR - GENERAL REQUIREMENTS

Exceptions	• Permitted
Product Type	• 30 Year and 15 Year Fixed • 40-Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) - Max 75% LTV • 30-Yr Fixed I/O (10 year I/O period, and remaining term fully amortizing) - Max 80% LTV
Interest Only	• Minimum Credit Score: 660 when DSCR $\geq$ 1.00 • Minimum Credit Score: 700 when DSCR $<$ 1.00 • Borrower to qualify using the IO payment based on the qualifying rate.
Loan Amounts	• Minimum: \$75,000 and Max \$3,000,000 • Loan Amounts \$75,000 to $<$ \$125,000: 1.00 DSCR Required
Interested Party Contributions	• 6%
Subordinate Financing	• Not Permitted
Occupancy	• Investment Properties (Business Purpose)
Loan Purpose	• Purchase, Rate & Term Refinance, and Cash Out Refinance
2-1 Buydown	• Purchase Only • Seller Paid Buydown/Concession • Minimum Score 680 • Minimum DSCR $\geq$.75 • Borrower qualifies at fully amortized rate (pre-buydown) • Lender Paid or 3rd Party Paid Buydown (Excluding Real Estate Agents, Brokerages, Borrower, or relatives) permitted for Correspondent Clients only
Cash-Out Refinance	• LTV $>$ 60% = \$1,000,000 or when DSCR is $\geq$.75 unlimited Cash Out Refinance permitted with 18 months reserves exclusive of cash back • LTV $\leq$ 60% = Unlimited • NOTE: that cash-in-hand limits do not apply to Delayed Financing Transactions • Cash Out Refinance refinances on properties acquired in the past 12 months require DSCR of .75 • Condos in FL max LTV 75%
Subordinate Financing	• Not Permitted
Insurance Requirements	• In addition to property and title insurance, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. • Rent Loss Insurance may be waived with three additional months of PITIA reserves. • Blanket policies covering the subject property are permitted
Escrow Waivers	• Waiving escrows for taxes and insurance *is allowed if housing/rental history is 0x30x12 up to 80% LTV ○ CA: Minimum score 700 • Waiver of escrows is not permitted on the following: ○ Flood Insurance premiums for properties located in zones A or V. ○ Note however that taxes and hazard escrows can be waived provided the escrow waiver requirements are met and the loan is priced with an escrow waiver. *Elective flood insurance policies for properties not located within a flood map/zone which do not require flood insurance coverage, are not required to be escrowed.
Prepayment Penalty	• Required on Investment Properties where permitted. Refer to the "Business Purpose Licensing & PPP Restrictions" PDF in the Documents Tab in the Client Portal.

Age of Loan Documentation	• Credit: 120 days • Assets: 90 days
----------------------------------	---

INVESTOR DSCR - BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Alien (U.S. Credit only)	<u>Ineligible:</u> • ITIN • DACA • Foreign National (Eligible under the Foreign National Program) • LLCs, partnerships, or corporations (may qualify for vesting only) • Trusts or Land Trusts (trusts may qualify for ownership vesting only)
First Time Homebuyer (FTHB)	• Considered on a case by basis	
Investor Experience	• Not Required	
Entity Vesting	• Permitted	

INVESTOR DSCR - CREDIT REQUIREMENTS

Credit Score	• Minimum credit score is 660 • The Representative Score is as follows: ◦ Lowest middle score of all borrowers
Tradelines	• All borrowers have 3 scores OR: • Minimum 2 open and reporting 24 months; OR • 3 open and reporting 12 months; OR • 24-months mortgage rating reporting on credit
Evidence of Primary Residence	• All borrowers must presently maintain a Primary Residence • Borrowers who own a Primary Residence must provide proof of ownership or evidence they are living in a property owned or rented by their spouse/domestic partner. • Borrowers who rent a Primary Residence must provide evidence of an active lease in place • Primary Residence should be supported by one of the following characteristics: ◦ In a different geographical location from the subject property; or ◦ General appeal and location of the Primary Residence is superior to subject property
Housing History	• 0x30x12 – No LTV reduction • 1x30x12 – 5% LTV reduction
Rent Free	• Rent-free circumstances in which the borrower is not residing with their spouse/domestic partner, will be considered as follows: ◦ On a refinance transaction, provided the borrower has an established address supported by a rent-free letter from the property owner and there is no suggestion of occupancy in the subject property. • On a purchase transaction: ◦ When the subject property is in a different geographic area from the residence, or ◦ The borrower is an experienced investor with existing REOs

Credit/Housing Event	• >=36 Months: No LTV reductions • >=24 Months: ○ Max 75% LTV Purchase ○ Max 70% LTV Rate & Term Refinance & Cash Out ○ Discharged Chapter 13, use filing date; minimum 1 year discharged ○ Dismissed Chapter 13, use dismissal date
INVESTOR DSCR - DSCR & RENTAL INCOME REQUIREMENTS	
DSCR Ratio	• Loan amounts >= \$75,000 - < \$125,000 require a minimum DSCR of 1.00 • Loan amounts >= \$125,000 require a minimum DSCR of .75 • Minimum DSCR .75 • Short Term Rentals minimum DSCR >= 1.15 • DSCR calculation is as follows: ▪ Debt-Service Coverage Ratio = Short or Long Term Gross Rental Income / PITIA Fully Amortizing or ITIA (for IO Loans)
Lease and Occupancy Requirements	<u>General Requirements:</u> • For all purchase transactions, it is acceptable for property to be vacant; gross market rents from the 1007 / 1025 will be used. ○ If the property is currently tenant occupied, the 1007/1025 must reflect the terms of the current lease • All refinance transactions require the property to be leased. Vacant property is not eligible <u>except</u> for: ○ Properties leased through short term rental agencies; or ○ With evidence that property has been recently rehabbed and is currently listed for rent and is being marketed as such. • Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member. • On a Delayed Financing transaction, the property may be unleased at the time of the appraisal
Short Term Rentals (STR)	<u>Short Term Rentals:</u> • Defined as properties leased on a nightly, weekly, monthly, or seasonal basis. • Min DSCR >= 1.15 • Max LTV: Lesser of 75% or the Matrix LTV/CLTV • Evidence is required from a third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject property is located allows properties to be rented as STRs ○ Note: except for the five (5) New York City Boroughs which are ineligible for purchase. <u>Short Term Gross Rental Income:</u> • The following options are available: ○ 1007/1025 or ○ Alternative Short Term Rent Analysis form developed by an AMC or ○ 12-month look back on rents received using bank statements or third party rental statements • When using the 1007/1025 or alternative Short Term Rent Analysis, the market rents must account for the seasonality of the subject property's rents
Long Term Rentals	<u>Long Term Gross Rental Income:</u> <u>Monthly gross rents are calculated as follows:</u> • If using the lesser of market rents or the lease, nothing further is required

	• If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120% • If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120% • Refinance: ○ FNMA 1007/1025 required, along with one (1) of the following: ▪ Executed lease with no less than 1 month remaining at time of closing is required for all units in the subject property. Month-to-month tenancy is not subject to this requirement with sufficient evidence (such as a signed extension letter, or 1007, which includes a review of the current lease confirming month-to-month)
--	--

INVESTOR DSCR - ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required • Atypical deposits do not need to be sourced on DSCR transactions
Reserves	• Loan Amount to \$500,000 and $\leq 80\%$ LTV = 3 months of PITIA • Loan Amount to \$500,000 and $> 80\%$ LTV = 6 months of PITIA • Loan Amount $> \\$500,000$ to $\\$2,000,000$ = 6 months of PITIA • Loan Amount $> \\$2,000,000$ = 12 months of PITIA • 2-4 Units at 80% LTV requires greater of 6 months or reserves indicated above. • Cash Out Refinance may be used to satisfy requirement
Gift Funds	• Permitted after meeting minimum 10% borrower contribution regardless of LTV. • Cannot be used to meet reserve requirements

INVESTOR DSCR - PROPERTY REQUIREMENTS

Property Types	Single Family, PUD or Townhouse (Attached or Detached)	• Single family properties with 1 or more accessory dwelling unit (ADU) or 2-4 units with 1 ADU are permitted if subject property is in an municipality that allows. The appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables	
	2-4 Units Restrictions	• 2 Units - Refinance: ○ Max LTV: 80% • 3-4 Units - Refinance: ○ ≥ 1.00 DSCR = Max LTV 75% • < 1.00 DSCR = Max LTV 70%	
	Condos (Warrantable and Non-Warrantable)	• Ineligible for $> 80\%$ LTV <u>Purchase and Rate & Term Refinance:</u> • 720+ credit score / Max 80% • < 720 credit score / Max 75%	<u>Cash Out Refinance</u> • 720+ credit score / Max 75% • < 720 credit score / Max 70%
	Condotels	<u>Purchase or Rate & Term Refinance:</u> • 700 credit score / Max LTV 70%	<u>Cash Out Refinance:</u> • 700 credit score / Max LTV 65% • 680 credit score / Max LTV 60%

		• 680 credit score / Max LTV 65%	
		• Min DSCR >= .75 • Max Loan Amount: \$1,500,000	
Rural Properties	• Properties in a resort area will only be considered as follows: ○ Maximum LTV of 65% and ○ Min DSCR >= 1.00 ○ Examples of acceptable resort areas include beach towns, ski resort areas, golf communities or communities with other major recreational activities ○ If property is accessible by a gravel road and distance of comparable is > 1 mile away, the property could be considered rural even if it is marked suburban, and then Max LTV is the lesser of 65% LTV or the applicable Matrix LTV ○ Properties must be accessible by roads that meet state/local minimum standards • Properties must be suitable for year-round occupancy regardless of location • Properties listed as Rural / Underserved on the following website are not eligible: https://www.consumerfinance.gov/rural-or-underserved-tool/		
Appraisals	• Second appraisal required for all loan amounts > \$2.0M • Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5 except for those with a full second appraisal • C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.		
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when > 65% LTV		
Acreage	• Max 2 acres; Acreage and land value must be typical and common for the subject's market.		

INVESTOR DSCR NO RATIO OVERVIEW

The Investor DSCR No Ratio Program is a designed to offer certain DSCR options when the rental income is not sufficient to cover the cover the monthly payments. This program allows investors additional options . Refer to the Investor DSCR No Ratio Matrix for LTVs, minimum and maximum loan amounts, etc.

INVESTOR DSCR NO RATIO - GENERAL REQUIREMENTS

General Requirements	
Exceptions	• Not Permitted
Product Type	• 30 Year Fixed • 15 Year Fixed
Interest Only	• Not permitted
Loan Amounts	• Min: \$125,000 and Max \$1,500,000
Interested Party Contributions	• 6%
Subordinate Financing	• Not Permitted

Occupancy	• Investment Properties (Business Purpose)
Loan Purpose	• Purchase, Rate & Term Refinance, and Cash Out Refinance
2-1 Buydown	• Not Permitted
Refinances – Continuity of Obligation	• Continuity of ownership is required on all refinance transactions, which occurs when at least one borrower(s) or member of the LLC on the existing mortgage is also a Borrower on the new refinance transaction • When an existing mortgage will be satisfied because of the refinance transaction, the following requirements must be met: ○ At least one borrower on the refinance mortgage held title for the most recent six (6) month period and the mortgage file contains documentation evidencing the borrower has been making timely mortgage payments, including the payments for any secondary financing, for the most recent six (6) month period • At least one borrower on the refinance mortgage inherited or was legally awarded the mortgaged premises by a court in the case of divorce, separation, or dissolution of domestic property
Properties Listed for Sale	• All Refinance transactions: property cannot be listed for sale in the last 12 months prior to the application date
Delayed Financing	• Delayed Financing loans are considered Cash Out Refinance refinances for eligibility purposes, however, are not subject to cash-in-hand limits • It is acceptable for a property to be unleased provided the appraiser indicates in the appraisal that the property has been improved or rehabbed post-acquisition, to warrant the lack of an existing lease. ○ The explanation and documentation are subject to Underwriter review to determine if an acceptable reason has been provided for lack of a lease.
Cash-Out	• LTV > 60% = \$1,000,000 • LTV <=60% = Unlimited • Cash-in-hand limits do not apply to Delayed Financing Transactions • Not permitted for Non-Permanent Resident Aliens • Cash Out Refinance refinances on properties acquired within the past 12 months are ineligible
Max Financed Properties	• Max 20
Insurance Requirements	• In addition to property and title insurance, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. Blanket policies covering the subject property are permitted.
Escrow Waivers	• Not permitted
Prepayment Penalty	• Required on Investment Properties where permitted. Refer to the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	• Credit 120 days • Assets: 90 days
INVESTOR DSCR NO RATIO - BORROWER ELIGIBILITY	
Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Alien <u>Ineligible:</u> • ITIN • DACA • Foreign National

	○ U.S. Credit only ○ Below Visa Types only permitted: E-1, E-2, E-3, EB-5, G-1 through G-5, H1-B, L-1, NATO, O-1, R-1, TN NAFTA. ○ Cash Out not permitted • Tenants in common are ineligible unless all parties match the borrowers on the loan.	• LLCs, partnerships, or corporations (may qualify for vesting only) • Trusts or Land Trusts (trusts may qualify for ownership vesting only)
First Time Homebuyer (FTHB)	• Considered	
Investor Experience	• Not Required	
Entity Vesting	• Entity vesting layering of entity not permitted	

INVESTOR DSCR NO RATIO - CREDIT REQUIREMENTS

Credit Score	• Minimum credit score: 700 • The Representative Score is as follows: ○ Lowest middle score of all borrowers
Tradelines	• Each borrower must have a minimum of two (2) trades within 24 months that show a 12 month history OR a combined credit profile between both borrowers with a minimum of three (3) tradelines • Tradeline activity is not required. Eligible trades cannot have delinquency in the past 24 months
Derogatory Credit	• All derogatory revolving and installment accounts 60 days delinquent within 4 years of closing requires a full explanation • Non-title charge-offs and collections within three years and exceeding \$5,000 (individually or aggregate) must be paid. Medical collections less than \$15,000 are not required to be paid • IRS tax payment plans approved by the IRS are permitted provided they are current and do not carry a lien on the property ○ A copy of the approved repayment plan is required ○ A minimum of 2 months has elapsed on the plan and evidence of timely payments for the most recent 2 months is provided
Credit/ Housing Events	• 3 years seasoning is required • Chapter 13 must be discharged or dismissed 2+ years • Multiple bankruptcies not permitted

INVESTOR DSCR NO RATIO – DSCR AND RENTAL INCOME REQUIREMENTS

DSCR Ratio	• 0 to 74.99 • DSCR calculation is as follows: ○ Debt-Service Coverage Ratio = Gross Income / PITIA
Lease and Occupancy Requirements	<u>General Requirements:</u> • For all purchase transactions, it is acceptable for property to be vacant; gross market rents from the 1007 / 1025 will be used. ○ If the property is currently tenant occupied, the 1007/1025 must reflect the terms of the current lease • <u>All refinance transactions require the property to be leased. Vacant property is not eligible.</u>

	• Property cannot be occupied by the borrower(s), any member of the borrower's LLC or any family member. • Short term rentals are not permitted.
Long Term Rentals	<u>Long Term Gross Rental Income:</u> Purchase: • Gross market rents from the 1007 / 1025 will be used. • If the property is currently tenant occupied, the 1007/1025 must reflect the terms of the current lease. ◦ If the 1007/1025 is higher than the current lease, it's permissible to use the higher market rents to qualify. <u>Monthly gross rents are calculated as follows:</u> • If using the lesser of market rents or the lease, nothing further is required • If using a higher lease amount, evidence of 2 months of receipt is required, and the lease must be within 120% of the market rents. If the actual rent exceeds 120% of the market rents, the rents are capped at 120% • If using a higher estimated market rent from the 1007/1025, it must be within 120% of the lease amount. If the estimated market rent exceeds the lease by more than 120%, the estimated market rent is capped at 120% • Refinance: ◦ FNMA 1007/1025 required ◦ Leases are not required on refinance transactions ◦ If using the lesser of market rents or the lease, nothing further is required.

INVESTOR DSCR NO RATIO - ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required • Business assets are permitted provided Borrower has 100% ownership of the business. • Atypical deposits do not need to be sourced
Reserves	• Loan Amount $\geq$ \$75,000 to \$500,000 – 3 months of PITIA • Loan Amount $>$ \$500,000 to \$1,500,000 = 6 months of PITIA • Cash Out Refinance may be used to satisfy requirement
Gift Funds	• Permitted after meeting minimum 10% borrower contribution regardless of LTV. • Cannot be used to meet reserve requirements

INVESTOR DSCR NO RATIO - PROPERTY REQUIREMENTS

Property Types	Single Family , PUD or Townhome (Attached or Detached)	• Single Family Residences with 1 or more accessory dwelling unit (ADU) or 2-4 units with 1 ADU are permitted if subject property is in an municipality that allows. The appraiser must specifically confirm compliance with local regulations and 2 similar comparables.
	3-4 Units Restrictions	• Refinance: ◦ Max LTV 70%
	Condos (Warrantable and Non-Warrantable)	• Condominium leaseholds not permitted
	Condotel	• Not permitted

Rural Properties	• Not permitted • Properties listed as Rural / Underserved on the following website are not eligible: https://www.consumerfinance.gov/rural-or-underserved-tool/
Appraisals	• 1 Full Appraisal is required • Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5 • C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when > 65% LTV
Acreage	• Max 2 acres; Acreage and land value must be typical and common for the subject's market

DSCR MULTI & MIXED (5-10 UNIT MULTI, 2-8 UNIT MIXED-USE) OVERVIEW

The DSCR Multi & Mixed Program is designed specifically for the investors who want to use DSCR income for a multi-unit or mixed use property.

Refer to the DSCR Multi& Mixed Matrix for LTVs, minimum and maximum loan amounts, etc.

DSCR MULTI & MIXED - GENERAL REQUIREMENTS

Exceptions	• Permitted
Product Type	• 30 Year Fixed, 15 Year Fixed • 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) • 30 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) • 5/6 and 7/6 SOFR ARMs, 30 Year Term – Fully Amortizing
Interest Only	• Max LTV: 75%
Loan Amounts	• Min: \$250,000 and Max \$3,000,000 • Loan sizes under \$400,000 require a 5% reduction to LTV
Interested Party Contributions	• 6%
Occupancy	• Investment Properties (Business Purpose)
Loan Purpose	• Purchase, Rate & Term Refinance, and Cash Out Refinance
2-1 Temporary Buydown	• Not permitted
Cash-Out	• Max cash-out: \$1,000,000
Subordinate Financing	• Not Permitted
Insurance Requirements	• In addition to property and title insurance, In addition, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. Blanket policies covering the subject property are permitted.
Insurance Requirements	• In addition to property and title insurance, Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. • Blanket policies covering the subject property are permitted.

Escrow Waivers	• Not Permitted
Prepayment Penalty	• Required where permitted. Refer to the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal.
Age of Loan Documentation	• Credit: 120 days • Assets: 90 days

DSCR MULTI & MIXED - BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Aliens • Non-Permanent Resident Aliens • Foreign Nationals	<u>Ineligible:</u> • ITIN • DACA
First Time Homebuyer (FTHB)	• Not Permitted.	
Investor Experience	• First time investors not permitted for Mixed-Use 2-8 Units. • Borrower must have a history of owning and managing commercial or residential real estate for at least 1 year in the last 3 years • First time investors are permitted on 5-10 Unit Residential properties with a 0x30x24 housing history or when the Primary Residence is owned free and clear.	
Entity Vesting	• Permitted	
Foreign National	• Min DSCR ≥ 1.00 • Foreign Credit is permitted. • Reserves: 12 months PITIA	• LTV requirements: ◦ $\leq \\$2,000,000$ = Purch & Rate/Term: 70% LTV or Cash-Out: 65% LTV ◦ $> \\$2,000,000 - \\$2,500,000$ = Purch & Rate/Term: 65% LTV or Cash-Out: 60% LTV ◦ $> \\$2,500,000 - \\$3,000,000$ = Purch & Rate/Term: 60% LTV or Cash-Out: 55% LTV

DSCR MULTI & MIXED - CREDIT REQUIREMENTS

Credit Score	• Minimum credit score is 720 • The Representative Score is as follows: ◦ Middle of 3 scores or lower of 2 of all Borrowers
Tradelines	• All borrowers have 3 scores: or • Minimum 2 open and reporting 24 months; or • 3 open and reporting 12-months.
Housing History	• 0x30x24
Credit / Housing Events	• 2 years seasoning is required

DSCR MULTI & MIXED – DSCR AND RENTAL INCOME REQUIREMENTS

DSCR Ratio	• Min 1.00 • DSCR calculation is as follows:
-------------------	---

	○ Debt-Service Coverage Ratio = Gross Income / PITIA
Rental Income Requirements	• Use lower of Estimated market rent or lease agreement on a refinance. • Purchases use the estimated market rent. • For leases that have converted to month-to-month, provide 2 months bank statements to support rental income. • Reduce qualifying rents by any management fee reflected on the appraisal report. • 2-8 Units Mixed Use: ○ Income from commercial space must not exceed 49% of the total property income.
Lease & Occupancy Requirements	• For Purchase, Rate & Term Refinance and Cash-Out transactions, all units must be either leased or in lease ready condition meaning the properties have been cleaned, no renovations or repairs to the properties are needed and the properties are immediately available to be leased to an eligible tenant. • Corporate lease agreements are acceptable with lease terms consistent with typical market standards and will be subject to standard market rent verification. • Lease agreements that allow single room occupancy or boarder leases are not permitted. • Third party sale and leaseback agreements or contract for deed transactions will not be permitted. • All leases must be in U.S. Dollars. • For a leased property, the DSCR is based upon the lesser of the estimated market rents or the leases. On purchase transactions, copies of the leases are not required. • Properties with expired leases that have converted to month to month per the terms of the lease will require bank statements for the lesser of two months or the period after the lease expired. • Vacant Unit(s) – Use 75% of the market rents to qualify. ○ Max 1 vacancy on a refinance of a 2-3 Unit property. ○ Max 2 vacancies on a refinance of a 4+ Unit property. • On a purchase, and/or a refinance situation where a property was recently rehabbed, with evidence the property is currently listed for rent, it is not considered unleased, and it is permissible for all units to be vacant at the time of purchase or refinance, provided all units are in lease-ready condition. • Reduce Qualifying Rents by any management fee reflected on appraisal report • 2-8 Units Mixed-Use: ○ Income from commercial space cannot exceed 49% of the total property income
Eligible Tenants	• Neither the borrower(s) nor the borrower's immediate family shall at any time occupy the residential units. • Borrower affiliated tenants are defined as any borrower or guarantor, any affiliate of the borrower/guarantor, any holder of a direct or indirect interest in Borrower or such affiliate, any officer, director, executive employer, or manager of the borrowing entity, and any family member (including spouse, siblings, ancestors, and lineal descendants) of any person or entity described previously. • Borrowers must attest that all residential tenants are non-borrower affiliated. • Commercial units may be occupied by the borrower's business, however in that instance the lesser of market rents or the amount of rent from the lease will be used when calculating the DSCR for the borrower occupied units.
DSCR MULTI & MIXED - ASSET AND RESERVE REQUIREMENTS	
Assets	• 30-day asset verification required

Reserves	• Loan Amt <= \$1,500,000: 6 Months PITIA • Loan Amt > \$1,500,000 - \$2,000,000: 9 months PITIA • Loan Amt > \$2,000,000 - \$2,500,000: 12 Months PITIA • Loan Amt > \$2,500,000 - \$3,000,000 12 Months PITIA • Cash Out Refinance may be used to meet reserve requirements
Gift Funds	• Permitted after meeting min 10% borrower contribution regardless of LTV. • Cannot be used to meet reserve requirements

DSCR MULTI & MIXED - PROPERTY REQUIREMENTS

Property Type	Multi Family and Mixed-Use • Residential 5-10 Units • Mixed Use 2-8 units. • For properties with less than 5 units, at least 1 unit must be commercial. ○ 2-3 Units: Max 1 commercial unit ○ 4-5 Units: Max 2 commercial units ○ 6-8 Units: Max 3 commercial units ○ Commercial space must not exceed 49% of the total building area • Multiple buildings on one parcel are not permitted.
Rural Properties	• Not permitted
Property Requirements	• Minimum 400 square feet per unit • Must be accessible for year-round residential use • Each residential unit must contain a full kitchen and bath • Represent the highest and best use of the property
Property Condition	• No fair or poor ratings • No environmental issues (Storage or use of hazardous material, ex. Dry Cleaners, Laundromat) • No health or safety issues as noted by the appraiser (ex. Broken windows, stairs, etc.) • No excessive deferred maintenance that could become a health or safety issue for tenants. • No structural deferred maintenance (ex. Foundation, roof, electrical, plumbing)
For Sale by Owner	• Not permitted
Appraisals	<u>Residential 5-10 units:</u> • FHLMC 71A • FHLMC 71B for loan amounts < \$750,000 (Correspondent only) • Narrative report <u>Mixed-Use 2-8 Units:</u> • FHLMC 71A • FHLMC 71B for loan amounts < \$750,000 (Correspondent only) • General Purpose Commercial Forms (ex. GP Commercial Summary Form) or Narrative report • Loans > \$2,000,000 require a second appraisal unless a 71A or Commercial Narrative report is provided. ○ BPO to be ordered on all transactions except for those including two full appraisals. • The following are required with each report: ○ Full Interior Inspection of each unit ○ Rent roll

	- Income and Expense Statement - Photos of subject including exterior/interior and street scene - Aerial photo - Sketch or floor plan of typical units. - Map - Appraiser qualifications
Declining Markets	Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when >65% LTV.
Acreage	Max 2 acres; Acreage and land value must be typical and common for the subject's market.

GENERAL UNDERWRITING REQUIREMENTS

These NQM Funding, LLC Non-QM and DSCR Underwriting Guidelines ("the Guidelines"), coupled with each of the Program matrices, provide the requirements for NQM Lending, LLC to close or purchase a loan.

2-1 TEMPORARY BUYDOWN

A 2-1 buydown is a mortgage loan option in which the seller of the home or the builder, reduces the homebuyer's interest rate for the first two years of the loan. In year one, the interest rate is 2% less than the original note rate. In year two, the interest rate is 1% less. The seller or builder covers the difference between what the payments typically would be and the adjusted, bought-down rate.

- Qualify off full payment (Permanent Note Rate, rather than the terms of the buydown)
- Temporary Buydowns must be considered in the Interested Party Limitations. See [Interested Party Contributions](#) for limitations.
- Seller or Builder Funded buydowns permitted.
- Lender Paid or 3rd Party Buydown (Excluding Real Estate Agents, Brokerages, Borrower, or relatives) are permitted for Correspondent Clients only.

Other buydown requirements:

- Buydowns are considered a credit and must be disclosed on the LE/CD as such.
- Buydown must be disclosed in the sales contract.
- Loans must be locked indicating the buydown.
- An executed buydown agreement between the parties is required in the loan package.
- The Mortgage Instruments must reflect the permanent payment terms, not the terms of the buydown. If the terms of the buydown are reflected, the loan is ineligible for origination or purchase.
- All other terms and details (including Buydown Agreement) must follow [FNMA guidelines B2-1.4-.04](#).

AGE OF LOAN DOCUMENTATION

Credit reports must be dated within 120 days of the note date.



Income and Asset Documentation must be dated within 90 days of the note date.

MORTGAGE INSURANCE

Mortgage Insurance is not required on any of our Programs.

DAILY SIMPLE INTEREST

Loans where interest is calculated based on daily simple interest are not eligible on any of our Programs.

GEOGRAPHIC RESTRICTIONS

DC	Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
FL	- Foreign Nationals and Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible. - Charlotte, Lee, Hendry, and Glades Counties: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
HI	Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondents and Wholesale.
IL	- Cook County: Effective July 2, 2025, all occupancies are ineligible. - Kane, Peoria and Will Counties: Ineligible for TRID loans – Restriction does not apply to Correspondents.
IN	Indianapolis: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
MD	Baltimore City: Effective July 2, 2025, all occupancies are ineligible.
MS	Closed end second liens ineligible.
NJ	- Closed end second liens are ineligible. - Patterson: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.
NY	- Effective July 29, 2025, NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. - All originations are restricted as follows: - Closed end second liens are ineligible. - Brooklyn: Effective July 29, 2025, Investment Properties are ineligible, including DSCR. - Orange County: Effective July 2, 2025, all occupancies are ineligible. - No 5/6 ARMs on Investment Property loans below the FNMA loan limit. - See NY Subprime section for requirements. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	- Second Liens are ineligible; - Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible - Lubbock: Effective July 2, 2025, Investment Properties are ineligible, including DSCR.

ALTERNATIVE LOAN PROGRAM ANALYSIS

Loan applications are to be reviewed for approval under a traditional conventional conforming or



FHA loan Program available to the Client. The *NQM Funding, LLC Alternative Program Analysis Form, or something similar, must be provided* to ensure borrowers are proceeding under the appropriate loan Program.

The following loans are exempt from this requirement:

- Business Purpose Loans
- Foreign National Loans
- Loans qualified using Alternative Documentation

ESCROW WAIVERS

Waiving escrows for taxes and insurance* is allowed on non-HPML loans and for the following product types if housing/rental history is 0x30x12:

Waiver of escrows is not permitted on the following:

- Flood Insurance premiums for properties located in zones A or V.

Note: however that taxes and hazard escrows can be waived provided the escrow waiver requirements are met and the loan is priced with an escrow waiver.

*Elective flood insurance policies for properties not located within a flood map/zone which do not require flood insurance coverage, are not required to be escrowed.

EXCEPTIONS

Exceptions to published guidelines are considered on a case-by-case basis. Exception Requests must be submitted in writing using the NQM Fundings, LLC (NQMF) **Exception Request Form** and must include a minimum of two compensating factors.

It is in the sole discretion of NQMF to approve or deny any exception request. Approval of the exception does not guarantee final loan approval. The loan must still undergo a full underwriting review for final approval.

Credit committee may grant a maximum 5% LTV exception but never more than 5% above the related cohort (i.e., credit score, loan amount and LTV) as per the related Program Matrix.

Exceptions are not permitted for Flex Supreme, DSCR Supreme, Flex Select – P&L Only, Flex Select Express (DU), Super Jumbo and the Second Lien Select Programs.

Top Compensating Factors for Exception Consideration

- Significant Gross Disposable Income
- DSCR Ratio Above 1.15%
- Significant Reserves (beyond requirements)
- DTI well below Program max
- Lengthy & deep credit history of solid performance
- Demonstrated capacity to carry a heavy debt load with on time performance
- Credit score well above Program minimum with solid performance
- LTV well below Program Max
- Long, Clean Mortgage History
- Significant time on the same job

COMPLIANCE

HIGHER PRICED MORTGAGE LOANS (HPML)

Higher Priced Mortgage Loans are permitted with certain restrictions:

- Escrow accounts are required.
- A Full Interior/Exterior Appraisal is required to include a certification from the appraiser indicating that the appraisal was prepared in accordance with the requirements of title XI of the Financial Institutions Reform, Recovery and Enforcement Act of 1989, as amended (12 U.S.C. 3331 ET SEQ.), and any implementing regulations.
- On a purchase transaction, a second appraisal is required if:
 - If the seller acquired the property within the past 90 days and the new purchase price is more than 10% of the seller's acquisition price OR
 - If the seller acquired the property within the past 91 to 180 days and the new purchase price is more than 20% of the seller's acquisition price.
 - The second appraisal must be obtained prior to the note date.
 - The second appraisal must be provided to the borrower (standard delivery requirements apply).
 - The cost of the second appraisal may not be passed along to the borrower.
- *Note that the timelines are measured from the date the seller became the legal owner of the property and the date all parties signed the purchase agreement.*
- If the seller acquired the property through the following methods, a second appraisal is not required:
 - Bridge loans (for 12 months or less),
 - Reverse mortgages,
 - Loans for the initial construction of a dwelling – note that this is for a true construction loan, not for the end loan purchase of a newly constructed property,
 - A local, state, or federal government agency,

- Through a foreclosure or deed in lieu, or
- Inheritance or through a dissolution of marriage, civil union or domestic partnership, or through the partition of the seller's joint or marital assets.

STATE AND FEDERAL HIGH COST LOANS

NQM Funding, LLC, Federal does not permit high cost mortgages, except for certain Second Lien loans. See [Second Lien Select Program - General Requirements](#) for restrictions and requirements.

In addition, except for loans that comply with New York Subprime regulations, any loan that meets the definition of "high cost," "high risk," "covered," "subprime" or any similar designation under state or local law is not permitted.

States may impose different definitions of points and fees, rate/APR, or prepayment penalties than apply under HOEPA. States may also use different triggers in each category for determining whether a loan will be a "high-cost mortgage" (or equivalent terms) under state law. As a matter of policy, NQM Funding, LLC does not purchase or originate 1st Lien loans defined as high-cost mortgages (or equivalent terms) under Federal or state law, regardless of the basis for the loan's treatment as such.

NEW YORK SUBPRIME LOANS

- NY Subprime loans will be permitted provided ALL the following requirements are met:
 - **Disclosures requirements:**
 - *Borrower's Choice of Attorney Disclosure*
 - *Consumer Caution and Homeownership Counseling Notice*
 - *NYSDFS List of Approved Housing Counselors (no signature required)*
 - All the above must be delivered to the borrower prior to Closing.
 - Signature on the first two (2) documents will be required or if mailed out, evidence of mailing at least three (3) days prior to Closing.
 - Signatures/evidence of delivery must be for all borrowers on the loan.
 - **Mavent:**
 - Loan must NOT fail the *High Cost (NY Part 41)* test. NQM Funding, LLC does not allow NY High-Cost Loans.
 - Loans must NOT fail the *High Cost (NY)* test. NQM Funding, LLC does not allow NY High-Cost Loans.
 - Note, these are two separate Mavent tests.
 - Higher Rate review is where the subprime designation will show up:
 - A "fail" is permitted for the Fixed Loan > 15 Year Term test (63900)
 - ALL other tests under the Higher-Rate Review must PASS for the loan to be eligible.
 - **Closing Documentation Requirements:**
 - Must include a legend on the top of the mortgage in 12-point/font type stating, *"This mortgage is a subprime home loan subject to New York's subprime home loan laws."*
 - **Loan Program Requirements:**

- Fixed Rate
- No PPP
- Escrow impounds for taxes /insurance are required.
- Refinance loans:
 - ❖ Must have a documented sufficient NTB, AND
 - ❖ Must not be a flip of a loan originated within 6 months, AND
 - ❖ May not pay off a special mortgage guaranteed through a state, tribal or local government, or nonprofit organization, which either bears a below-market interest rate at the time of origination, or has nonstandard payment terms beneficial to the borrower, and where, because of refinancing, the borrower will lose 1 or more of the special benefits.
- **Correspondent Clients:**
 - Must ensure the correct Disclosures are generated with their Disclosure Package. Fillable PDFs of the required NY Subprime Disclosure are posted on the Portal.

PREPAYMENT PENALTIES, POINTS, AND FEES

Total points, fees, and APR may not exceed current state and federal high-cost thresholds. In addition, except for Investment Property transactions, points and fees may not exceed the lesser of state regulations or 5%, excluding prepayment penalties.

- Prepayment penalties are required on Investment Property transactions where permitted by applicable local law.
- Correspondents may treat Investment Properties as Non-TRID however, an LLPA will be charged for not having a prepayment penalty as per the Rate Sheet.
- Buydown options are available to reduce or remove prepayment penalties. Refer to the appropriate NQM Funding, LLC Rate Sheet for details.
- Prepayment penalties on a Primary Residence and Second Home transactions are prohibited.

Note: States may impose different definitions of points and fees, rate/APR, or prepayment penalties than apply under HOEPA. States may also use different triggers in each category for determining whether a loan will be a "high-cost mortgage" (or equivalent terms) under state law. As a matter of policy, NQM Funding, LLC, does not purchase loans defined as high-cost mortgages (or equivalent terms) under Federal or state law, regardless of the basis for the loan's treatment as such.

- Refer to the Business Purpose Licensing & PPP Restrictions PDF in the Documents Tab of our Client Portal for all state requirements.
- Refer to the respective rate sheet for minimum requirements for prepayment penalties.

PRINCIPAL CURTAILMENT

A curtailment may be applied to refund the overpayment of fees or charges paid by the borrower, in any amount.



If the borrower receives more cash back than is permitted for Cash Out Refinance refinances, a curtailment to reduce the amount of cash back to the borrower to bring the loan in compliance may be applied however the maximum amount of the curtailment cannot exceed the lesser of \$2,500 or 2% of the original loan amount.

MAXIMUM INTEREST CREDIT

NQM Funding allows an interest credit through the 5th of the month.

OCCUPANCY TYPES

PRIMARY RESIDENCE

A Primary Residence (or owner-occupied property) is a dwelling occupied by the borrower as his or her principal residence.

To qualify as a Primary Residence, the transaction must meet each of the following criteria:

- Property is in the same general area as the borrower's employment.
- Borrower intends to occupy the subject property for the majority of the year.
- Property possesses physical characteristics that accommodate the borrower's family.

SECOND HOME

A Second Home is a dwelling occupied by the borrower in addition to their Primary Residence (may also be referred to as a vacation home). Second homes are restricted to a 1-unit dwelling.

Typical Second Homes should meet the following criteria:

- Be located a reasonable distance away from the borrower's Primary Residence.
- Must be occupied by the borrower or members of the borrower's family for a portion of the year.
- Suitable for year-round occupancy
- Borrower must have exclusive control over the property.
- Must not be subject to any timeshare arrangements, rental pools or other agreements which require the borrower to rent the subject property or otherwise give control of the subject property to a management firm.

INVESTMENT PROPERTY & BUSINESS PURPOSE LOANS

An Investment Property (or non-owner-occupied property) is an income-producing property that the borrower does not occupy.

A business purpose loan is an Investment Property where funds are used solely for business purposes and is considered a Non-TRID transaction. **The Property must not and cannot be occupied by**



a borrower, any member of the borrower's LLC, or any family member.

- Retail / Wholesale
 - Investment properties and all DSCR loans must be Business Purpose and processed as non-TRID transactions.
 - The Business Rider to the Mortgage/Deed of Trust must be executed at closing.
- Correspondent
 - Loans may be processed as TRID or non-TRID transactions (Business Purpose Loans)
- Business Purpose Forms
 - Business Purpose & Occupancy Affidavit is required on all Business Purpose loans (all borrowers are required to sign to declare that the property is, or will be, for commercial business or investment purpose only).

TRANSACTION TYPES

PURCHASE

A purchase transaction is one which allows a buyer to acquire a property from a seller. A copy of the fully executed purchase contract and all attachments or addenda is required. The lesser of the purchase price or appraised value of the subject property is used to calculate the loan-to-value.

An assignment of the purchase contract is not permitted unless the individual assigning the contract is assigning the rights to an entity in which the individual has an ownership interest.

REFINANCE GENERAL

Rate & Term Refinance, cash-out refinance, and debt consolidation transactions are allowed.

Debt Consolidation available on Flex Select only. See [Debt Consolidation](#).

BENEFIT TO BORROWER (REFINANCE GENERAL)

In keeping with the commitment of responsible lending, all Primary Residence and Second Home refinance transactions must have a measurable benefit to the borrower.

When determining the benefit on a refinance transaction, one or more of the following must exist to support the benefit to the borrower:

- Balloon payoff
- Title transfer
- Property retention
- Rate reduction
- P&I reduction



- Debt reduction
- Uncontrolled cash-out

State-specific and/or federal benefit to borrower compliance requirements must be adhered to.

Additional restrictions apply if the new loan refinances an existing loan considered to be a special mortgage. A special mortgage is originated, subsidized, or guaranteed by or through a state, tribal, or local government, or nonprofit organization that either bears a below-market interest rate at the time the loan was originated or has nonstandard payment terms beneficial to the borrower, such as payments that vary with income, are limited to a percentage of income, or where no payments are required under specified conditions.

If the borrower will lose one or more of the benefits of the special mortgage, then both of the following apply:

- NQM Funding, LLC must check that the loan complies with all applicable state and local laws as well as laws associated with the subject special loan Program for compliance; and
- NQM Funding, LLC must take special care to ensure a net tangible benefit to the borrower.

RATE & TERM REFINANCE

A Rate & Term Refinance is the refinancing of an existing mortgage for the purpose of changing the interest and/or term of a mortgage without advancing new money on the loan. The max cash back is 2% of the loan amount.

The mortgage amount for a Rate & Term Refinance is limited to the sum of the following:

- Existing first mortgage payoff
- Closing costs and prepaid items (interest, taxes, insurance) on the new mortgage
- The amount of any subordinate mortgage liens used in their entirety to acquire the subject property (regardless of seasoning)
- The amount of a home equity line of credit in first or subordinate lien position that was used in its entirety to acquire the subject property (regardless of seasoning)
- Any subordinate financing that was not used to purchase the subject property provided:
 - For closed end seconds, the loan is at least six months seasoned as determined by the time between the note date of the subordinate lien and the note date of the new mortgage.
 - For HELOCs and other open-ended lines of credit, the loan is at least six months seasoned and there has been less than \$5,000 in total draws over the past 6 months.

If the most recent first mortgage transaction on the property was a cash-out refinance within the last 6 months, the new mortgage is not eligible as a Rate & Term Refinance and must proceed as a cash-out refinance. Note date to note date is used to calculate the 6 months.

On Rate & Term Refinance transactions, the borrower may only receive cash back in an amount not to exceed 2% of the new mortgage balance. Borrowers may pay off debt through the transaction up to the Rate & Term Refinance limits.

DETERMINING LOAN TO VALUE (R/T)

The appraised value is used to determine loan-to-value, regardless of the acquisition date. If the refinance is being completed within six months of a prior refinance, there must be a minimum of 10% savings in payment to demonstrate sufficient benefit to the borrower.

PROPERTIES LISTED FOR SALE (R/T)

- Primary Residence or Second Home rate and term refinance:
 - The subject property must be taken off the market on or before the application date. The borrower must also confirm in writing the reason for the prior listing and their intentions for the property.
- Investment properties:
 - The property must be taken off the market prior to closing provided the new loan has a prepayment penalty.
- If the new loan does not have a prepayment penalty (including when a PPP is not permitted due to state laws), the property must be taken off the market on or before the application date.
- On all occupancy types: if the property was listed for sale in the six (6) months prior to the application date, the value will be based on the lesser of the appraised value or the lowest listing price.

CASH-OUT REFINANCE (C/O)

While maintaining the property is an acceptable use for Cash Out Refinance proceeds, major renovations or rehabs, tear downs etc., are not permitted on the subject property that could deem the property uninhabitable.

ELIGIBILITY REQUIREMENTS (C/O)

The following requirements apply to a Cash Out Refinance:

- A cash-out refinance is a refinance that does not meet the Rate & Term Refinance definition.
- A mortgage taken out on a property previously owned free and clear is always considered a cash-out refinance.
- A signed Borrower Certification of Business Purpose disclosing the purpose of the cash-out must be obtained on Business Purpose loans.
 - The purpose of the cash-out should also be reflected on the loan application. If the loan purpose for is anything other than Business Purpose, the loan will be deemed ineligible.

The mortgage amount for a cash-out refinance transaction may include any of the following:

- Existing first mortgage payoff
- Closing costs and prepaid items (interest, taxes, insurance) on the new mortgage
- The amount of any subordinate mortgage liens being paid off that do not meet seasoning and draw history requirements as described in [Rate & Term Refinance](#)



- Paying off delinquent real estate taxes (60 or more days past due)
- The amount of any non-mortgage related debt paid off through closing (not permitted on business purpose loans)
- Additional cash in hand reflected on the settlement statement.

OWNERSHIP REQUIREMENTS (C/O)

At least one borrower on the new loan must have been a titleholder on the subject property (not required to be a borrower) for at least six (6) months prior to the disbursement date of the new loan, unless one of the following exceptions apply:

- There is no waiting period if the borrower acquired the property through an inheritance or was legally awarded the property (divorce, separation, or dissolution of a domestic partnership).
- See [Delayed Financing](#) section.
- If the property was owned prior to closing by a limited liability corporation (LLC), partnership, or corporation that is majority-owned or controlled by the borrower(s), the time held by the entity may be counted towards meeting the borrower's six-month ownership requirement.
- If the new transaction is for a Primary Residence or Second Home transaction, ownership must be transferred out of the entity's name at/prior to closing.
- If the property was owned prior to closing by an Inter Vivos Revocable Trust, the time held by the trust may be counted towards meeting the borrower's six-month ownership requirement if the borrower is the primary beneficiary of the trust.

SEASONING (C/O)

- Note date is used to calculate seasoning requirements.
- A minimum of 6 months must have elapsed since the most recent mortgage transaction on the subject property unless otherwise specified in a product section or matrices.
- The most recent mortgage transaction includes either the most recent purchase of the property (including land only) or a subsequent refinance of the property. This requirement does not apply in the following situations:
 - Delayed Financing
 - When buying out a co-owner pursuant to a legal agreement
 - Title changes from a single member LLC to the borrower where the borrower owns the LLC.

DETERMINING LOAN TO VALUE (C/O)

- Properties owned ≥ 6 months to < 12 months, the appraised value may be utilized to determine property value (this does not apply to Condotels, or Foreign Nationals Loans).
- If the new appraised value is more than 120% of the acquisition cost, the appraisal should show signs of recent improvements justifying the increase in value.
- If the property was acquired ≤ 6 months, Cash Out Refinance is only permitted for Delayed Financing purposes.



Condotels and Foreign Nationals require the lesser of the current appraised value or previous purchase price plus documented improvements to be used when determining LTV on properties acquired in the most recent 12 months.

PROPERTIES LISTED FOR SALE (C/O)

- Primary Residence or Second Home cash-out refinance:
 - The subject property must be taken off the market on or before the application date.
 - The borrower must also confirm in writing the reason for the prior listing and their intentions for the property.
- Investment properties:
 - The property must be taken off the market prior to closing provided the new loan has a prepayment penalty.
 - If the new loan does not have a prepayment penalty (including when a PPP is not permitted due to state laws), a Cash Out Refinance is not permitted. The loan must be completed as a rate and term refinance.
- On all occupancy types: if the property was listed for sale in the six (6) months prior to the application date, the value will be based on the lesser of the appraised value or the lowest listing price.

DELAYED FINANCING (C/O)

Cash Out on properties purchased by the borrower and owned less than 6 months is allowed. The following requirements apply:

- Original transaction was an arm's-length transaction.
- Settlement statement from purchase confirms no mortgage financing used to acquire subject except for instances in which the borrower has obtained a short term and/or hard money type loan which is being paid through proceeds. A copy of the note is required to verify the terms.
- In Texas on an owner-occupied transaction, delayed financing is only permitted when the property was purchased entirely in cash; the payoff of a short term and/or hard money loan is not permitted.
- Source of funds used for purchase are documented, such as bank statements, personal loan documents, or a HELOC / loan on another property.
- If the source of funds used to acquire the property was an unsecured loan or a loan secured by an asset other than the subject property (such as a HELOC secured to another property), the settlement statement for the refinance transaction must reflect that all Cash Out Refinance proceeds be used to pay off or pay down, as applicable, the loan used to purchase the property.
- Funds received as gifts and used to purchase the property may not be reimbursed with proceeds of the new loan.
- The new loan amount can be no more than the actual documented amount of the borrower's initial investment in purchasing the property plus the financing of closing costs, prepaid fees, and points on the new mortgage loan.

DEBT CONSOLIDATION (D/C)

A debt consolidation refinance transaction involves the repayment of existing liens and additional consumer debt. is considered a cash-out transaction.

Consumer debt being consolidated is paid directly through the closing and referenced on the Closing Statement. Transactions in Texas must comply with the requirements set forth in [Texas Home Equity Loans](#).

The following requirements apply to debt consolidation transactions:

- Primary Residences with full or alternative documentation
- Traditional full doc only for Second Home transactions
- DTI ≤ 50%
- Consumer debt must be no more than 0x60 in the past 6 months.
- Minimum 3-month reserves after closing (no additional reserves required for other loan features)
- Cash to the borrower must not exceed 2% of the new mortgage balance.
- Non-mortgage debt being paid off with the new loan is limited to a maximum of \$250,000.
- Non-occupant co-borrowers not allowed.
- Not permitted for Investment Properties.

Debt consolidation transactions must result in the following benefits to the borrower:

- Total monthly debt payments are lowered by at least 10%; and
- Closing costs must be recouped within 60 months, excluding taxes, insurance, prepaids and interest.
 - If the borrower is not saving 10% the loan must be treated as a cash-out refinance.

DETERMINING LOAN TO VALUE (D/C)

For properties owned between (6) to (12) months, the appraised value may be utilized to determine property value with restrictions.

- The loan amount may not exceed 100% of the acquisition cost plus documented improvements, or
- The new appraised value may not exceed 120% of the acquisition cost.

If the property was acquired ≤ 6 months from application date, the lesser of the current appraisal value or previous purchase price plus documented improvements (if any) must be used. The purchase settlement statement and any invoices for materials/labor will be required.

PROPERTIES LISTED FOR SALE (D/C)

On a debt consolidation loan, the subject property must be taken off the market on or before application date. The borrower must also confirm in writing the reason for the prior listing and intent to occupy the subject property.

If the property was listed for sale within six (6) months prior to the application date, the lesser of



the lowest list price or the current appraised value will be used to determine loan-to-value.

ASSUMABILITY

Loans must not be assumable. This applies to all 1st and second lien loans regardless of loan Program.

FLIP TRANSACTIONS

When the subject property is being resold within 180 days of its acquisition by the Seller with more than a 20% increase in value, the transaction is considered a “flip”. To determine the 180-day period, the acquisition date (the day the seller became the legal owner of the property) and the purchase date (the day both parties executed the purchase agreement) should be used.

New construction by a production builder is considered a flip transaction if the developer acquired the lot in the last 180 days and the purchase price has increased by more than 120%.

Flip transactions are subject to the following requirements:

- All transactions must be arm's length, with no identity of interest between the buyer and property seller or other parties participating in the sales transaction including but not limited to the spouse of the Seller or Borrower being the Realtor on the transaction.
- No pattern of previous flipping activity may exist in the last twelve (12) months. Exceptions to ownership transfers may include newly constructed properties, sales by government agencies, properties inherited or acquired through divorce, and sales by the holder of a defaulted loan.
- The property was marketed openly and fairly, through a multiple listing service, auction, for sale by owner offering (documented) or developer marketing.
- No assignments of the contract to another buyer.
- If the property is being purchased for more than 5% above the appraised value, a signed letter of acknowledgement from the Borrower must be obtained.
- If the value of the property being purchased after being rehabbed appraises at more than 20% of the seller's acquisition cost and the 6-months seasoning requirement is not met, one (1) full interior/exterior appraisal and a Clear Capital Desk Review is required, unless the loan is an HPML Purchase Transaction in which case the below requirement applies.
- HPML Purchase Transactions:
- On a purchase transaction, a second appraisal is required if:
 - If the seller acquired the property within the past 90 days and the new purchase price is more than 10% of the seller's acquisition price OR
 - If the seller acquired the property within the past 91 to 180 days and the new purchase price is more than 20% of the seller's acquisition price.
 - The second appraisal must be obtained prior to the note date.
 - The second appraisal must be provided to the borrower (standard delivery requirements apply).
 - The cost of the second appraisal may not be passed along to the borrower.
- Timelines are measured from the date the seller became the legal owner of the property and

the date all parties signed the purchase agreement.

- Flip transactions must comply with the HPML appraisal rules in Regulation Z. The full Reg Z revisions can be found at: <https://www.consumerfinance.gov/rules-policy/final-rules/appraisals-higher-priced-mortgage-loans/>. If the seller acquired the property through the following methods, a second appraisal is not required:
 - Bridge loans (for 12 months or less),
 - Reverse mortgages,
 - A local, state, or federal government agency,
 - Through a foreclosure or deed in lieu, or
 - Inheritance or through a dissolution of marriage, civil union or domestic partnership, or through the partition of the seller's joint or marital assets.

NON-ARM'S LENGTH TRANSACTIONS

Non-arm's length transactions involve a direct relationship outside of the subject transaction between a borrower and a party to the loan.

See [Employee Loans](#)

Examples of non-arm's length transactions include, but are not limited to, the following:

- Family member sales
- Renters purchasing from current landlord
- Buyer trading properties with the seller
- Property seller foreclosure bailouts (Builder bailout loans are not permitted.)
- Existing buyer relationship with loan officer, real estate agents, closing agent, appraiser, builder, or developer.

Non-arm's length transactions are subject to all the following:

- Relationship must be fully disclosed.
- Borrower to provide a written explanation stating relationship to the seller and reason for purchase.
- Letter is not required when borrower is purchasing the property they have been residing in, i.e., lease purchase or tenant-purchase situations.
- Borrower to provide a copy of the canceled earnest money check paid to the property seller.
- NQM Funding, LLC must be satisfied that the transaction makes sense.
- All liens on title to be paid in full and reflected on the settlement statement.
- Lesser of sales price or current appraised value to be used to calculate the LTV.
- Borrowers cannot provide services on transaction (closing agent, title agent, appraiser, etc.)
- Borrower may not be an owner of a business entity selling the subject property.

The following additional requirements apply only to family sales:

- Verification that the borrower has not been in title to the property in the past 24 months.
- Payoff statement for the subject property may not show any signs that the transaction is a bailout.
- Gift of Equity is permitted on a Primary Residence only. See [Gift of Equity](#).

INHERITED PROPERTIES AND PROPERTY BUYOUTS

Refinances of inherited properties and properties legally awarded to the borrower (divorce, separation, or dissolution of a domestic partnership) are allowed. If the subject property was acquired < 12 months prior to loan closing, the transaction is considered a cash-out.

These transactions are subject to the following:

- Written agreement signed by all parties stating the terms of the buyout and property transfer must be obtained.
- Equity owners must be paid through settlement.
- Subject property has cleared probate, and property is vested in the borrower's name.
- Current appraised value is used to determine loan-to-value.

LAND CONTRACT/CONTRACT FOR DEED

When the proceeds of a mortgage transaction are used to pay off the outstanding balance on a land contract that was executed more than 12 months prior to the date of the loan application, the transaction is considered Rate & Term Refinance.

If the land contract was executed within 12 months of the date of the loan application, the transaction is considered a purchase.

The following requirements apply:

- Primary Residence only when the land contract is unrecorded. Second homes and investment homes are permitted only when the Land Contract has been recorded for a minimum of 12 months prior to closing on the new transaction.
- Copy of fully executed land contract and payoff(s) to be obtained.
- Copies of canceled checks for 12 months (or term of the lease if less) as evidence of timely payments
- If the land contract was executed less than 12 months ago, the borrower's previous housing payment history must also be verified to complete a completed 12-month history.
- Liens on title to be paid in full and reflected on settlement statement at closing.
- If the contract was executed less than 12 months ago, the lesser of the purchase price or the current appraised value must be used to determine LTV. The current appraised value may be used to determine LTV if the land contract was executed over 12 months ago.
- Cash Out and non-arm's length transactions not eligible
- If the Land Contract was recorded, it is not considered a Non-Arm's Length Transaction.
- If the Land Contract has been in effect for more than 12 months, the borrower will not be considered a First Time Homebuyer (FTHB).

LEASE WITH PURCHASE OPTION

Lease with purchase option (aka rent credit with option to purchase) transactions is allowed for Primary Residences only. Borrowers may apply a portion of the rent paid to their down payment requirements. See [Rent Credit for Lease with Purchase Option](#) for detailed requirements.



For lease with purchase option transactions, the file must contain:

- Copy of fully executed rental/purchase agreement verifying monthly rent and the specific terms of the lease; and
- Copies of canceled checks for 12 months (or term of lease if less) as proof of rental payments
- If they have been in the lease purchase agreement for more than 12 months, the borrower will not be considered a First Time Homebuyer (FTHB).

PERMANENT FINANCING FOR NEW CONSTRUCTION

The conversion of construction-to-permanent financing involves the granting of a long-term mortgage to a borrower to replace interim construction financing obtained by the borrower to fund the construction of a new residence. The borrower must hold title to the lot, which may have been previously acquired or purchased as part of the transaction.

When a refinance transaction is used, the borrower must have held legal title to the lot before he/she applied for the construction financing and must be named as the borrower for the construction loan.

A construction-to-permanent transaction may be closed as a purchase, Rate & Term Refinance or cash-out refinance. All construction work must be complete. See [New Construction](#).

- Lots owned ≥ 12 months from application date for the subject transaction, LTV is based on the current appraised value.
- Lots owned < 12 months from application date for subject transaction, LTV is based on the lesser of the current appraised value of the property or the total acquisition costs (sum of construction costs and purchase price of lot).

SUBORDINATE FINANCING

Secondary or subordinate financing may be allowed to the maximum CLTVs listed on the applicable matrices with the following requirements.

- Purchase and refinance transactions with a new simultaneous second lien are eligible when HCLTV does not exceed max LTV/HCLTV stated in the most restrictive of the 1st or second lien product matrices.
- Refinance transactions with existing second lien may be re-subordinated. The HCLTV may not exceed:
 - 90% on a Primary Residence and
 - 85% on a Second Home
- The second lien must be institutional. HELOC line limits may be paid down to meet HCLTV caps. Lines reduced or balances paid down must be fully documented including source of funds.
- Borrowers who currently have a second lien with an interest only payment, must be qualified with the fully amortizing payment.

If the subordinate financing has a simultaneous closing, the following is required:

- A copy of the loan approval and repayment terms for the new financing; and
- A copy of the executed note at closing.

If the subordinate financing is being subordinated, the following is required:

- The repayment terms of the existing second lien.
- An unsigned copy of the subordination agreement prior to closing; and
- A copy of the executed subordination agreement at closing.

The following requirements apply to all subordinate liens:

- Seller-held subordinate liens are not permitted.
- Subordinate financing must be recorded and clearly subordinate to the new mortgage.
- Payment on the subordinate financing must be included the borrower's DTI. If a payment is unable to be determined, 1.5% of the original loan balance can be used.
- If the debt is an equity line of credit, the CLTV ratio is calculated by adding the total HELOC credit line limit (rather than the amount of the HELOC in use) to the first mortgage amount, plus any other subordinate financing, and dividing that sum by the value of the property.
- Negative amortization is not allowed, and the scheduled payments must be sufficient to cover at least the interest due.
- Subordinate financing from the borrower's employer may not include a provision requiring payment upon termination.

Subordinate liens can be paid off as part of closing. See [Rate & Term Refinance](#) and [Cash Out Refinance](#) for more information.

NEW YORK CEMAS

Consolidated Extension and Modification Agreement (CEMA) may be utilized for refinance transactions secured by property located in the State of New York.

NQM Funding, LLC approved attorneys must be used to review and prepare CEMA documentation on wholesale and retail transactions. Please refer to the NQM Funding, LLC Approved New York Attorney List in the Documents tab on the client Portal.

- Correspondents are responsible for utilizing attorneys with an expertise in reviewing and preparing CEMA documents.
- Lost Note Affidavits may not be used for any CEMA.

FOREIGN NOTARIES

Documents signed outside of the United States must be notarized by a U.S. embassy or consular official. The certificate of acknowledgment must meet the standard notarial requirements and must include the embassy or consular seal. If the U.S. embassy or consular official is unavailable, a notary is acceptable if the country, where signing is taking place, is part of the Hague Convention and the signed documents are accompanied by an Apostille.

- Use the following link to determine if the country is part of the Hague Convention:

<https://travel.state.gov/content/travel/en/International-Parental-Child-Abduction/abductions/hague-abduction-country-list.html>

- Model Apostille forms can be found on the following link:
<https://www.hcch.net/en/instruments/specialised-sections/apostille>

CITIZENSHIP

U.S. CITIZENS

All U.S. citizens are eligible for financing.

PERMANENT RESIDENT ALIENS

A permanent resident alien is a non-U.S. citizen authorized to live and work in the U.S. on a permanent basis. Permanent resident aliens are eligible for financing. Acceptable evidence of lawful permanent residency must be documented and meet one of the following criteria:

- I-551 – Permanent Resident Card (Green Card) that does not have an expiration date.
- I-551 – Permanent Resident Card (Green Card) issued for 10 years that has not expired.
- I-551 – Conditional Permanent Resident Card (Green Card) issued for 2 years that has an expiration date, if it is accompanied by a copy of USCIS form I-751 requesting removal of the conditions when the Green Card is expiring within 90 days of the two year conditional expiration date.
- Un-expired Foreign Passport with an unexpired stamp reading as follows: “Processed for I-551 Temporary Evidence of Lawful Admission for Permanent Residence. Valid until mm-dd-yy. Employment Authorized.”

DACA

DACA borrowers are eligible with ITIN / SSN with Valid U.S. driver's license along with EAD card (Category E33) evidencing their DACA status and permission to work in the United States.

- All DACA loans must be qualified under the Select ITIN Program.

TEMPORARY PROTECTED STATUS

If the TPS status of the country of origin has been vacated or shortened, the borrower is ineligible. Updates must be monitored through the following link to ensure Temporary Protected Status (TPS) associated with the borrower's country of origin is still in effect and has not been vacated:

<https://www.uscis.gov/humanitarian/temporary-protected-status>

NON-PERMANENT RESIDENT ALIENS (NPRA)

A Non-Permanent Resident Alien is a non-U.S. Citizen authorized to live and work in the U.S. on a temporary basis.

If a non-U.S. citizen is borrowing with a U.S. citizen, it does not eliminate visa or other residency requirements. Any Borrower not meeting the below criteria is not eligible:

- A valid Social Security Number
- Employment Authorization or VISA (as per below)
- Residency / Employment Requirements:
 - 2 years employment in the same line of work and 2 years of residency (in the U.S. or abroad); or
 - Borrowers transferred by a company with offices in both a foreign country and the U.S.:
 - Documentation of transfer executed on corporate letterhead required.
 - First paycheck required to be in file prior to closing.
 - Borrowers who have been offered and sponsored for employment in the U.S. under an H1-B VISA:
 - Documentation of sponsorship required along with VISA.
 - First paycheck required to be in the file prior to closing.

EMPLOYMENT AUTHORIZATION (NPRA)

The borrower's Employment Authorization must be documented by one of the following:

- Form I-766 Employment Authorization Document (EAD):
 - If the Borrower's Employment Authorization expires within **three (3) months** of the loan application, one of the following must be provided:
 - A letter from the employer documenting the borrower's continued employment and continued visa renewal sponsorship. The employer on the loan application must be the same as on the unexpired visa.
 - Evidence of at least one prior EAD renewal must be provided, along with evidence the borrower has timely filed Form I-765.
- Form I-765 Application for Employment Authorization:
 - Must reflect approval status in the Action Block in the upper right corner of the form
 - Form I-797, I-797A, I-797B, or I-797C conveying approval status
 - Petitioner must match name on the application

The EAD documentation is acceptable for up to 540 days if an automatic extension has been granted.

Acceptable Documentation to Support the Borrower's Legal Status for borrowers granted Asylum:

- Form I-765 Employment Authorization referencing C08.
- After being granted asylum in the U.S., DHS issues Form I-94, an Arrival/Departure Record to asylees. Form I-94 will contain a stamp or notation, such as "asylum granted indefinitely" or the appropriate provision of the law (8CFR 274a.12(a)(5) or INA 208) to show their employment authorization.
- The asylee does not need to present a foreign passport with Form I-94.
- An Asylee can also present an electronic Form I-94 with an admission class of "AY."

VISA (NPRA)

- If an EAD is not provided, a copy of the Visa permitting employment authorization is to be

provided.

- Visa types allowed for all Programs (except DSCR No-Ratio):
 - A-1, A-2, E-1, E-2, E-3, EB-5, G-1 through G-5, H-1, H1-B, NATO, L-1 O-1, R-1, TN
- DSCR No Ratio: (U.S. Credit)- allow for the following Visa types:
 - E-1, E-2, E-3, EB-5, G-1 through G-5, H-1B, L-1, NATO, O-1, TN (NAFTA), R-1
- If the visa will expire within **three (3) months** following the closing date, additional documentation is required:
 - Evidence that the proper extension steps have been followed per the USCIS along with proof of payment receipt and proof that the extension was done in the period required by USCIS (ex. I-797 with a valid extension date along with an I-94 Form).
- Visa Waiver:
 - Borrowers who are residents of countries which participate in the State Department's Visa Waiver Program (VWP) will not be required to provide a valid visa. Participating countries can be verified through the U.S. Department of State website at <https://travel.state.gov/content/travel/en/U.S.-visas/tourism-visit/visa-waiver-Program.html>.

FOREIGN NATIONALS

- If a non-U.S. Citizen is borrowing with a U.S. Citizen, foreign national documentation requirements still apply.
- The following documentation is required:
 - Copy of the borrower's valid and unexpired passport and:
 - Copy of the borrower's unexpired visa OR an I-797 form (Notice of Action) with valid extension dates and I-94 Form (Arrival/Departure Record), or
 - Borrowers from countries participating in the State Department's Visa Waiver Program (VWP) are not required to provide a valid visa.
 - Participating countries can be found at <https://travel.state.gov/content/travel/en/U.S.-visas/tourism-visit/visa-waiver-program.html>.
- Citizens of Canada traveling to the United States do not require a nonimmigrant visa. A list of nonimmigrant Visa types is located on the U.S. Department of State website:
 - <https://travel.state.gov/content/travel/en/U.S.-visas/visa-information-resources/all-visa-categories.html>
- All parties (Borrower's and Seller's) involved on the transaction must be screened through exclusionary lists and must be cleared through OFAC's SND list.
 - A search of Specially Designated Nationals & Blocked Persons list may be completed via U.S. Department of Treasury: <http://sdnsearch.ofac.treas.gov/>.
- Borrowers from OFAC sanctioned countries are ineligible:
 - <http://www.treasury.gov/resource-center/sanctions/Programs/Pages/Programs.aspx>
- Individuals with Diplomatic immunity are not eligible:
 - immunity status is listed on the reverse side of the U.S. issued ID card or at:



<https://2009-2017.state.gov/s/cpr/rls/dpl//index.htm>

- Documents signed outside of the United States must be notarized by a U.S. embassy or consular official.

EXCLUSIONARY LIST/OFAC/DIPLOMATIC IMMUNITY

All parties involved in each transaction must be screened through any exclusionary list used by the seller and the NQMF Ineligible Party List located in the NQMF Portal. The seller should apply its exclusionary list policy to any loans originated under these guidelines.

Borrowers and Guarantors from OFAC sanctioned countries are ineligible for the Foreign National Program. The search is to be completed through the U.S. Department of Treasury Office of Foreign Asset Control: <https://ofac.treasury.gov/sanctions-programs-and-country-information>. This does not apply to Permanent or Non-Permanent Resident Aliens.

Individuals with diplomatic immunity are not eligible due to the inability to compel payment or seek judgment. Verification the borrower does not have diplomatic immunity can be determined by reviewing the visa, passport, and/or the U.S. Department of State's Diplomatic List at: <http://www.state.gov/s/cpr/rls/>.

BORROWERS

- A borrower is a credit applicant who will have ownership interest in the subject property, sign the security instrument, and sign the mortgage/deed of trust and note.
- If two or more individuals own the property jointly, and are jointly and severally liable for the note, all are borrowers.
- While only individuals may act as borrowers, a related Business Entity or Inter Vivos Revocable Trust may have an ownership interest through title to the subject property under certain circumstances as enumerated in the Vesting and Ownership section.
- A maximum of four (4) borrowers are permitted on any transaction.

CUSTOMER IDENTIFICATION (CIP)

The USA Patriot Act requires banks and financial institutions to verify the name, date of birth, address, and identification number of all borrowers. Sellers are to follow the published CIP procedures for each seller to ensure the identity of all borrowers has been documented.

FRAUD REPORT AND BACKGROUND CHECK

All loans must include a third-party fraud detection report for all borrowers and/or guarantors. Report findings must cover standard areas of quality control including, but not limited to borrower validation, social security number verification, and property information (subject property and other real estate owned). All high-level alerts on the report must be addressed by the seller.

If the seller cannot electronically access the fraud report to clear high-level alerts within the fraud provider's system, an Underwriter's Certification from the seller is acceptable. The Certification



must address each individual high alert and explain what actions were taken to satisfy the issues. It must be signed and dated by a member of the seller's underwriting staff or operations management personnel.

In addition to the fraud and background check requirements, NQM Funding, LLC will provide evidence via an unsuccessful return if background check is not available. The fraud check should also include occupancy status to assist in the validation and endorsement of the Business Purpose & Occupancy Affidavit.

INELIGIBLE BORROWERS

The following borrowers are not eligible:

- LLCs, partnerships, or corporations (may qualify for vesting only)
- Borrowers with diplomatic immunity or otherwise excluded from U.S. Jurisdiction.
- Residents of any country not permitted to transact business with U.S. companies are ineligible (as determined by any U.S. government authority)
- Trusts or Land Trusts (trusts may be eligible for ownership vesting only)
- Borrowers less than 18 years old
- Refer to matrices for vesting restrictions on loans with Prepayment Penalties.
- Self-Directed IRA's

CO-BORROWERS

Co-borrower is often used to describe any borrower other than the first borrower whose name appears on the note.

All borrowers are evaluated on their ability to meet credit requirements and underwriting and eligibility standards.

- All co-borrowers must take title to the subject property. A related Business Entity or Inter Vivos Revocable Trust may have an ownership interest in title to the subject property.
- Co-borrowers may not be an interested party to the transaction. Examples include, but are not limited to, property seller, builder, realtor, appraiser (a buyer who also acts as their own buying agent is permitted.)

NON-OCCUPANT CO-BORROWERS

If a Non-Occupant co-borrower is permitted based on the related Program requirements.

Following are the requirements:

- Primary occupancy only
- Purchase and Rate & Term Refinance only (non-occupant must be on the current mortgage for a Rate & Term Refinance refinance)

FIRST TIME HOMEBUYER (FTHB)

A First Time Homebuyer is defined as a borrower who had no ownership interest in a residential



property in the United States during the preceding 3 year period.

If a spouse is on the deed of a principal residence in the last 3 years, they are not a First Time Homebuyer.

If either borrower has had ownership interest, as defined above, the loan is not subject to the First Time Homebuyer (FTHB) restrictions.

EMPLOYEE LOANS

Loans to employees of the Client are allowed. Transactions must meet the following requirements:

- Primary Residence and Second Homes only.
- **Loan must be originated as a Full Documentation type only.** Loans must adhere to non-arm's length transaction guidelines.
- Officers of the Seller are permitted on an exception basis only.

POWER OF ATTORNEY

A Limited Power of Attorney (POA) is acceptable when following requirements are met:

- POA is specific to the transaction
- Signed and Notarized Recorded with the mortgage/deed of trust.
- Contains an expiration date.
- Used only to execute the final loan documents.
- Borrower who executed the POA signed the initial 1003.
- No interested party to the transaction (such as property seller, broker, loan officer, realtor, etc.) may function as Power of Attorney.
- POA is not permitted on Cash Out Refinance, Foreign National, or when title is vested in a trust or an entity.

VESTING AND OWNERSHIP

FEE SIMPLE OWNERSHIP

Acceptable forms of vesting with Fee Simple ownership are:

- Individuals
- Joint Tenants
- Tenants in Common
 - Not permitted for condominiums
 - DSCR No Ratio Program: permitted only if all parties vested match the borrowers on the loan
- Inter Vivos Revocable Trust
- Investment Property Only:
 - Limited Liability Company (LLC)
 - Limited and General Partnerships
 - Corporations

- S Corporations

Only individuals can be a borrower. The other entities listed above relate only to an ownership interest in the subject property. INELIGIBLE FORMS OF VESTING:

- Land Trusts
- Blind Trusts
- Life Estates
- Non-Profit Corporations
- IRA's
- Irrevocable Trust

INTER VIVOS REVOCABLE TRUST

Inter Vivos Revocable Trusts are allowed as vested or titled owners of the subject property (but not as borrowers). One or more natural persons must establish the trust, solely or jointly. The primary beneficiary of the trust must be the individual(s) who establish the trust. The trust must become effective during the lifetime of the person establishing the trust.

If the trust is established jointly, there may be more than one primary beneficiary as long as the income or assets of at least one of the individuals establishing the trust will be used to apply and qualify for the mortgage. A Power of Attorney is not permitted on loans when title is vested in a trust.

The trustee must include either:

- The individual establishing the trust (or at least one of the individuals, if 2 or more); or
- An institutional trustee that customarily performs trust functions in and is authorized to function as trustee under the laws of the applicable state.

The trustee must have the power to hold the title and mortgage the property. This must be specified in the trust. One or more of the individual parties establishing the trust must use personal income or assets to apply and qualify for the mortgage.

A copy of the trust is required, or a signed attorney's opinion may be obtained in lieu of the trust documents. The opinion letter must indicate that the trust meets all published requirements and must also include the following:

- Name of the trust
- Date executed.
- Settler(s) of the trust
- Whether it is revocable or irrevocable
- Whether the trust has multiple trustees
- Name of trustees
- Manner in which vesting will be held.

The attorney needs to also verify that the trust has not been revoked, modified, or amended in any manner that would cause the representations to be incorrect.

The deed of trust/mortgage and all attached riders must be completed by the authorized trustee(s) of the trust that is the vested owner of the subject property.

Trust Certs are allowed when permitted by the state.

Closing Documents must be executed in compliance with FNMA signature requirements for Mortgages to Inter Vivos Trusts : <https://selling-guide.fanniemae.com/sel/e-2-04/signature-requirements-mortgages-inter-vivos-revocable-trusts>

ENTITY VESTING

Ownership or title vesting in the name of an LLC, partnership, or corporation (collectively 'Entity') is acceptable on Investment Property transactions only. While only individual owners of the Entity must qualify as the borrowers, ownership of the subject property may vest in an Entity.

REQUIREMENTS – ENTITY VESTING

To vest ownership in an Entity, the following requirements must be met:

- Entity limited to a maximum of four owners (aka members, partners, or shareholders)
- Personal Guarantees are required from the authorized signor(s) who are borrowers on the loan along with any individual with 50% or greater ownership in the entity.
- The loan application, credit report, income, and assets for the authorized signer will be used to determine qualification and pricing.
- If the operating agreement does not state an authorized signer, then all entity owners must apply as a borrower and complete a 1003 as an individual applicant.
- Entity must be domiciled in the U.S..
- Each Entity owner must receive notice of the loan and its terms prior to closing.
- LLCs owned by LLCs will be reviewed on a case-by-case basis.
- LLC documentation requirements must be met for each of the layered entities.
 - A maximum of two (2) layers will be considered.

DOCUMENTATION – ENTITY VESTING

The following Entity documentation must be provided:

- **Limited Liability Company (LLC)**
 - Entity Articles of Organization, Partnership, and Operating Agreements (if applicable)
 - Corporate documents that contain a list of owners along with titles
 - Tax Identification Number (EIN)

- Single member LLC may use the EIN or the guarantor's social security number
 - Multiple member LLCs require an EIN
- Certificate of Good Standing issued by the Secretary of State where the LLC was formed.
- Certificate of Authorization for the person executing all documents on behalf of the Entity
- Borrowing Certificate (LLC Borrowing Certificate – Single Member or LLC Borrowing Certificate – Multiple Member). Examples of these forms can be found on the portal in the Documents section.
- **Corporation**
 - Filed Certificate/Articles of Incorporation (and all amendments)
 - By-Laws (and all amendments)
 - Certificate of Good Standing issued by the Secretary of State where the corporation is incorporated.
 - Tax Identification Number (EIN)
 - Borrower Resolution/Corporate Resolution granting authority of signer to enter a loan obligation.
 - Receipt of current year franchise tax payment or clear search
- **Partnership**
 - Filed Partnership Certificate (if a general partnership, filing with the SOS may be required)
 - Partnership Agreement and all amendments
 - Certificate of Good Standing issued by the Secretary of State where the partnership is registered.
 - Tax Identification Number (EIN)
 - Limited partner consents (where required by partnership agreement)

SIGNATURE REQUIREMENTS – ENTITY VESTING

Documents must be completed and signed as follows:

- **Loan Application (1003)**
 - Completed and signed by the authorized signer or each individual owner.
 - 1003 section labeled “Title will be held in what Name(s)” should be completed with only the Entity name.
 - The application must include the subject property (when the transaction is a refinance) along with the borrower's Primary Residence on the Schedule of Real Estate owned. Other properties owned by the borrower are not required to be disclosed on the application.
- **Personal Guaranty**
 - Is not required when all members of the entity sign the Note personally AND for the entity and sign the mortgage as a member of the entity.
 - If the above is not true, then:
 - Personal Guaranty is required and must be executed by all borrowers, as well as any individual with 50% or greater ownership in the entity.

- The guaranty for any non-borrower with a 50% or greater ownership in the entity may be executed prior to closing, any terms referenced on the guaranty must reference the final terms on the loan.
 - Spousal Consent to Pledge on loan amounts \$1,000,000 and up
 - Spousal Consent to Pledge in community property states (AK, AZ, ID, LA, NM, TX, WA, WI).
- **Borrowing Certificate**
 - Signed by all entity members providing acknowledgement to terms of the financing unless:
 - All members are borrowers, or
 - Our borrower has been designated as the Authorized Signer specific to our transaction by the other members. If the Authorization is not specific to our transaction, a Borrowing Certificate signed by all members is required.
- **Disclosures** (GFE/LE, TIL, Notice of Intent to Proceed, Servicing Disclosure, etc.) - completed and signed by each individual borrower.
- **CD or HUD 1** - completed and signed by the authorized signer.
- **Other Closing Documents** (Final TIL, Business Purpose and Occupancy Affidavit, etc.) - completed by the Authorized signer or individual owners(s) of the Entity.
- **Note** - must be completed by the authorized owner(s) of the Entity who can legally sign and bind the Entity that is the vested owner of the subject property when accompanied by a Personal Guaranty OR by all members of the Entity both individually and as members when a Personal Guaranty is not executed.
- **Deed of Trust/Mortgage, and all attached Riders** - must be completed as a member by the authorized owner(s) of the Entity who can legally sign and bind the Entity that is the vested owner of the subject property.

Entity Signature Requirement Examples:

- [Authorized Signatory] may be replaced by a different title as specified in the Member Consent (e.g., Managing member, Member, etc.).
- Example 1:
 - Borrower: SS Properties, LLC by Steve Smith, Single Member of LLC
 - Signature Block of Note, Security Instrument, and all Riders:
 - SS Properties, LLC a [_____] limited liability company
 - Steve Smith
 - By: Steve Smith
 - Title: [_____]
- Example 2:
 - Borrower: SS Properties, LLC by Steve Smith and Mary Smith, two Members of LLC; both Members are Authorized Signatories of LLC.
 - Signature Block of Note, Security Instrument, and all Riders:
 - SS Properties, LLC a [_____] limited liability company
 - Steve Smith
 - By: Steve Smith
 - Title: [_____]

- And
- SS Properties, LLC a [_____] limited liability company
- Mary Smith
- By: Mary Smith
- Title: [_____]

LEASEHOLD ESTATES (LH)

Mortgages secured by properties on leasehold estates are acceptable in areas in which this type of property ownership has received market acceptance.

- The mortgage must be secured by the property improvements and the borrower's leasehold interest in the land.
- The leasehold estate and the improvements must constitute real property, be subject to the mortgage lien, and be insured by the lender's title policy.
- The leasehold estate and the mortgage must not be impaired by any merger of title between the lessor and lessee. In the event the mortgage is secured by a sublease of a leasehold estate, the documents must provide that a default under the leasehold estate will not by such default result in the termination of the sublease.
- Leasehold condominiums are not permitted.

LEASE REQUIREMENTS (LH)

The following requirements must be met for leases associated with leasehold estate mortgage loans:

- The term of the leasehold estate must run for at least five years beyond the maturity date of the mortgage unless fee simple title will vest at an earlier date in the borrower's name.
- The lease must provide that the leasehold can be assigned, transferred, mortgaged, and sublet an unlimited number of times either without restriction or on payment of a reasonable fee and delivery of reasonable documentation to the lessor.
- The lessor may not require a credit review or impose other qualifying criteria on any assignee, transferee, mortgagee, or sublessee.
- The lease must provide for the borrower to retain voting rights in any homeowners' association.
- The lease must provide that in addition to the obligation to pay lease rents, the borrower will pay taxes, insurance, and homeowners' association dues (if applicable), related to the land in addition to those he or she is paying on the improvements.
- The lease must be valid, in good standing, and in full force and effect in all respects.
- The lease must not include any default provisions that could give rise to forfeiture or termination of the lease, except for nonpayment of the lease rents.
- The lease must include provisions to protect the mortgagee's interests in the event of a property condemnation.
- The lease must provide lenders with:
 - the right to receive a minimum of 30 days' notice of any default by the borrower, and
 - the option to either cure the default or take over the borrower's rights under the lease.

ADDITIONAL ELIGIBILITY REQUIREMENTS (LH)

The following requirements must be met before a lender can deliver a leasehold estate mortgage for purchase or securitization:

- All lease rents, other payments, or assessments that have become due must be paid.
- The borrower must not be in default under any other provision of the lease, nor may the lessor have claimed such a default.

ESTABLISHING LAND PURCHASE PRICE (LH)

STATUS OF PROPERTY IMPROVEMENTS	PURCHASE PRICE OF LAND
Already Constructed at the time the lease is executed.	The initial purchase price should be established as the appraised value of the land on the date the lease is executed.
Already constructed at the time the lease is executed, and the lease is tied to an external index, such as the Consumer Price Index (CPI).	The initial land rent should be established as a percentage of the appraised value of the land on the date that the lease is executed. The purchase price may be adjusted annually during the term of the lease to reflect the percentage increase or decrease in the index from the preceding year. Leases may be offered with or without a limitation on increases or decreases in the rent payments.
Will be constructed after the lease is executed	The purchase price of the land should be the lower of the following: • the current appraised value of the land, or • the amount that results when the percentage of the total original appraised value that represented the land alone is applied to the current appraised value of the land and improvements. For example, assume that the total original appraised value for a property was \$160,000, and the land alone was valued at \$40,000 (thus representing 25% of the total appraised value). If the current appraised value is \$225,000, \$50,000 for land and \$175,000 for improvements, the purchase price would be \$50,000 (the current appraised value of the land, because it is less than 25% of \$225,000). <u>Note:</u> If the lease is tied to an external index, the initial land value may not exceed 40% of the combined appraised value of the land and improvements.

CREDIT

EQUAL CREDIT OPPORTUNITY ACT, FAIR HOUSING ACT & STATE FAIR LENDING LAWS

The Federal Equal Credit Opportunity Act prohibits lenders from discriminating against credit borrowers based on race, color, religion, national or ethnic origin, sex, marital or familial status, age (provided the borrower has the capacity to enter a binding contract), disability, because all or part of the borrower's income is derived from a public assistance program or because the borrower has, in good faith, exercised any rights under the Consumer Credit Protection Act. State laws may also prohibit discrimination on certain additional basis such as sexual orientation.

Similarly, the Fair Housing Act prohibits lenders from discriminating against mortgage borrowers based on race, color, religion, sex, familial status, national origin, or disability.

NQM Funding, LLC expects lenders originating loans for sale to NQM Funding, LLC to adhere to the letter and spirit of federal and state fair lending laws.

CREDIT REPORT – U.S. CREDIT

A credit report is required for all borrowers on a loan.

The credit report should provide merged credit information from the 3 major national credit repositories. Acceptable credit reporting agencies include Experian (credit score), TransUnion (Empirica), and Equifax (Beacon).

A valid Social Security number (SSN) is required for all borrowers on the loan.

- Either a three-bureau merged report, or a Residential Mortgage Credit Report (RMCR) is required.
 - The credit report should include verification of all credit references provided on the loan application and must certify the results of public record searches for each city where the individual has resided in the last 2 years.

FOREIGN CREDIT

- A borrower qualifying with foreign credit may or may not have a U.S. credit report with no credit score, a single credit score, or a credit score with insufficient tradelines.
- Maximum LTV is 75% for an owner-occupied property, 75% for a Second Home, and 70% for an Investment Property.
- Must establish an acceptable credit history demonstrating either 2 open tradelines reporting for 2 years with activity in the most recent 12 months displaying or three open trades with a 12+ month rating. In either example trades must experience no derogatory payments.
- This can be accomplished through a combination of ANY of the following:
 - Tradelines evidenced on an international credit report if a U.S. credit report cannot be produced or does not reflect sufficient trades; and/or
 - Alternative tradelines consisting of two of the following:

- Credit reference letter(s) from the borrower's country of origin with the following info:
 - State the type and length of the relationship, how the accounts are held, and status of the account.
 - Contact information must be provided for the person signing the letter; and
 - An **unaffiliated** certified translator must translate all document. Google translator is not permitted.
- A 2 year housing history can be used as a tradeline (if a Primary Residence is owned free and clear but taxes and insurance is paid for 12 months or more, this can be used for one of the trade lines.

FRAUD ALERTS

The three national credit repositories have developed automated messaging to help identify possible fraudulent activity on a credit report. Examples of fraud alerts include:

- Initial 90-day Fraud Alert
- Extended Fraud Alert
- Active-Duty Alert
- HAWK Alert

All Fraud Alerts must be properly addressed and resolved prior to closing. The actions must be reasonable and compliant with applicable laws. A final underwriting decision cannot be made without full resolution of the alert.

CREDIT REPORT SECURITY FREEZE

The credit report used to evaluate a loan may not reflect a security freeze and must be resolved prior to an underwriting decision. If a borrower unfreezes his or her credit after the date the original credit report was ordered, a new three-bureau merged report will be obtained to reflect current and updated information from all repositories.

CREDIT INQUIRIES

A signed letter of explanation from the borrower or creditor is required for all inquiries within the most recent 90 days to determine whether additional credit was granted and the borrower's request. This is not required on DSCR transactions.

UPDATED PAYMENT HISTORIES

Payment histories may be requested directly from a creditor when the credit report indicates delinquencies have been removed or when the majority of credit is from a non-institutional lender.

PAST DUE ACCOUNTS

Past due active consumer debts can be no more than 30 days past due at the time of closing.

CREDIT RESCORING

Credit Rescoring:

- Permitted Business Purpose loans only.
- Credit rescoring for all other loan transactions involving Primary Residence and Second Home occupancies are not permitted for the purpose of increasing the credit score to qualify, except to correct a reporting error as indicated in the permissible scenarios listed below.

Permissible scenarios for Primary Residence and Second Home transactions in which an updated credit report would be permitted (These rare instances must be acceptable at the sole discretion of the Underwriter based on the documentation provided):

- Borrower disputed erroneously reported account activity:
 - Mortgage, Installment, or Revolving account with current balance does not belong to the borrower(s)
 - Delinquent account does not belong to the borrower(s)
 - Borrower's account was paid off prior to making loan application; however, credit report shows a current balance and payment.
 - The creditor must acknowledge responsibility for the reporting error in writing (no exceptions); the reporting agency must correct the error; and borrower must provide evidence of the investigation and corrective action.
 - All credit reports pulled during the loan process must be in the loan file.
 - The credit report date has expired per Age of Documentation Policy.

GAP CREDIT REPORT

A credit refresh or undisclosed debt monitoring report dated within 30 days of closing is required, unless the original credit report is dated within 30 days from the Note Date. Evidence of undisclosed debt monitoring report is permitted to satisfy this requirement. DSCR loans are excluded from this requirement.

CREDIT SCORE REQUIREMENTS

Each of our Programs have specific Credit Score Requirements.

Program	Credit Score Requirements
Flex Supreme	• Minimum credit score 680 • A minimum of 2 credit scores is required. • The Representative Credit Score is based on the primary borrowers' credit score; qualify as follows: ◦ Highest middle credit score of 3 or lower of 2 credit scores ◦ Co borrower must have a minimum 600 score if not primary wage earner
Flex Select	• Minimum credit score 660 • The Representative Score is based on the primary borrowers' credit score; qualify as follows: ◦ Middle of 3 credit scores or lower of 2 credit scores • Additional borrowers must have a minimum credit score of 600
Super Jumbo	• Minimum credit score 720 for all borrowers • The Representative Score is based on the primary borrowers' credit score; qualify as follows: ◦ Middle of 3 credit scores or lower of 2 credit scores
Select ITIN	• Minimum credit score 660 for primary borrower • Additional borrowers must have a minimum credit score of 600 • A minimum of 2 credit scores is required; ◦ 1 credit score is permitted when the credit report has sufficient tradeline activity, defined below in the Tradelines section. • The Representative Credit Score is based on the primary borrowers' credit score; qualify as follows: ◦ Middle of 3 credit scores or lower of 2 credit scores ◦ 1 credit score, use as the Representative Credit Score
Foreign National	• When a U.S. Credit report is obtained, the minimum credit score is 700. Representative Credit core requirements: ◦ The primary borrower must have a valid credit score from at least 2 of the following 3 agencies: Experian (credit score), Transunion (Empirica), and Equifax (Beacon). Only credit scores from these agencies are acceptable. ◦ Select the middle credit score when 3 scores are provided and the lower credit score when only 2 credit scores are provided.
Second Lien Select	• Minimum credit score 680 • The Representative Credit Score is based on the primary borrowers' credit score; qualify as follows: ◦ Middle of 3 credit scores or lower of 2 credit scores • Additional borrowers must have a minimum credit score of 620
DSCR Supreme	• Minimum credit score is 720 • The Representative Score is as follows: ◦ Lowest middle score of all borrowers ◦ A minimum of 2 scores required

	○ Borrowers' with three credit scores: use the lowest middle score of all borrowers to qualify • Borrowers' with 2 credit scores: use the lower of the two scores to qualify
Investor DSCR	• Minimum credit score is 660 • The Representative Score is as follows: ○ Lowest middle score of all borrowers
Investor DSCR No Ratio	• Minimum credit score: 700 • The Representative Score is as follows: ○ Lowest middle score of all borrowers
DSCR Multi & Mixed	• Minimum credit score is 720 • The Representative Score is as follows: ○ Middle of 3 scores or lower of 2 of all Borrowers

TRADELINE REQUIREMENTS		
TYPE	OCCUPANCY	TRADELINE HISTORY
STANDARD TRADELINES	Primary Residence, Second Homes and Investment	3 valid tradelines reporting for 12+ months with activity in last 12 months or 2 valid tradelines reporting for 24+ months with activity in last 12 months Or 24-month mortgage history reporting on credit report 0x30x12 required
LIMITED TRADELINES	Primary Residence Only	See below
NON-TRADITIONAL CREDIT	Foreign National & ITIN Borrowers	See below

Only the primary borrower must meet the minimum tradeline requirements listed above, and married couples may combine tradelines.

To qualify as a valid tradeline, the following requirements apply:

- The credit line must be reflected on the borrower's credit report.
- The account must have activity in the past 12 months and may be open or closed.
- Tradelines used to qualify may not exceed 0x60 in the most recent 12 months.
- An acceptable 12- or 24-month housing history not reporting on credit may also be used as a



tradelines.

- Student loans can be counted as tradelines if they are in repayment and are not deferred.

Credit lines on which the borrower is not obligated to make payments are not acceptable for establishing a minimum history.

Examples of unacceptable tradelines include loans in a deferment period, collection or charged-off accounts, accounts discharged through bankruptcy, and authorized user accounts.

STANDARD TRADELINES

Borrowers qualifying with Standard Tradelines are eligible for all occupancy types and Programs. Guidance around tradeline eligibility:

- Trades must reflect an acceptable payment history with no more than 0x30x12 and minor delinquency permitted in months 13-24.
- Deferred accounts (w/o payment history) cannot be used to meet the minimum requirement.
- Closed accounts may be used to satisfy the minimum tradelines requirements provided they were closed in the last 12 months.
- A supplement is permitted to update an incomplete payment history on the credit report.

LIMITED TRADELINES

If limited tradelines are permitted for the respective Program, when a borrower does not meet the Standard Tradeline requirements, the borrower needs at least two Representative Credit Scores and must meet the following requirements.

- Primary Residence only
- 660 minimum credit Score
- Maximum DTI of 43%
- 10% minimum borrower contribution
- Max LTV 80%
- Must have a rental history with canceled checks or Management Company VOR.

NON-TRADITIONAL CREDIT

- Non-traditional credit is permitted for ITIN and Foreign National Program.
- Each borrower must have a valid and usable credit score as defined in Foreign Credit.

HOUSING HISTORY

All programs require verification of the borrower's housing history.

HOUSING HISTORY VERIFICATION (NON – DSCR)

Mortgage and rental payments not reflected on the credit report must be documented via an institutional Verification of Rent or Verification of Mortgage (VOR/VOM).

- A combined total of all late mortgage and rental payments for all properties in the past 12 months will be used to determine the housing history.
- Rolling delinquent payments are not considered a single event. Each occurrence of a contractual delinquency is considered individually for loan eligibility.
- If the borrower is making payments to an individual or interested party, one of the following is required:
 - A VOM/VOR along with the consecutive most recent 6 months of cancelled checks, bank statements, Venmo/Paypal documentation or
 - A copy of the note/lease along with the consecutive most recent 12 months of cancelled checks, bank statements, or Venmo/Paypal documentation.
- Properties held in the name of an LLC in which the borrower is personally obligated on the note must be included in the ratios and have the mortgage history documented.
- All mortgages and rental payments should be current at time of closing. If the credit report or VOR/VOM reflects a past-due status, updated documentation is required to verify the account is current.
- Borrowers are considered to have a housing history under the following circumstances. Evidence is required to evidence these situations
 - Borrower(s) who own their Primary Residence free and clear.
 - Borrowers living in the marital home.
 - Borrower(s) who sold a Primary Residence within the past 12 months and are currently residing rent free until subject transaction closes.
 - Properties owned free and clear are considered 0x30 for grading purposes.

HOUSING HISTORY VERIFICATION (DSCR ONLY)

- Mortgage and rental payments on the subject and Primary Residence not reflected on the original credit report must be documented via an institutional third-party (Verification of Rent or Verification of Mortgage (VOR/VOM)).
- An updated mortgage history reporting current as of the funding date of the new transaction is only required for the subject property and the Primary Residence.
- Any mortgage tradeline reporting on the credit report for properties owned by the borrower must be included when reviewing the housing history eligibility.
- Any non-subject or non-Primary Residence mortgages not reported to the credit report do not have to be documented.
- The combined housing payment history may not exceed 1x30 in the past 12 months and be current at closing when the DSCR is .75 or greater. No Ratio loans require a 0x30x12 combined housing history.

BALLOON MORTGAGES WITH AN EXPIRED MATURITY

Balloon mortgages with an expired maturity date can be considered as follows:

- The extension is executed prior to the balloon's maturity and any required payments since the extension were made as expected. This would be considered as a 0x30., or
- The extension was executed after the balloon's maturity but prior to closing, and the borrower continued to make timely monthly payments. This would be considered as a 0x30, or
- The extension was not executed, but the VOM indicates the loan is paid as agreed, the payoff does not include deferred payments or interest, and the maturity date of the balloon was within 180 days of the new note date. This would be considered as a 1x30.

In all instances, it is not permissible for deferred payments or interest to be rolled into the payoff.

INCOMPLETE HOUSING HISTORY (NON-DSCR)

Borrowers who do not have a complete 12-month housing history, such as those who have only been renting or have had a mortgage for a portion of the year, are subject to the following restrictions..

- 10% minimum borrower contribution
- Maximum LTV of 80%
- VOR/VOM must demonstrate a paid as agreed history, unless otherwise noted in these Guidelines. Private party verifications must follow the requirements in the housing history verification section.

Note this does not apply to the inability to document the housing history for a portion of the year. All months in which the borrower has rented and/or had a housing history must be documented.

RENT FREE (NON-DSCR)

For borrowers who are living rent free, a rent-free letter must be provided from the property owner. Additionally, they must meet the 10% minimum borrower contribution, max LTV of 80% requirement.

EVIDENCE OF PRIMARY RESIDENCE AND RENT-FREE SCENARIO (DSCR ONLY)

- All borrowers must presently maintain a Primary Residence.
- Borrowers who own a Primary Residence must provide proof of ownership or evidence they are living in a property owned or rented by their spouse/domestic partner.
- Borrowers who rent a Primary Residence must provide evidence of an active lease in place.
- Rent-free circumstances in which the borrower is not residing with their spouse/domestic partner, will be considered as follows:
 - Refinance transactions:
 - Provided the borrower has an established address supported by a rent-free letter from the property owner and there is no suggestion of occupancy in the subject property.
 - Purchase transactions:

- When the subject property is in a different geographic area from the residence, or
 - The borrower is an experienced investor with existing REOs
- Primary Residence should be supported by one of the following characteristics:
 - A different geographic location from the subject property; or
 - General appeal and location of the Primary Residence is superior to subject property.

HOUSING EVENTS AND PRIOR BANKRUPTCY

A Housing Event is any one of the following events listed below:

- Foreclosure
- Deed-in-Lieu
- Short Sale
- Forbearance
- Modification
- 1x120 mortgage history
- Charged off second mortgage or junior lien

SEASONING (HOUSING EVENT / BANKRUPTCY)

- Seasoning of a foreclosure is the date the Judge signed the court documents.
- Seasoning for a deed-in-lieu, or short sale is measured from the date of completed sale or final property transfer. The Housing Event must be completed prior to loan closing with no outstanding deficiency balance remaining.
- For a 120-day mortgage late, seasoning is from the date the mortgage was brought current.
- Seasoning for a modification is from the date the modification was executed.
- If the property was surrendered in a Chapter 7 bankruptcy, the bankruptcy discharge date is used for seasoning. Bankruptcy papers may be required to show the property was surrendered. The foreclosure action is not required to be fully complete.
- For Chapter 13 Bankruptcy, the lookback period varies depending on if the bankruptcy was discharged or dismissed:
 - If the bankruptcy was discharged, the filing date would be used for the lookback period and the bankruptcy must be discharged for a minimum of 12 months.
 - If the bankruptcy was dismissed, the dismissal date is used for the lookback period
- Charged off second or junior liens are subject to foreclosure seasoning periods, based on the date of the charge-off.
- Borrowers with unrelated multiple significant credit events are ineligible.
- Manufactured housing/mobile home loans indicated as repossessions, collections, or charge-offs are considered foreclosures.
- Restructured Mortgage loans that resulted in any type of partial forgiveness, principal curtailment, or conversion are ineligible.
- Housing events caused by a FEMA declared natural disaster does not count as a credit event instance.

A mortgage modification is considered any of the following:

- Forgiveness of a portion of principal and/or interest on either the first or second mortgage.
- Application of a principal curtailment by or on behalf of the investor to simulate principal forgiveness.
- Conversion of any portion of the original mortgage debt to a “soft” subordinate mortgage.
- Conversion of any portion of the original mortgage debt from secured to unsecured.

All borrowers must have reestablished acceptable credit verified after the credit event.

WRITTEN EXPLANATIONS FOR DEROGATORY CREDIT

Housing Events and bankruptcies in the most recent 2 years must be explained by the borrower with a signed letter of explanation. Explanation letters for medical collections, revolving lates or collections are not required.

For DSCR No Ratio loans, all derogatory revolving and installment accounts 60 days delinquent within four years of closing require a full explanation

LIABILITIES

INSTALLMENT DEBT

Installment debt is a monthly obligation with fixed payments and terms. Payments on installment loans must be included in the borrower’s debt-to-income ratio.

Payments can be excluded if there are 10 or fewer monthly payments remaining to pay the debt in full. If the payment is substantial and exceeds 5% of the borrower’s qualifying income, the overall transaction should be reviewed to ensure the remaining payments will not impact the borrower’s ability to handle the new mortgage payment.

Installment debt paid in full prior to or at closing can be excluded from the debt-to-income ratio. Supporting documentation, such as a credit supplement, direct verification from the creditor, or the CD can be used for verification the debt was paid off. Installment debt may also be paid down to qualify.

If a vehicle lease is paid off to qualify, evidence the car was purchased is required. The lease payments themselves is not considered paying off the debt.

REVOLVING DEBT

Revolving debt is open-ended debt in which the principal balance may vary from month to month. The minimum required payment as stated on the credit report or current account statement should be used to calculate the debt-to-income ratio. If no payment is stated on the credit report, the greater of \$10 or 5% of the current balance should be included in the debt-to-income ratio calculation. A credit supplement can be obtained to verify what the minimum payment is if it is



not reflected on the credit report.

Revolving accounts can be paid off prior to or at closing and do not need to be closed to exclude the monthly payment from the DTI. Supporting documentation, such as a credit supplement, direct verification from the creditor, or the CD can be used for verification the debt was paid off. See [Asset Documentation](#) for sourcing and seasoning requirements.

AUTHORIZED USER ACCOUNTS

Authorized user accounts should not be considered in the borrower's debt-to-income ratio.

BUSINESS DEBT

A business debt is a financial obligation of a business and can be the sole responsibility of the business or be personally secured by the business owner, making that person also liable for the debt. If the debt is reflected on the borrower's personal credit report, the borrower is personally liable for the debt, and it must be included in the debt-to-income ratio.

Debts paid by the borrower's business can be excluded from the debt-to-income ratio with any of the following supporting documentation:

- Most recent 6 months canceled checks drawn against the business account; along with business financials reflecting the business expense; or
- Business bank statement showing assets remain after funds to close and reserve requirements are with a balance greater than or equal to the balance of the debt.

If the debt is less than 3 months old, the payment must be included in the debt-to-income ratio unless it is a vehicle and evidence the previous vehicle was paid by the business.

CHILD SUPPORT, ALIMONY OR MAINTENANCE OBLIGATIONS

When the borrower is required to pay alimony, child support, or separate maintenance payments under a divorce decree, separation agreement, or any other written legal agreement—and those payments must continue to be made for more than ten (10) months—the payments must be considered as part of the borrower's recurring monthly debt obligations. However, voluntary payments do not need to be taken into consideration, and an exception is allowed for alimony. A copy of the divorce decree, separation agreement, court order, or equivalent documentation confirming the amount of the obligation must be obtained and retained in the loan file.

For alimony and separate maintenance obligations, the lender has the option to reduce the qualifying income by the amount of the obligation in lieu of including it as a monthly payment in the calculation of the DTI ratio.

Note: For loan casefiles underwritten through DU, when using the option of reducing the borrower's monthly qualifying income by the alimony or separate maintenance payment, the lender must enter the amount of the monthly obligation as a negative alimony or separate

maintenance income amount. If the borrower also receives alimony or separate maintenance income, the amounts should be combined and entered as a net amount.

COLLECTIONS AND CHARGE-OFFS

Delinquent credit, such as charge-offs of non-mortgage accounts are to be considered as follows.

The following accounts may remain open (except DSCR No Ratio):

- Collections and charge-offs < 24 months old
- All medical collections
- Collections from factoring companies when the original debt can be verified on the credit report.

Collection and charge-off account balances remaining after the exclusions listed above may remain open when one of the following is met:

- Borrower has sufficient reserves to cover remaining collection and charge-off balances (in addition to the published reserve requirement); or
- Payment for remaining collections and charge-offs included in DTI results in final DTI $\leq 50\%$ (payment calculated at 5% of balance of remaining unpaid collections and charge-offs).

A combination of the two options above is allowed. A portion of the unpaid collection balance can be included in the DTI while the remainder is covered by excess reserves. Collections and charge-offs that cannot be factored into DTI or reserves must be paid off.

NOTE: Investor DSCR No Ratio Program , non-title charge-offs and collections within three years and exceeding \$5,000 (individually or aggregate) must be paid. Medical collections less than \$15,000 are not required to be paid.

CONSUMER CREDIT COUNSELING SERVICE (CCCS)

- Borrower enrollment in CCCS is allowed when a minimum of 12 months have elapsed on the plan and evidence of timely payments for the most recent 12 months is provided.
- The CCCS administrator must also provide a letter allowing the borrower to seek financing on a new home while enrolled in the plan.
- If accounts included in CCCS plan reflect as charge-off or collection accounts on the credit report, the balances can be excluded from the charge-off and collection limits in [Collections and Charge-offs](#). The monthly CCCS plan payment must be included in the DTI calculation.
- If a completion date is not shown on the credit report, the borrower is required to submit verification from the counseling agency establishing the date of completion.
- For DSCR Consumer Credit Counseling must be completed for a minimum of 24 months from the closing date.

CONTINGENT LIABILITIES

An individual has a contingent liability when an outstanding debt has been assigned to another party and the creditor does not release the borrower from liability. Contingent liabilities can be excluded from the debt-to-income ratio under any of the following scenarios:

- Property resulting from buyout of former co-owner (i.e., divorce): file must include the court order and evidence of transfer of ownership.
- Mortgage assumption by third party: file must include the formal assumption agreement and evidence of transfer of ownership.
- Court ordered assignment of debts: file must include a copy of the court order assigning the debt to another party.

The payment history for the assigned debt after the effective date of the assignment does not need to be evaluated.

CURRENT RESIDENCE PENDING SALE

If the borrower's current principal residence is pending sale, but the transaction will not close with title transfer to the new owner prior to the subject transaction, and the borrower is purchasing a new principal residence, the current PITIA and the proposed PITIA must be used in qualifying the borrower for the new mortgage loan.

The current principal residence's PITIA is not required to be used in qualifying the borrower if the following documentation is provided:

- The executed sales contract for the current residence; and
- Evidence that any financing contingencies have been cleared.

DEBTS PAID BY OTHERS

When a borrower is obligated on a non-mortgage debt but is not the party repaying the debt, the monthly payment may be excluded from the borrower's recurring monthly obligations. This policy applies when the other party is obligated on the debt but does not apply if the other party is an interested party to the subject transaction (such as the seller or realtor).

To exclude non-mortgage or mortgage debts from the borrower's DTI ratio, the most recent 12 months' consecutive canceled checks (or bank statements) must be obtained from the other party making the payments showing no delinquent payments.

When a borrower is obligated on a mortgage debt but is not the party who is repaying the debt, the full monthly payment may be excluded from the borrower's recurring monthly obligations if:

- The party making the payments is obligated on the mortgage debt,
- There are no delinquencies in the most recent 12 months, and
- The borrower is not using rental income from the applicable property to qualify.

DELINQUENT CREDIT BELONGING TO EX-SPOUSE

Delinquent credit belonging to an ex-spouse can be excluded from the credit evaluation when all



the following apply:

- Borrower provides a copy of the divorce decree or separation agreement which shows the derogatory accounts belong solely to the ex-spouse.
- Delinquent payments occurred after the date of the divorce or separation.
- Evidence of title transfer prior to any delinquent debt must be provided if debt is a mortgage, and if applicable, evidence of buyout as part of court proceedings.

Collection accounts assigned to an ex-spouse may be excluded from aggregate collection totals with a divorce decree or separation agreement assigning the account solely to the ex-spouse and the collection occurred after the debt was assigned.

See also [Contingent Liabilities](#).

DISPUTED ACCOUNTS

When the credit report contains tradelines disputed by the borrower:

- If the tradeline is paid as agreed, no further action is needed.
- If the disputed account has a zero balance or is being paid at closing, no further action is needed.
- If the disputed account has delinquency within two years of the credit report date and the account balance is \$2,500 or less, no further action is needed.
- If the disputed account has delinquency within two years of the credit report date and the account balance is over \$2,500, the credit file should be documented with a credit supplement showing the dispute has been resolved.

Borrower has sufficient reserves to cover remaining collection and charge-off balances (in addition to the published reserve requirement); or ☐ Payment for remaining collections and charge-offs included in DTI results in final DTI $\leq$ 50% (payment calculated at 5% of balance of remaining unpaid collections and charge-offs).

- If the total aggregate balance of accounts in dispute exceeds \$5,000, a minimum of 5% of the total balance must be included in the DTI.

JUDGMENTS, LIENS AND IRS TAX REPAYMENT PLANS

Judgments, Liens and IRS Tax Repayment Plans must be paid off prior to or at closing unless the requirements listed below are met.

Adverse credit that will impact title must be paid in full as title must insure our lien position without exception.

Refinance

Tax liens and IRS repayment plans cannot be resubordinated but may remain open when:

- A copy of the repayment agreement is obtained.
- A minimum of 3 months has elapsed on the plan and evidence of timely payments for the most recent 3 months is provided; and



- The maximum payment required under the plan is included in the debt-to-income ratio.

Purchase

Tax liens and IRS Repayment Plans on the non-subject property may remain open on purchase transactions only (additional LTV reductions may be required based on the size of the lien). All the following requirements must be met:

- A copy of the repayment agreement is obtained.
- A minimum of 2 months has elapsed on the plan and evidence of timely payments for the most recent 2 months is provided.
- The maximum payment required under the plan is included in the debt-to-income ratio; and
- When a tax lien remains open, the title company must provide written confirmation confirming (a) the title company is aware of the outstanding tax lien, and (b) there is no impact to first lien position.

NOTE: Investor DSCR No Ratio Program IRS tax payment plans approved by the IRS are permitted provided they are current and do not carry a lien on the property.

- A copy of the approved repayment plan is required.
- A minimum of 2 months has elapsed on the plan and evidence of timely payments for the most recent 2 months is provided.

LAWSUIT/PENDING LITIGATION

If the application, title, or credit documents reveal that the borrower is presently involved in a lawsuit or pending litigation, a statement from the borrower's attorney is required.

- The statement must explain the circumstances of the lawsuit or litigation and discuss the borrower's liability and insurance coverage. A copy of the complaint and answer may also be needed.
- The title company closing the loan must be informed of the lawsuit or litigation and provide affirmative coverage of our first lien position.

LEASE OBLIGATIONS

Car Lease obligations must be included in the debt-to-income ratio calculation, regardless of time remaining on the lease.

MATERIAL RECURRING NON-DEBT OBLIGATIONS

Documentation of material recurring non-debt obligations should be done consistent with seller's ability to repay policies and in a form acceptable to NQM Funding, LLC.

OPEN 30-DAY CHARGE ACCOUNTS

- For open 30-day charge accounts that do not reflect a monthly payment on the credit report, or 30-day accounts that reflect a monthly payment that is identical to the account balance, 5% of the outstanding balance will be the required monthly payment.

- Open-end accounts do not have to be included in the monthly debt payment if the borrower has sufficient funds to pay off the outstanding account balance. The funds must be verified in addition to any funds required for closing and reserves.
- If the borrower paid off the account balance prior to closing or at closing, proof of payoff may be provided in lieu of verifying funds to cover the account balance.

RETIREMENT/SAVINGS PLAN LOANS

- Repayment for loans against a financial asset (retirement/savings plan, insurance policy) can be excluded from the total debt-to-income ratio provided the debt can be repaid by liquidating the asset.
- The value of the asset must be reduced by the amount of the debt when calculating funds to close and reserves.

STUDENT LOANS

- Student loan payments must be included regardless of deferment or repayment in the DTI. If a payment amount is not identified, 1% of the current loan balance may be used.
- If the borrower is on an income-driven payment plan, student loan documentation may be obtained to verify the actual monthly payment is \$0. The borrower may then qualify with a \$0 payment.

TIMESHARES

For credit review purposes, timeshare obligations will be considered installment loans.

UNDISCLOSED DEBTS

- If asset statements provided reflect payments made on obligations not listed on the credit report or 1003, additional information must be obtained to determine if the liability should be included in the borrower's debt-to-income ratio.
- If the obligation does not belong to the borrower, supporting documentation is required. If there is a non-borrower also on the account, a signed letter of explanation from the borrower is sufficient.
- If the borrower is the obligor on the debt, an account statement and pay history should be obtained to review the account for acceptability. The payment must be included in the debt ratio.

EMPLOYMENT

EMPLOYMENT HISTORY

Unless stated otherwise under the related Program, employment must be stable with at least a 2 year history in the same job or in the same field. Income from self-employment is considered stable if the borrower has been self-employed for 2 or more years.

FREQUENT JOB CHANGES

Frequent job changes to advance within the same line of work may be considered favorable. Job changes without advancement or in different fields of work should be carefully reviewed to ensure consistent or increasing income levels and the likelihood of continued stable employment.

GAPS IN EMPLOYMENT

- Borrowers should provide a signed, written explanation for any employment gaps that exceed 30 days in the most recent 12-month period, or that exceed 60 days in months 13-24.
- Recent graduates and borrowers re-entering the workforce after an extended period are allowed assuming they have been back to work for 6 months.
- Illness and childbirth are not considered for gaps in employment.

EMPLOYMENT AND BUSINESS VERIFICATION

WRITTEN VERIFICATION OF EMPLOYMENT (WVOE)

Income and employment for wage earners may be obtained via direct written verification from the borrower's employer (FNMA Form 1005).

- The verification should be signed by a member of the company's human resource department or one of the business owners or officers.
- At a minimum, the verification must include the borrower's name, position, dates of employment, and base salary.

VERBAL VERIFICATION OF EMPLOYMENT (VVOE)

Verbal Verifications of Employment must be obtained for each borrower using employment income to qualify. VVOEs must meet all the following criteria:

- Completed within 10 business days of closing.
- Confirm that the borrower is employed at time of verification.
- Include the name and phone number of the person processing the VVOE.
- Include the name, position and phone number of the person providing the verification (employer)
- The telephone number for the borrower's employer must be verified independently via any of the following: telephone book, the internet, directory assistance, or by contacting the applicable licensing bureau.

When a VVOE is completed through a third-party vendor, because their databases are typically updated monthly, the verification must evidence that the information in the vendor's database was no more than 35 days old as of the Note Date.

VERIFICATION OF SELF- EMPLOYMENT

- Verify the business is active and operating within 30 days of closing with either a phone listing and/or business.
- For self-employed borrowers, the existence of the business must be independently verified through a disinterested third party within 30 business days of closing. The loan file should reflect the documentation secured from these sources. Sources may include:
 - CPA, regulatory agency, or applicable licensing bureau
 - Secretary of State listing reflecting current year registration
 - Verification of a phone and address listing using the Internet.
 - In instances where an online listing or search is not possible due to the nature of the borrower's employment (i.e., consultants), verification of activity within 30 days of the note date can be provided via evidence of receipt of business income within 30 days of the note supported by either invoices, bank statements showing business deposits, or similar means to support the business' recent operation.

INCOME GENERAL

UNACCEPTABLE INCOME

- Gambling winnings (except lottery continuing for 5 years or more)
- Educational benefits
- Stock options
- Refunds of federal, state, or local taxes
- Illegal income
- Expense account reimbursement

FULL DOCUMENTATION

For all income sources, borrowers are qualified based on calculated stable monthly income. Income may be obtained from a variety of sources such as salary, bonus, commission, self-employment, etc., and should be reasonably expected to continue for the next 3 years.

WAGE EARNERS (FULL DOC)

Income must be verified with the following:

- 30 days of paystubs, 1 or 2 years W-2 or an electronic verification of employment, W-2 transcripts and a fully executed and signed IRS Form-4506C
 - Pay stubs and W-2s must be typed or computer generated. They should provide the borrower's full name, address, employer name, year-to-date earnings, and rate of pay.
 - If pay stubs reflect garnishments (child support, IRS, etc.) or any loan deductions, additional information will be required to determine if a monthly payment should be included in the debt-to-income ratio calculation.

FEDERAL INCOME TAX RETURNS (FULL DOC)

- 1 or 2 years of personal and business Federal Tax Returns with all applicable schedules.
- All K-1's must be provided regardless of percentage of ownership. Losses must be considered in calculating the qualifying income.

IRS 4506-C TAX TRANSCRIPTS (FULL DOC)

A signed IRS 4506-C must be completed and signed by all borrowers qualifying with full documentation transactions. The form must request the appropriate type of transcript based on the level of loan documentation (W-2s, full tax transcripts, etc.). One of the following is required:

- Wage earner's employment and income documented through a FNMA DU Validation Electronic Verification of Employment vendor (i.e., Blend, Equifax, Experian, Finicity, Truework), OR
- Transcripts executed for 1 or 2 years, depending on the number of years the income the borrower is providing.

In the event the most recent years transcripts are not available, one of the following is required:

- The prior 1 or 2 years tax transcripts, OR
- All the following:
 - The prior year's transcripts when qualifying as a two-year full documentation,
 - Copy of the e-filing certificate for the most recent year,
 - Proof the check cleared for any taxes due, or proof of receipt of the tax refund, and
 - Tax Transcript reflecting "No Record Found."
- The transcripts must be reviewed and compared to the qualifying income to confirm consistency. The results should be equal to or greater than the income used to qualify the loan. Any inconsistencies between the transcripts and the qualifying income should be addressed.

SELF-EMPLOYMENT INCOME (S/E FULL DOC)

- FNMA Liquidity Test is not required.
- A borrower is considered self-employed with 25% or more ownership interest in a business.
 - The business may be a sole proprietorship, general partnership, limited partnership, corporation, or S corporation.

STABILITY AND CONTINUANCE OF SELF-EMPLOYMENT (S/E FULL DOC)

- Originators must verify the borrower's self-employment for the most recent consecutive two (2) full years in the same business.
 - See related Program for required length of self-employment.
- It is considered acceptable when the self-employment business filing has changed (example: sole proprietorship to corporation) provided the business name and ownership percentage has remained the same and the business has been in existence for the most recent consecutive two full years.



- Borrowers receiving 1099 income (filing as Schedule C or E) are eligible provided that the 1099 income is from the same source covering the most recent consecutive two (2) full years.
- All borrowers using bank statements to qualify are required to be account holders of the bank accounts throughout the 12 or 24 months being used to qualify.

CASH FLOW ANALYSIS (S/E FULL DOC)

NQM Funding, LLC will prepare a written evaluation of the analysis of a self-employed borrower's personal income, including the business income or loss, reported on the borrower's federal income tax returns.

QUALIFYING INCOME (S/E FULL DOC)

- Qualifying income is determined from the Federal Tax Returns, and the P&L is used to determine the stability of that income. The bank statements for the most recent months must reflect deposits that support those sales from the P&L and the qualifying income from the prior year's Federal Tax Return.
- When analyzing Federal Tax Returns, the following may be added back to compute the qualifying income:
 - Depreciation
 - Depletion
 - Business use of the home
 - Amortization/casualty loss
 - Nonrecurring losses: note that nonrecurring income must be excluded
 - Net operating losses being carried forward from prior years

SOLE PROPRIETORSHIP (S/E FULL DOC)

- A sole proprietorship is a business structure in which an individual and his or her company are considered a single entity for tax and liability purposes. Income and losses are reported on the owner's schedule C of the individual Federal Tax Return.
- Documents required for determining income from a sole proprietorship are:
 - Federal income tax returns (IRS Form 1040) for the most recent 1 or 2 years, including all schedules; and
 - Borrower signed and dated year-to-date profit and loss statement up to the most recent month preceding the loan application; and
 - Two months business checking account statements for the most recent 2 months on the P&L; and
 - Signed and processed IRS form 4506-C (full 1040 transcripts capturing all schedules); and
 - Verification of the existence of the business within 30 business days of closing.

PARTNERSHIPS (S/E FULL DOC)

- A partnership is a business organization in which 2 or more individuals manage and operate the business. The partners share profits and losses and control of the business.
- Documents required for determining partnership income are:
 - Federal Tax Returns (IRS Form 1040) for the most recent 1 or 2 years, including all schedules; and
 - W-2s for the most recent 2 years (if applicable); and
 - Partnership Federal Tax Returns (IRS Form 1065) for the most recent 1 or 2 years, including all schedules and K-1s
 - If borrower is a limited partner with less than 50% ownership, partnership Federal Tax Returns are not required;
 - Borrower signed and dated year-to-date profit and loss statement up to the most recent month preceding the loan application; and
 - Two months business checking account statements for the most recent 2 months on the P&L; and
 - Signed and processed IRS form 4506-C (full 1040 transcripts capturing all schedules); and
 - Verification of the existence of the business within 30 business days of closing.

CORPORATIONS (S/E FULL DOC)

- A corporation is a legal entity that is separate and distinct from its owners.
- If a borrower 25% or more ownership in a corporation, they are self-employed.
- A borrower that is self-employed as a corporate officer will receive a pay stub and W-2 and will report income on his or her personal Federal Tax Returns. Corporate income or losses are reported on the corporate Federal Tax Returns (IRS Form 1120).
- Documents required for determining income from a corporation:
 - Federal Tax Returns (IRS Form 1040) for the most recent 1 or 2 years, including all schedules; and
 - W-2s for the most recent 2 years; and
 - Corporate Federal Tax Returns (IRS Form 1120) for the most recent 1 or 2 years, including all schedules; and
 - Borrower signed and dated year-to-date profit and loss statement up to the most recent month preceding the loan application; and
 - 2 months business checking account statements for the most recent 2 months on the P&L; and
 - Signed and processed IRS form 4506-C (full 1040 transcripts capturing all schedules); and
 - Verification of the existence of the business within 30 business days of closing.

S CORPORATIONS (S/E FULL DOC)

- A Subchapter S Corporation is a type of corporation which enables the company to have the benefits of a corporation but be taxed as if it were a partnership. S corporations are typically

smaller corporations.

- The profit of the corporation is given to each owner according to his or her share of ownership.
- The adjusted profit is then divided by the borrower's share of ownership and combined with W-2 income used for qualifying.
- Income is reported with both a W-2 and K-1 (reporting on the Schedule E) or only with a K-1.
- Documents required for determining income from an S corporation:
 - Federal Tax Returns (IRS Form 1040) for the most recent 1 or 2 years, including all schedules; and
 - W-2s for the most recent 2 years; and
 - Corporate Federal Tax Returns (IRS Form 1120-S) for the most recent 1 or 2 years, including all schedules and K-1s; and
 - Borrower signed and dated year-to-date profit and loss statement up to the most recent month preceding the loan application; and
 - Two months business checking account statements for the most recent 2 months on the P&L; and
 - Signed and processed IRS form 4506-C (full 1040 transcripts capturing all schedules); and
 - Verification of the existence of the business within 30 business days of closing.

1099 INCOME (FULL DOC)

- Payments to sole proprietors or contract individuals are reported on IRS Form 1099 and included in the borrower's schedule C.
- Tax returns may be waived and wage-earner documentation requirements followed in [Wage Earners](#) when all the following requirements are met:
 - 1099s for the most recent 2 years are provided or 1 yr with evidence the borrower has been 1099 a minimum of 24 months.
 - 1099s are validated with a wage and income transcript from the IRS only when family members or related individuals employ borrower.
 - When the most recent 1099 is greater than 90 days from the note date, evidence of year-to-date earnings are verified via a YTD paystub, written VOE, or other equivalent third-party documentation or YTD Bank statements.
- Documentation is obtained from employer/employers confirming borrower has no job-related expenses or will assume 10% expenses.
- If the borrower does not meet the requirements above, Federal Tax Returns for the most recent 2 years (IRS Form 1040) are required to determine income and related expenses.

Note: 1099 forms covering a full 2 year period are not required when a borrower changes from being paid W-2s to 1099s while working for the same employer in the same position.

Documentation must be obtained from the employer confirming the borrower has no job-related expenses.

- If income from a business is used to qualify the borrower, or if business expenses are added back to income or a loss, then business tax returns, associated schedules, and profit and loss

statements must be obtained. Discretion may be used whether to obtain all documentation for self-employed earnings when the secondary business may have a significant impact on the loan.

ALTERNATIVE DOCUMENTATION (ALT DOC)

COMBINATION OF OTHER INCOME SOURCES (ALT DOC)

- W-2 Wages: Additional income deposited into the bank statements but derived from a source other than the self-employed business may not be included in the bank statement average. W-2 earnings must be documented as per the requirements in [Wage Earners](#) along with a processed 4506-C verifying the W-2 earnings only.
- Rental Income: Borrowers using Bank Statement Documentation, who also receive rental income as a secondary source, are permitted to qualify using both sources of income. When considered, a 25% expense ratio can be used with evidence of deposits of the rent and copies of the lease. The deposits must be verified through 2-month bank statements from a separate account other than the one used to calculate the self-employed income.
- For Flex Supreme, additional income sources cannot represent more than 50% of the total qualifying income.

BANK STATEMENT GENERAL REQUIREMENTS (ALT DOC)

Self-employed borrowers are eligible for either Personal Bank Statement Documentation or Business Bank Statement Documentation. The following restrictions apply to both documentation types:

Borrowers must be self-employed for at least 2 years; and the business must be existence for a minimum of 2 years as evidenced by a letter from either the business tax professional, regulatory agency or licensing bureau. For Flex Select, borrowers with less than 2 years as self-employed may be eligible under one of the following 2 options:

- Option 1:
 - Must be self-employed for a minimum of 18 months and must have a minimum of three (3) years prior experience in the same line of business.
 - See applicable restrictions below.
- Option 2:
 - Self-employed borrowers in a licensed profession (i.e., Medical, Legal, Accounting) will be considered from a business that has been in existence for less than two (2) years, but greater than one (1) year provided the borrower meets the following requirements:
 - Borrower has at least three (3) years of documented previous experience in the same profession, or
 - Evidence of formal education in a related field, and
 - See applicable restrictions below:

- For Option 1 and Option 2, the following restrictions apply:
 - Minimum 700 score
 - Max LTV of 80% Primary Residence 75% Second Home ; 70% for Investment Properties
 - Not permitted for Flex Select including when using Express(DU) or Super Jumbo
- For borrowers who are independent contractors and do not necessarily own their own business, they may be qualified using bank statement documentation and must follow the co-mingled accounts guidance. Evidence of filing tax returns and a Schedule C for 2+ years must be provided by their CPA / licensed tax preparer , as well as an Expense Factor and/or P&L supporting their expenses. See Calculating Qualifying Income for [Personal Bank Statements](#) and [Business Bank Statements](#) below for more detail.
- The Employment Section of the application must include a minimum of 2 years employment history.
- Non-Permanent Resident Aliens without U.S. Credit and Foreign Nationals are ineligible.
- Non-Profits and Not for Profits are not permitted.
- At least one of the borrowers must be self-employed.
- Verify the business is active and operating within 30 days of closing with either a phone listing and/or business address using directory assistance or internet search. In instances where an online listing or search is not possible due to the nature of the borrower's employment (i.e., consultants), verification of activity within 30 days of the note date can be provided via evidence of receipt of business income within 30 days of the note supported by either invoices, bank statements showing business deposits, or similar means to support the business' recent operation.

NOTE: Federal Tax returns and 4506-C are not required. If Federal Tax returns and/or Transcripts are provided, the loan will be ineligible.

BANK STATEMENT ANALYSIS

Requirements:

- Statements must be consecutive and reflect the most recent months available.
- The most recent bank statement used for the Bank Statement Analysis must be within 90 days of the Note Date.
- All Programs using bank statements to qualify, in the event updated bank statements are provided to source additional assets and/or funds to close, the Bank Statement Analysis would not need to be updated to reflect those updated statements provided the statements in file are not expired as of the note date.
- Transaction Histories are not acceptable in lieu of bank statements.
- Bank statements provided through a Fintech company working on behalf of the bank can be used provided the bank statement reflect the actual bank otherwise an internet search is required to confirm the relationship.
- Asset Statements received via a third-party asset verification vendor are acceptable as long

as:

- The information provided conforms to the information that would be provided on bank statements, **and**
 - Provider is an authorized FNMA DU Validation vendor. A list of approved vendors can be found at: <https://singlefamily.fanniemae.com/applications-technology/desktop-underwriter-validation-service/du-validation-service-verification-report-vendors>
- Statements must support stable and predictable deposits.
- Statements should show a trend of ending balances that are stable or increasing over time.
- Excessive declining income or negative ending balances may preclude the borrower from bank statement eligibility at underwriter's discretion.
- Any supporting documentation, such as a P&L statement used in conjunction with the bank statements, must align with the dates of the bank statements used for qualifying.
- If bank statements provided reflect payments being made on obligations not listed on the credit report, See [Undisclosed Debts](#) for additional guidance.

Deposits:

- ATM deposits may be included if a consistent pattern of deposits is present.
- Large deposits greater than 50% of the average gross deposits over a 12 or 24 month period must be sourced.
- Deposits received directly from family members are considered non-business income and will be excluded.
- Deposits received from businesses owned by family members will be considered on a case by case basis.
- Decreasing or negative ending balances must be explained.
- Any deposit deemed as non-business income will be excluded from the income analysis. Transfers from other accounts on personal/comingled account statements must be documented or excluded. Net transfers between accounts must be excluded when multiple accounts are used for qualifying.
- Transfers from other accounts on business account statements must be documented or excluded only if above the large deposit threshold, or if the deposits appear not to be business income (i.e., proceeds from a loan, online transfers from other accounts owned by the borrower, refunded expenses, tax refunds, another source of documentable income, etc.).
 - Net transfers between accounts must be excluded when multiple accounts are used for qualifying.
- Wire transfer deposits on personal account/co-mingled statements must be sourced as business income or excluded.
- Wire transfer deposits on business account statements must be sourced only if above the large deposit threshold, or if the deposits appear not to be business income (i.e., proceeds from a loan, refunded expenses, tax refunds, another source of documentable income, etc.).

UNDERWRITING NSFS

The borrower must satisfactorily explain NSF activity in the past 12 months. Excessive NSF or overdraft activity may preclude the borrower from bank statement eligibility at underwriter's discretion.

- Non-sufficient funds (NSF) or negative balances reflected on the bank statement must be considered unless tied to Overdraft protection. NSF Fees associated with a pre-arranged link to a savings account, line of credit, or when managed according to a banking institution's standard policy are acceptable when:
 - **Overdraft protection from a depository/checking account:** Occurrences may be excluded if statements for the linked account confirm that (a) the linked account balance at the time of the transfer exceeded the amount of the overdraft transfer, (b) the linked account's balance did not report as zero or negative at any point during the statement period of the transfer, and (c) the linked account did not itself receive overdraft protection proceeds during the statement period of the transfer.
 - **Overdraft protection from a line of credit:** Occurrences may be excluded if statements for the linked account confirm that (a) the line's credit limit was not exceeded during the statement period of the transfer and (b) a payment amount which equals or exceeds the sum of all overdraft protection occurrences analyzed in the statement period is made within 30 days after the statement close date.
 - **Overdraft protection as standard policy from a banking institution:** Occurrences may be excluded if the standard policy of the banking institution automatically provides clients with overdraft protection services that are not linked to another account and the overdrawn transactions are paid in full and not returned as NSF on or after the transaction date.
 - Bounced check NSF fees are not considered when it's a customer's check that was returned.
 - **Occurrences included in the analysis are subject to the following tolerances:**
 - An occurrence is defined as one or more checks returned the same day excluding customer checks that were returned. NSFS are reviewed for the past 12-month period only.
 - If there are two (2) or more occurrences in the most recent two (2) month period, up to five (5) occurrences are allowed in the most recent twelve (12) month period.
 - If there are zero (0) occurrences in the most recent three (3) month period, up to seven (7) occurrences in the most recent twelve (12) month period is acceptable.
 - The Underwriter, at their discretion, may consider tolerance deviations outside of the above with a sufficient letter of explanation from the borrower outlining the reason for the occurrences and an explanation of how and when the issue leading to the occurrences was rectified. The underwriter will review the letter to ensure the explanation supports the viability of income and overall strength of the transaction.

PERSONAL BANK STATEMENTS (ALT DOC)

Borrowers may provide either 12 or 24 consecutive months of personal bank statements.

The following documentation is required (See also [Bank Statement General Requirements](#)):

- 12 or 24 months complete personal bank statements from the same account

- Most recent 2 months of business bank statements if available. If a business account does not exist, see Co-mingled Accounts below.
- To consider allowing 100% of deposits, evidence of online transfer/check from the business account to the personal account must be evident.
- When using 100% of online transfer/check deposits going from the business account to the personal account, all other deposits are excluded.
- A pattern/history of deposits from the business account to the personal account must be established.
- When personal accounts are jointly owned and the other party is not an owner of the business and/or a borrower on the loan, all deposits not able to be readily identifiable as business income must be excluded.

CALCULATING QUALIFYING INCOME

- Qualifying income using Personal Bank Statement Documentation is the sum of total eligible deposits divided by 12 or 24 months.
- Only transfers or deposits from the business account(s) are considered eligible deposits.

CO-MINGLED ACCOUNTS

Co-mingled accounts are defined as a single account reflecting both personal and business expenses. Co-mingled accounts are considered a business bank statement from an Expense Methods standpoint as listed under the Business Bank statements section below.

BUSINESS BANK STATEMENTS (ALT DOC)

Borrowers may provide either 12 or 24 consecutive months of business bank statements

The following documentation is required (see also Calculating Qualifying Income below):

- 12 or 24 months complete business bank statements from the same account
- Multiple bank accounts may be used for multiple businesses.
- Multiple bank accounts may also be used if a borrower shows they closed the initial account to use another.
- Multiple bank accounts may be used for the same business, provided transfers amount accounts are excluded.
- Business bank accounts, personal bank accounts addressed to a DBA, or personal accounts with evidence of business expenses can be used for qualification.
- Required Expense Statement Documentation applicable to Calculation Option chosen (see Calculating Qualifying Income below for requirements).
- Qualifying Income must be multiplied by the ownership percentage to determine the owner's portion of income allowed for the transaction.
- Verification that borrower is minimum 25% owner of business:
 - Ownership percentage must be documented via Licensed tax preparer , CPA letter, Operating Agreement, or equivalent.
 - All non-borrowing owners of the business or the CFO, licensed tax preparer , or CPA for the company must provide a signed and dated letter acknowledging the

transaction and confirming the borrower's access to the account for income-related purposes.

CALCULATING QUALIFYING INCOME

To calculate qualifying income using Business Bank Statement Documentation, choose one of the documentation options below applicable to the Expense Statement method chosen:

OPTION 1: 50% EXPENSE RATIO

Qualifying Income is the monthly net income from deposits less the 50% expense ratio.

OPTION 2: THIRD PARTY P&L EXPENSE STATEMENT

- Qualifying Income is calculated by determining total deposits per bank statements (minus any disallowed deposits) multiplied by the expense ratio calculated by the P&L Statement provided by CPA or licensed tax preparer and divided by either 12 or 24 months.
 - Qualifying Income is the monthly net income from deposits less the P&L expense ratio (minimum 20%)
- Required P&L Documentation:
 - P&L Statement is used to calculate the expense ratio for a 12 or 24 month bank statement program.
 - P&L Statement must be signed and dated by the CPA / EA or PTIN licensed tax preparer or PTIN.
 - The individual who signs the P&L Statement must attest that they have prepared the borrower's most recent tax returns.

OPTION 3: THIRD-PARTY PREPARED EXPENSE STATEMENT

- Qualifying Income is calculated by determining total deposits per bank statements (minus any disallowed deposits) multiplied by the expense ratio provided by CPA or licensed tax preparer and divided by either 12 or 24 months.
- The Expense Statement must be prepared and signed by a third party (CPA or licensed tax preparer) specifying business expenses as a percentage of the gross annual sales/revenue. The licensed tax preparer must attest they have either prepared or reviewed the borrower's most recent Federal Tax Return
- A minimum 20% Expense Ratio is required.

P&L PLUS 2 MONTHS BANK STATEMENTS (ALT DOC)

- For Wholesale loans, a verbal verification is required prior to closing.
- 12 or 24 month P&L, prepared by CPA, EA, or PTIN licensed tax preparer.
- Minimum of 2 months business bank statements to support income
- The P&L must be dated within 90 days of the application.
- CPA/EA / PTIN Licensed tax preparer must attest to the fact they have prepared the borrower's most recent Federal Tax Returns.



- Qualifying income is the monthly net income from the P&L divided by the number of months covered by the P&L. The monthly gross revenue from the P&L must be supported by the bank statements provided. The total monthly average deposits from the bank statements, minus any disallowed deposits, must be no more than 20% less than the monthly gross revenue on the P&L.
- Depreciation, depletion and amortization/casualty losses listed on the P&L may be added back to the applicant's income.
- Minimum expense ratio is 10%

P&L ONLY (ALT DOC)

- For Wholesale loans, a verbal verification is required prior to closing.
- 12 or 24 month P&L prepared and signed by CPA/EA or PTIN licensed tax preparer .
- The P&L must be dated within 90 days of the application.
- CPA/EA / PTIN licensed tax preparer must attest to the fact they have prepared the borrower's most recent tax returns.
- Qualifying income is the monthly net income from the P&L divided by the number of months covered by the P&L.
- Depreciation, depletion and amortization/casualty losses listed on the P&L may be added back to the applicant's income.
- Minimum expense ratio is 10%

CPA/TAX PREPARER'S VERIFICATION

Tax Preparers must have a PTIN Number when available. If the state does not require a PTIN Number, it must be from a verifiable 3rd party tax preparer (verified by a business through the internet or state website). This applies to all instances where a tax preparer is permitted.

CPA license verification must be completed through an online search such as <https://cpaverify.org/> . If unable to verify online, sufficient documentation must be provided to validate the license.

IRS FORM 1099 (ALT DOC)

1099 Income documentation eligibility is limited to individual borrowers being paid via a 1099 but are not the business owner of the entity issuing the 1099. Self-employed borrowers who are business owners paying their earnings via a 1099 are not eligible for this income documentation.

- Evidence of year-to-date earnings via YTD bank statements, a printout of YTD wages from their employer/employers or the NQM Funding, LLC VOE with YTD income must be completed by each employer, only when the 1099 is > 90 days from the Note Date.
- A 10% automatic expense ratio will apply when the 1099 is paid to the borrower individually. In the event the 1099 is paid to the borrower's business, the loan may be considered, however an Expense Letter from the borrower's CPA/ EA / PTIN licensed tax preparer is required to determine the qualifying income.

ASSET UTILIZATION (ALT DOC)

QUALIFIED ASSETS

Qualified Assets can be comprised of publicly traded stocks, bonds, mutual funds, vested amount of retirement accounts and bank or investment accounts.

- Three (3) months' seasoning of all assets is required (Three most recent and consecutive statements).
- All individuals listed on the asset account must be on the note and mortgage.
- Assets held in the name of a business are not eligible to be used for the asset utilization calculation.
- Asset statements utilized for asset utilization cannot be used to document any other income source.

The following assets are considered Qualified Assets and can be utilized to calculate income (Based off the assets remaining after funds used for down payment and closing costs):

- 100% of checking, savings, and money market accounts
- 80% of the value of publicly traded stocks & bonds
- Vested Retirement Accounts:
 - 70% for Borrowers 59 ½ or older
 - 60% for Borrowers < 59 ½

Net Qualified Assets Calculation:

- Qualified assets less funds used for down payment, closing costs, and prepaids, when used as the sole source of income.
- Qualified assets less funds used for down payment, closing costs, prepaids AND reserves, when used as supplemental income.

Assets held in a trust are eligible if the following requirements are met:

- If the funds are held in a revocable trust, the borrower is the trustee.
- If the funds are held in an irrevocable trust, the borrower is the beneficiary and the borrower has immediate access to the assets of the trust.

Ineligible Asset Sources:

- Business assets
- Unseasoned foreign assets
- College savings accounts i.e., 529 plans
- Proceeds from sale of real estate was not seasoned 6 months.
- Privately traded or restricted/ non-vested stocks.
- Assets which produce income already included in the income calculation.
 - See related Program for details

WRITTEN VERIFICATION OF EMPLOYMENT (WVOE) (ALT DOC)

- Verification of delivery and receipt of the FNMA Form 1005 must comprise the following form of documentation: Physical mail, Fed-Ex, facsimile, or email communication. Physical mail,

Fed-Ex, and facsimile must come directly from the employer's address. An email communication must properly identify the Company representative.

- WVOE – FNMA 1005 completed with the past 2 years of income/employment. The form must be completed by Human Resources, Payroll or an Officer of the Company.
- Two (2) most recent months of bank statements reflecting deposits from the employment verified via the WVOE in both statements. The deposits must support at least 65% of the gross wages reflected on the WVOE.
- One-year history with the same employer with minimum two (2) years in the same line of work.
- Minimum credit score of 680.
- 0x12x30 housing history is required; borrowers without a housing history must qualify under a different documentation type.
- Primary Residence Max 80% LTV; Second Homes and Investment Property Max 75% LTV.
- Maximum loan amount of \$1,500,000
- Family members or related individuals may not employ borrowers.
- W2s, Tax Returns, Paystubs, 4506-C are not required.
- Borrowers can have no other active source of income; passive income such as rental income may be included.

OTHER INCOME

RENTAL INCOME (NON – DCSR)

Rental income can be used for qualifying as documented below.

RENTAL INCOME ON THE FEDERAL TAX RETURNS

- When Federal Tax Returns are used for qualifying, rental income should be calculated using the FNMA Cash Flow Analysis Method. When income is being qualified using two years, an average of income should be used unless the rental income is declining, in which case the most recent year's income should be used for qualifying.
- Cash Flow Analysis of the Schedule E should be completed as follows:
 - Gross Rents and Royalties received:
 - Less total expenses
 - Plus Depreciation
 - Plus Insurance
 - Plus Mortgage Interest
 - Plus Taxes
 - Plus HOA fees (if included on the Schedule E)
- Subtotal divided by 12 or 24 months depending on term of documentation.
- Primary Residence: This figure would be used as net rental income/loss and the full PITIA will be counted as a debt.
- Rental Property: This figure less the proposed/existing monthly payment will be used to

determine net rental income/loss.

RENTAL INCOME NOT ON FEDERAL TAX RETURNS

In instances when Federal Tax Returns are not provided in the loan file, rental income should be documented in the following manner:

- Evidence of borrower's ownership of the property
- For a refinance and/or to document rental income on other REOs:
 - Lease agreement
 - Two months' bank statements demonstrating receipt of rental income.
 - Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source.
 - 75% of the rental amount on the lease is used for qualifying.
 - Primary Residence: This figure would be used as net rental income/loss and the full PITIA will be counted as a debt.
 - Rental Property: This figure less the proposed/existing monthly payment will be used to determine net rental income/loss.
- Rental income from a new property being acquired through a purchase transaction:
 - 75% of the appraiser's opinion of market rent on FNMA Form 1007 or Form 1025, as applicable
 - Primary Residence: This figure would be used as net rental income/loss and the full PITIA will be counted as a debt.
 - Rental Property: This figure less the proposed/existing monthly payment will be used to determine net rental income/loss.
- Rental Income from a Departing Residence:
 - 75% of the rental amount on the lease if used for qualifying.
 - Evidence the rental amount is at market rate, which can be documented through an online source or a 1007.

SHORT TERM RENTAL (NON DSCR)

Short Term Rental (STR) income received directly from a home-sharing service (such as Airbnb, VRBO, HomeAway) may be used for qualification when the following requirements are met on Full and Alt Doc loans

- Short Term Rentals are properties leased on either a nightly, weekly, monthly, or seasonal basis.
- All STRs require evidence from third party vendor (such as Property Guard, Vrolio or equivalent), validating that the governing municipality where the subject STR is located allows properties to be rented as a STRs; Rental Income Documentation Options:
 - Option 1: Lesser of 1007/1025 completed using either long-term or short-term market rents.
 - When the 1007/1025 is prepared with the use of short-term rentals, the appraiser is required to address the seasonality of the subject property Short Term Rental market in computing the market rent. If the appraiser fails to

appropriately address for seasonality, gross rents should be reduced by a 50% vacancy.

- On a refinance, a screen shot of the online listing must show the property is actively marketed as a short-term rental.
- **Option 2:** 12-month lookback period to determine avg rents or annual or monthly statements from AirBNB or similar service.
- **Option 3: Federal Income Tax Return** along with a Schedule E.

ANNUITY INCOME

Annuity income can be used for qualification when the following requirements are met:

- 12-month history must be verified using 1099s, tax returns, and/or bank statements
- Letter from issuer of annuity to be obtained stating that it has been set up on periodic withdrawal, amount of withdrawal, duration, and balance.
- Account asset balance must support the continuance of the monthly payments for at least 3 years after the close of escrow.
- Annuities less than 12 months old must be in a non-revocable trust with a minimum term of 40 months to use the income to qualify.
- For annuity distributions from a 401(k) or pension. See [Pension/Retirement](#).

AUTOMOBILE ALLOWANCE

For an automobile allowance to be considered as acceptable stable income, the borrower must have received payments for at least 2 years. The full amount of the allowance must be added to the borrower's monthly income, and the full amount of the lease or financing expenditure to the borrower's monthly debt obligations.

BONUS AND OVERTIME

- Bonus and overtime can be used to qualify if the borrower has received the income for the past 2 years and it is likely to continue. An average of bonus or overtime income should be used, provided the income is consistent and increasing
- A written Verification of Employment (FNMA Form 1005 or Electronic Verification of Employment) should be obtained to provide a breakdown of bonus or overtime earnings for the most recent 2 years.
- If the employment verification states the income is unlikely to continue, it may not be used in qualifying.

CAPITAL GAINS

- When income from capital gains is used to qualify the borrower, Federal Tax Returns for the most recent 2 years are required to determine if the income is recurring and may be considered in qualifying. If a capital gain is a one-time occurrence, it should not be considered when calculating income available.
- For the income to be considered stable and likely to continue, sufficient assets must be

documented to show the borrower will continue receiving capital gains for a minimum of 3 years from note date. If the income is declining and/or there will be no asset base to generate the capital gains, it cannot be used for qualification purposes.

- In addition, if assets that generated capital gains are being sold as part of the mortgage transaction, the income from capital gains must be reduced by a percentage equal to the percentage reduction in the value of the assets that generated the income.

CHILD SUPPORT, ALIMONY OR MAINTENANCE INCOME

For child support, alimony, or separate maintenance to be considered stable income, it must continue for at least 3 years from note date as specified by the court order. The following requirements apply:

- A copy of the divorce decree or legal separation agreement must be obtained.
- Documentation must be received to evidence receipt of the most recent 6 months of payments through copies of deposit slips, canceled checks, and/or bank statements.
- Full and timely payments must have been received for 6 months or longer. Income received for less than 6 months is considered unstable and may not be used to qualify the borrower. Also, if full or partial payments are made on an inconsistent or sporadic basis, the income is not acceptable for qualifying the borrower.
- Note: NQM Funding, LLC expects lenders originating loans for sale to NQM Funding, LLC to make appropriate disclosures, as required under the federal Equal Credit Opportunity Act, that child support, alimony, or maintenance income information need not be provided unless the borrower wants the lender to consider such income in underwriting the loan.

COMMISSION INCOME

Commission earnings should be averaged over the most recent 2 years and require the following documentation:

- Most recent year-to-date pay stub reflecting the commission earnings; and
- W-2 forms covering the most recent 2 year period or a complete written Verification of Employment.

A borrower on their current job for less than 2 years with a minimum 2 year history of receiving commission in the same line of work may also qualify to use commission earnings.

- If there are large fluctuations, the borrower must provide a signed, written explanation to support the increase or decrease in income. Additional supporting documentation is required to use commission income for qualification when documentation shows a [decline in earnings](#) from one year to the next.

With borrowers that receive a draw against the commission earnings, the draw income is not to be considered in addition to the commission income. Draws are only to be considered income paid in advance of receiving commissions, where the amount is then subtracted once the commissions are earned.

DECLINING INCOME

Declining income sources should be closely reviewed to determine if the income may be used for qualifying purposes. Income showing a consistent decline over the prior years should not be considered as stable or usable income for qualification purposes.

- A signed, written explanation for the decline should be obtained from the borrower and/or employer. In instances where there is sufficient information to support the use of the income, the most recent lower income over the prior 2 year period must be used and may not be averaged.

DISABILITY INCOME

Long-term and short-term disability income can be used for qualification. The following documentation should be obtained for both long-term and short-term disability:

- Documentation from either the insurance company or employer providing the payment amount, conditions for termination of payment, and there is no evidence the income is not likely to continue.
- A copy of the most recent check or bank statement is required if the award letter does not reflect the current payment being received.

Short-term disability also requires the following documentation:

- Signed letter from borrower stating intent to return to work once the disability no longer exists.
- Verification from employer stating that the borrower will be allowed to return to work once the disability no longer exists.
- The letter must identify the borrower's position and rate of pay upon return. If the future employment income will be less than the disability income, the lower income amount must be used to qualify for the loan.

In documenting disability income, lenders originating loans for sale to NQM Funding, LLC must not make inappropriate and/or unlawful inquiries regarding the nature or severity of the borrower's disability.

DIVIDEND/INTEREST INCOME

Dividend and interest income derived from investments can be used as qualifying income when the following requirements are met:

- Document a two (2) year history of income, as verified by:
 - Copies of the borrower's signed federal income tax return; or
 - Copies of the account statements

Sufficient assets should remain after closing to continue to generate an acceptable level of earnings. If assets that generated dividend/interest income are being sold as part of the mortgage transaction, the qualifying income must be reduced by a percentage equal to the percentage reduction in the value of the assets that generated the income.

Earnings should be averaged over the period verified when current earnings are consistent with historical dividend and interest earnings.

EMPLOYMENT BY A RELATIVE

All loans require Full Documentation.

Income for borrowers who are employed by a relative must be verified with one of the following:

- Federal Tax Returns for the most recent 2 year with transcripts or
- W-2s for the most recent 2 years with transcripts; and
- Pay stub(s) covering the most recent 30-day period.

Income should be averaged over the 2 year period. Clarification of potential ownership by the borrowers of family-owned businesses may also be required.

FOREIGN INCOME

Foreign income is income earned by a borrower who is employed by a foreign corporation or a foreign government and is paid in foreign currency. Borrowers may use foreign income to qualify if the following requirements are met:

- Two years U.S. federal income tax returns reflecting the foreign income or
- Evidence of Income from the country of employment:
 - Income must be translated to U.S. dollars.
 - An unaffiliated certified translator must translate all documents.
- Standard income stability and continuance requirements must be met.
- Standard documentation requirements apply based on the type of income.
- Income from sanctioned countries administered by OFAC is not allowed.

When Foreign Income is used the loan must be priced as a Foreign National regardless of citizen status. If occupancy type is a Primary Residence, the loan would be priced as a Second Home.

FOSTER CARE INCOME

- Income derived from foster care payments may be considered if there is a 2 year history of receipt and there is no evidence the income is not expected to continue.
- The income can be verified by letters from the organizations and copies of borrower's deposit slips or bank statements showing regular deposit of the payments, or by providing Federal Tax Returns for the most recent 2 years. The documentation received must clearly show the number of foster children involved, their ages, and length of care.
- Income must be averaged over the 2 year period and may not be considered for children who will reach the age of 19 within 3 years.

HOURLY WAGES

Borrowers paid on an hourly basis, or who may not work a regular 40-hour work week throughout the year, will generally have their income averaged over the minimum employment history required. If there is an indication of declining income, the current income is used instead of the average.

LUMP-SUM DISTRIBUTIONS

Proceeds from the sale of investments held in a 401(k) or IRA account are not eligible as an income source. See [Dividend/Interest Income](#) for related allowable income sources.

MINISTER/CLERGY INCOME

- Ministers are individuals duly ordained, commissioned or licensed by a church or church denomination.
- Ministers and members of the clergy are considered self-employed unless exempted by IRS from self-employment taxes. If exempt, an exception from the IRS must be provided.
- Rental or housing allowance received can be considered income for qualifying the borrower.
 - Written documentation, such as a WVOE provided by the church, must be obtained showing receipt of the income.
 - The borrower's pay stub should also reflect receipt of the housing allowance. If the borrower is newly employed, obtain a copy of the church budget (in lieu of a check) showing funds have been allocated for housing allowance.
 - Housing allowance for ministers is non-taxable income and can be grossed up for qualifying.
- The church may budget for educational, medical insurance, life insurance, retirement, etc. to be paid on behalf of borrower; however, these items will not be considered as qualifying income, unless exempted by the IRS
- . The housing allowance, although not subject to federal income taxes, is subject to self-employment taxes. Gross income on Schedule SE of the borrower's 1040 should include housing allowance paid.

NON-TAXABLE INCOME

- Non-taxable income can be grossed up by 25%.
 - Examples of non-taxable income may include military allowances for clothing, quarters, and subsistence, child support, worker's compensation, disability retirement, social security income, clergy housing allowance, foster care income, food stamps, income from municipal bonds, and certain types of insurance benefits.
- Certain income types may contain both taxable and non-taxable income. Federal income tax returns may be required to accurately determine the non-taxable portion.
- Income may not be grossed up for calculating [Residual Income](#).

NOTES RECEIVABLE INCOME

Income from notes receivable can be used to qualify provided the income is regular and recurring. The borrower should have a documented history of receiving the income for at least 2 years and can verify that the income will continue for at least 3 years from note on the new mortgage.

- A copy of the note confirming the amount, frequency and duration of payments is required along with Federal Tax Returns for the most recent 2 year period (including Schedule B) or 12 months' bank statements showing consistent deposits of funds. Income from a recently executed note/contract (less than 12 months) may not be used as qualifying income.

PART-TIME/SECOND JOB INCOME

Verification of a minimum history of two years from secondary employment is recommended, however income that has been received for at least one year may be considered if there are positive factors to offset the shorter income history.

PENSION/RETIREMENT

Pension and retirement income must be verified with any of the following:

- Letters from the organization providing the income.
- Copy of retirement award letters.
- Feral Tax Returns for the most recent 1 or 2 years
- W-2 forms or 1099 forms for the most recent 1 or 2 years
- Bank statements reflecting regular deposits for the most recent 2 months.

PROOF OF CONTINUANCE

- If the borrower is of retirement age, proof of continuance does not have to be documented when the income is received from corporate, government or military retirement/pension.
- If retirement income is in the form of monthly annuity distributions, such as 401(k) or IRA, proof of continuance for 3 years is required. If the borrower intends to use the retirement account to also satisfy asset requirements, the value of the asset must be reduced by the funds being withdrawn prior to determining a 3-year continuance of income. Assets available beyond the deduction for continuance of income may be used as reserves. See also [Retirement Accounts](#).

FORTHCOMING RETIREMENT

- Any borrower presently employed but anticipating retirement within 3 years from note date must be evaluated upon the verified anticipated retirement income.
- Effective income for borrowers planning to retire (or end employment for other reasons) during the period must include the amount of documented retirement or other benefits to be received, Social Security payments, or other payments expected to be received in retirement.
- A combination of present earnings and future retirement income does not represent a supportable level of earnings.

PUBLIC ASSISTANCE

Income from government assistance Programs, such as food stamps, Aid to Dependent Children, or welfare, can be used as qualifying income provided such income has a reasonable likelihood of continuing for at least 3 years.

- The applicant must provide a copy of a benefits awards letter as evidence of eligibility.
 - This documentation must verify the amount of assistance, duration of payment and what portion if any is non-taxable. Verification of receipt of benefits for the previous 2 years can be documented with copies of checks, copies of bank statements, copies of award letters or copies of grant statements.
- Compliance with the requirements of the federal Equal Credit Opportunity Act and applicable

state anti-discrimination laws is required.

RESTRICTED STOCK UNITS (RSU)

Restricted stock units (RSUs) are issued to an employee as a form of compensation based on either performance or time. They can be awarded as either stock or an equivalent cash value of the number of shares awarded and usually vest over a certain number of years.

- After they vest, the employee may sell the shares at the current price or hold the stock for future sale.
- To be used as qualifying income, the restricted stock must have vested and been distributed to the borrower without restrictions.

For performance-based awards:

- A minimum of 24 months history of restricted stock income from the current employer is recommended. Restricted stock income received from 12 to 24 months from the current employer may be considered acceptable if there are positive factors to offset the shorter income such as:
- Future vesting equal to or greater than previous vesting and that will continue for at least 24 months; or
- Restricted stock income received from the previous 5 years from any employer.

For time-based awards:

- A minimum of 12 months history of restricted stock income from current employer

Sign-on bonuses received in the form of restricted stock that vest over any length of time cannot be considered as eligible income until vested.

RSU Documentation

- The following documentation is required:
 - Evidence that stock is publicly traded;
 - Current vesting schedule reflecting past and future vesting;
 - Brokerage or bank statement showing receipt of previous year(s) distribution of restricted stock and, at minimum, the number of vested shares or cash equivalent; and
 - A completed WVOE that shows restricted stock distributions, or the borrower's recent paystub and year end W2s or paystubs showing the stock distributions.

SEASONAL INCOME

Income from seasonal employment can be considered if the applicant has worked the same job during the season for the past 2 years and expects to be rehired for the next season.

- A written Verification of Employment and W-2s for the most recent 2 years are required. The WVOE must reference the likelihood of the borrowers being rehired. Seasonal income should be averaged over a 2 year period.

SOCIAL SECURITY INCOME

When a borrower is drawing Social Security benefits from their own account/work record in the form of Retirement or Disability, one of the following items is required:

- Social Security Administrator's (SSA) Award letter, or
- Proof of current receipt

When a borrower is drawing benefits from their own account/work record in the form of Supplemental Security Income (SSI), both the award letter AND proof of current receipt must be obtained.

When a borrower is drawing Social Security benefits from another person's account/work record, all the following items are required:

- SSA Award letter
- Proof of current receipt; and
- Proof benefit will continue for at least 3 years (e.g., verification of beneficiary's age)

See also [Non-Taxable](#) Income above.

TEACHER INCOME

Teachers are paid on a 9-month, 10-month or 12-month basis.

- The pay structure should be determined before calculating the monthly income.
- If uncertainty exists, the borrower may provide a copy of their contract or the school district's personnel office may provide verbal confirmation.

TIPS AND GRATUITIES

Tips and gratuity income can be considered if receipt of such income is typical for borrower's occupation (i.e., waitperson, taxi driver, etc.). Income should be received for at least 2 years and documented through the most recent year-to-date pay stubs along with one of the following:

- 2 years W2s and W2 Transcripts, OR
- 2 years 1040s, along with IRS Form 4137, Social Security and Medicare Tax on Unreported Tip Income (when necessary), to verify tips not reported through the employer, and Tax Transcripts.

TRAILING SPOUSE OR CO-BORROWER INCOME/RELOCATION

Trailing spouse income or co-borrower income to be received when the borrower is being relocated is not allowed to be used as qualifying income.

TRUST INCOME

Trust income can be used for qualification as follows:

- Variable trust payments require a 24-month history of receipt and must be documented with Federal Tax Returns.

- Fixed trust payments require either:
 - A minimum 12-month history of receipt; OR
 - A minimum of one payment received prior to closing provided:
 - The payments are fixed, AND
 - The borrower is not the grantor of the trust.

In either case, proof of current receipt of the income is required and must be documented with a current bank statement or equivalent documentation.

Continuance of the trust income must comply with standard income requirements:

- When trust income is derived from rental income, evidence of three-year continuance is not required.
- When the income is a fixed payment from a depleting asset, three years' continuance is required.

UNEMPLOYMENT COMPENSATION

- Income derived from unemployment compensation is not allowed due to the limited duration of its receipt.
- Seasonal unemployment, however, can be considered if the borrower is employed in a field where weather affects the ability to work and where unemployment compensation is often received (i.e., construction).
- The income can be used to qualify on with a 2 year employment history in the same field of work and a 2 year history of receipt of unemployment compensation. Income should be averaged over the period verified.

VA SURVIVORS' BENEFITS/DEPENDENT CARE

VA benefits must be documented with a copy of the award letter or distribution forms and must continue for at least 3 years.

RESIDUAL INCOME

As noted in the Program requirements, minimum residual income thresholds apply to HPML loans or when the DTI is > 43% on Primary Residence and Second Homes only using the following calculation:

$$\text{Residual Income} = \text{Gross Monthly Income} - \text{Total Monthly Obligations}$$

The initial 1003 should reflect the number of members in the household for all borrowers on the transaction.

Number of Household Members	Minimum Residual Income*
1 Person	\$1,500
2 Persons	\$2,500
For each additional household member	\$150



***Instructions for using the Household Members table above:** For the household member count, include all related and unrelated members of the household who depend on the borrower(s) for support.

RATIOS AND QUALIFYING

DEBT TO INCOME RATIO (DTI)

The debt-to-income ratio (DTI) is calculated by adding the borrower's total PITIA and the borrower's total monthly obligations and dividing by the borrower's total monthly qualifying income. The maximum DTI varies by Program and can be found on the applicable matrix.

The monthly mortgage payment (PITIA) used for qualification consists of the following:

- Principal and Interest
- Hazard and flood and insurance premiums
- Real Estate Taxes
- Special Assessments
- Association Dues, including Mandatory Membership Dues
- Any subordinate financing payments on mortgages secured by the subject property.

NON – QM PRODUCT TERMS

Qualifying Ratios are based on PITIA payment with the principal and interest payments amortized over terms listed below. For example, a 40-year loan with a 10-year-interest only period would be qualified with the 30-year amortizing payment.

PRODUCT	QUALIFYING RATE*	TERM	I/O TERM	AMORT TERM	INDEX	CAPS
5/6 ARM	Higher of Fully indexed or Note Rate	360	N/A	360	30-day avg SOFR	2/1/5
5/6 ARM I/O	Higher of Fully indexed or Note Rate	360	120	240	30-day avg SOFR	2/1/5
5/6 ARM I/O	Higher of Fully indexed or Note Rate	480*	120	360	30-day avg SOFR	2/1/5
7/6 ARM	Note Rate	360	NA	360	30-day avg SOFR	5/1/5
7/6 ARM I/O	Note Rate	360	120	240	30-day avg SOFR	5/1/5
7/6 ARM I/O	Note Rate	480*	120	360	30-day avg SOFR	5/1/5
15 YR FIXED	Note Rate	180	N/A	180	NA	NA

30 YR FIXED	Note Rate	360	N/A	360	NA	NA
30 YR FIXED I/O	Note Rate	360	120	240	NA	NA
40 YR FIXED **	Note Rate	480	N/A	480	N/A	N/A
40 YR FIXED I/O	Note Rate	480*	120	360	NA	NA

*Buydowns: Qualify off full payment (Permanent Note Rate, rather than the terms of the buydown)

**40 Year fixed:

- The borrower qualifies with a DTI of below 50% calculated using the payment under a 40-year amortization, and
- The borrower qualifies with a DTI of below 55% calculated using the payment under a 30-year amortization.

DSCR PRODUCT TERMS

The DSCR PITIA is computed using interest only payment, taxes, insurances and association dues based on the qualifying terms described below.

PRODUCT	QUALIFYING RATE*	TERM	I/O TERM	AMORT TERM	INDEX	CAPS
5/6 ARM	Note Rate	360	N/A	360	30-day avg SOFR	2/1/5
7/6 ARM	Note Rate	360	NA	360	30-day avg SOFR	5/1/5
15 YR FIXED	Note Rate	180	N/A	180	NA	NA
30 YR FIXED	Note Rate	360	N/A	360	NA	NA
30 YR FIXED I/O	Note Rate	360	120	240	NA	NA
40 YR FIXED *	Note Rate	480	N/A	480	N/A	N/A
40 YR FIXED I/O	Note Rate	480*	120	360	NA	NA

*If applicable, Buydowns: Qualify off full payment (Permanent Note Rate, rather than the terms of the buydown).

ASSETS

Loan files must evidence sufficient funds from acceptable sources for down payment, closing costs, prepaid items, debt payoff, and applicable reserves. A borrower's ability to accumulate assets provides insight into the individual's ability to successfully manage personal finances. Assets must be dated within 90 days of the note date.

ASSET DOCUMENTATION

Assets required for down-payment, closing costs and reserves may be documented as follows:

- One-month account statement, or most recent quarterly statement. Statements must include:
 - Opening and closing balances
 - Borrower as account holder
 - Account number
 - Statement date and period covered
 - Current balances in U.S. dollars
- Written Verification of Deposit, completed by the financial institution.
- Accounts verified using a FNMA approved third-party vendor.
- Non-Borrowing parties on the account (excluding a non-borrowing spouse) must provide a written statement that the borrower has full access and use of the funds. See also [Spousal Accounts](#).
- Large deposits on purchase transactions when personal accounts are used must be documented.
- Large Deposits are defined as > 50% of the total gross income for all borrowers.
- Large deposits are not required to be sourced when the deposit is not used in the income calculation for business accounts or refinance or DSCR.
- When using bank statements for income, large deposits must be documented in accordance with the [Bank Statement Analysis Requirements](#).

Note: All pages of any statements provided for Asset Documentation are required. Summaries will not be accepted.

Business assets are permitted as follows:

- Unless required by the related Program, the borrower must have minimum 25% ownership and must be an owner on the business account.
- The balance of the business assets must be multiplied by the borrower's ownership percentage of the business unless the other business owners provide a letter stating the borrower has full access to the funds. In that instance, 100% of the funds may be used.
 - Borrower's ownership is to be documented via a CPA letter, Operating Agreement or equivalent.
 - **When the borrower is not the sole owner of the account, the transaction must be acknowledged and borrower's access to the funds must be documented via one of the following:**
 - A letter signed and dated by all non-borrowing owners of the business (not required when the spouse is the only other owner), or
 - A letter signed and dated by the CFO or Board of Directors, or
 - Evidence of the borrower's access to the funds via the Operating Agreement.

FOREIGN ASSETS

Foreign Assets may be verified from a letter of reference on company letterhead from a verifiable banking institution. Contact information for the person signing the letter must be provided, and the letter must state the type of relationship, length of the relationship, how accounts are held

and the current balance. An unaffiliated certified translator must translate all documents.

Foreign Assets may be used for down payment, closing costs, and reserves.

- If the borrower has a valid Social Security (SSN) all funds required for down payment, closing costs, and reserves must be seasoned for 30 days.
 - If the borrower does not have a valid SSN (i.e., ITIN or Foreign National using foreign assets), 60 days seasoning is required.
 - Foreign assets deposited into a U.S. institution within 60 days of application is acceptable if there is evidence that the funds were transferred from the country from which the borrower previously or currently resides.
 - It must also be established that the funds belonged to the borrower before the date of transfer.
- Assets required for closing (down payment and closing costs) must also be seasoned in a U.S. depository institution for 10 days prior to closing or wired directly to the closing agent (a foreign bank that is in the U.S. e.g., RBC is considered in a U.S. Depository).
- Assets required for reserves:
 - The funds are to be converted to U.S. dollars using the current exchange rate. A letter of reference on company letterhead from a verifiable banking institution may also be obtained.
 - Contact information must be provided by the person signing the letter, and the letter must state the type of relationship, length of the relationship, how accounts are held, and current balance.

OTHER ASSETS

BORROWED FUNDS SECURED BY AN ASSET

Borrowed funds that are secured by an asset can be used as a source of funds for down payment, closing costs, and reserves. Assets that may be used to secure funds include automobiles, artwork, collectibles, real estate, publicly traded stocks and/or bonds, and 401(k) accounts.

- The terms of the secured loan and transfer of funds to the borrower should be documented. The individual providing the secured loan cannot be a party to the transaction.
- The monthly payments for the loan secured by non-financial assets must be counted in the debt-to-income ratio. However, when the loan is secured by the borrower's financial assets and there are sufficient assets to pay off the loan currently verified, the monthly payment for the loan does not have to be considered as a long-term debt when qualifying the borrower (as in the case of a 401(k) loan).
- If the same financial asset is also used as part of the borrower's financial reserves, adequacy of the borrower's reserves must be determined after taking into consideration the net value of the asset after it has been reduced by the proceeds from the secured loan (and any related fees).

COLLEGE SAVINGS ACCOUNT – 529 PLAN

Typically, a 529 College Savings Plan is an eligible source of funds provided that the borrower is



the owner of the account, and the account is revocable.

- A copy of the plan is required to ensure it is a savings plan, and not a prepaid tuition plan. 529 accounts may be used to satisfy reserve requirements at 60% of the value.

EARNEST MONEY/CASH DEPOSIT ON SALES CONTRACT

If earnest money is needed to meet the borrower's minimum contribution requirement, it must be verified that the funds are from an acceptable source. Satisfactory documentation includes any of the following:

- Copy of the borrower's canceled check.
- Certification from the deposit holder acknowledging receipt of funds.
- VOD or bank statement showing that the average balance was sufficient to cover the amount of the earnest money at the time of the deposit.
- If funds were given over 12 months ago per the sales contract, then an escrow letter will suffice for sourcing of any funds given greater than 12 months from the closing date.

If the earnest money check has cleared the bank, bank statements should cover the period up to and including the date the check cleared the account. A copy of the check that has not cleared may also be obtained along with a processor's certification verifying with the bank the date the check cleared, the dollar amount of the check, and the individual providing the information.

EMPLOYER ASSISTANCE

Employer assistance in the form of a grant, direct fully repayable second mortgage, forgivable second mortgage or deferred payment second mortgage or unsecured loan, and shared appreciation down payment assistance are permitted. Funds must come directly from the employer, may be used for down payment / closing costs subject to minimum Borrower contributions, may be used for reserves except for unsecured loans and are only eligible for Primary Residence. Any obligation for the borrower that arises from receipt of this assistance must be included in qualifying the borrower.

Documentation Requirements:

- That the Assistance Program is an established company Program, not just an accommodation developed for an individual employee.
- The dollar amount of the employer's assistance.
- An unsecured loan from an employer with an award letter or legal agreement from the note holder and must disclose the terms and conditions of the loan.
- The terms of any other employee assistance being offered to the borrower (such as relocation benefits or gifts).
- That the borrower received the employer assistance funds directly from the employer (or through the employer-affiliated credit union).

GIFT FUNDS

Gift Funds are acceptable as follows:

- For Primary Residence and Second Home loans:
 - Max LTV per the matrix permitted with 5% down payment from the borrower's own

funds.

- o 100% gift funds are allowed for downpayment and closing costs on Flex Select, using Full or Alt Doc on Primary Residence and Second Home loans up to a maximum of 80% LTV.
- Funds from a spouse or domestic partner are not considered gift funds. See [Spousal Accounts](#) for additional criteria when using funds held solely in the name of a spouse.

Gift Requirements

- Gift funds can be used for down payment and closing costs.
- Gift funds may not be used to meet reserve requirements.
- Gifts from a business account are permitted provided 1) borrower owns 100% of the business and 2) a letter from the CPA that states that the use of funds will not negatively impact the business.
- Gift funds for the purpose of paying off or reducing debt prior to or during the loan transaction would be considered eligible gift funds, provided all gift fund criteria are met.

Eligible Gift Donors

A gift can be provided by:

- A relative, defined as an individual who is related to the borrower by blood, marriage, adoption, or legal guardianship; or
- A non-relative that shares a familial relationship with the borrower defined as a domestic partner (or relative of the domestic partner), individual engaged to marry the borrower, former relative, or godparent.

The donor may not be, or have any affiliation with, the builder, the developer, the real estate agent, or any other interested party to the transaction.

Gift Documentation Requirements

A signed gift letter is required to provide with the following information:

- Donor's name, address, phone, and relationship to borrower (donor must be a relative, spouse or domestic partner); and
- Dollar amount of gift; and
- Donor's statement that no repayment is expected.

Verifying Donor Ability and Transfer of the Gift Funds

Sufficient funds to cover the gift must be verified as either currently in the donor's account or evidence of transfer into the borrower's account. Acceptable documentation includes any of the following:

- Copy of the donor's check and the borrower's deposit slip.
- Copy of the donor's withdrawal slip and the borrower's deposit slip.
- Copy of the donor's check to the closing agent.
- Evidence of wire transfer from donor to borrower
- Settlement statement showing receipt of the donor's check.

When the funds are not transferred prior to closing, it must be documented that the donor gave the closing agent the gift funds in the form of a certified check, a cashier's check, money order, or wire transfer.

GIFT OF EQUITY

Gifts of equity can be used for down payment or to pay closing costs (including prepaid items).

Requirements

- Primary Residence transactions only.
- Borrower contribution is not required.
- Six (6) months of reserves required of borrower's own funds.
- Signed Gift of Equity letter is provided containing the following:
 - Donor's relationship to Borrower, (Gift of equity must be from immediate family member).
 - Indicate that the gift is being provided in the form of a gift of equity.
 - All liens on title to be paid in full and reflected on the settlement statement.
 - Gift of equity must be listed on the settlement statement.
 - The gift of equity is not subject to interested party contributions.
 - All Non-ARMS length requirements must be met.

INTERESTED PARTY CONTRIBUTIONS

MAXIMUM CONTRIBUTIONS		
Occupancy	LTV	Max %
Primary Residence and Second Homes	≤ 75%	9%
	75.01% - 90%	6%
Investment Properties	ALL	6%
<i>Note: Percentage is based on of the lower of the property's sales price or appraised value and may be applied towards the buyer's closing costs, prepaid expenses, discount points, and other financing concessions.</i>		

Sales concessions include:

- Financing concessions more than the max financing concession limitations; or
- Contributions such as cash, furniture, automobiles, decorator allowances, moving costs, and other giveaways granted by any interested party to the transaction (contributions with a combined value under \$1,000 should be excluded)

The value of sales concessions must be deducted from the sales price when calculating LTV for underwriting and eligibility purposes. The LTV is then calculated using the lower of the reduced purchase price or the appraised value.

LIFE INSURANCE

Net proceeds from the surrender of a life insurance policy or from a loan against the cash value are acceptable for down payment, closing costs, and reserves.

- If the funds are needed for the down payment or closing costs, sellers must document the borrower's receipt of the funds from the insurance company by obtaining either a copy of the check from the insurer or a copy of the payout statement issued by the insurer.
- If the cash value of the life insurance is being used for reserves, the cash value must be documented but does not need to be liquidated and received by the borrower.
- Any repayment obligations must be assessed to determine any impact on borrower qualification or reserves.
- If penalties for failure to repay the loan are limited to the surrender of the policy, payments on a loan secured by the cash value of a borrower's life insurance policy do not have to be considered in the total debt-to-income ratio.
- If additional obligations are indicated, the amount must be factored into the total debt-to-income ratio or subtracted from the borrower's reserves.

NET PROCEEDS FROM SALE OF REAL ESTATE

If part of the down payment is expected to be paid from the sale of the borrower's current home, a final signed settlement statement verifying sufficient net proceeds must be obtained.

CRYPTO CURRENCY

Crypto Currency – such as Bitcoin and Ethereum are eligible sources of funds for the down payment, closing costs and reserves.

Down payment and Closing Costs

- Must be liquidated and deposited into an established U.S. bank account.

Reserves

- Loan file must include a statement meeting the requirements under account statements to document ownership of the crypto holdings.
- Current valuation, within 30 days of the loan note date, can only be determined from the Coinbase exchange.
- 60% of the current valuation will be considered eligible funds.

Note: Crypto Currency is not accepted as a Qualified Asset for Asset Utilization.

RENT CREDIT FOR LEASE WITH PURCHASE OPTION (RENT TO OWN)

Borrowers may apply a portion of the rent paid to their down payment requirements. Credit for the down payment is determined by calculating the difference between the market rent and the actual rent paid for the last 12 months. The market rent is determined by the appraiser in the appraisal for the subject property. See [Lease with Purchase Option](#) for full requirements.

Required Documentation

- Copy of the rental/purchase agreement evidencing a minimum original term of at least 12 months, clearly stating the monthly rental amount and the terms of the lease.
- Copies of the borrower's canceled checks or money order receipts for the last 12 months evidencing the rental payments.
- Market rents as determined by the subject property appraisal.

RETIREMENT ACCOUNTS

Vested funds from individual retirement accounts (IRA/SEP/Keogh accounts) and tax-favored retirement savings accounts (401(k) accounts) are acceptable sources of funds for the down payment, closing costs, and reserves. The lender must verify the ownership of the account and confirm that the account is vested and allows withdrawals regardless of current employment status.

- If the retirement assets are in the form of publicly traded stocks, bonds, or mutual funds, the account must meet the requirements of [Stocks, Bonds, and Mutual Funds](#) for determining value and whether documentation of the borrower's actual receipt of funds is required when used for the down payment and closing costs. When funds from retirement accounts are used for reserves, the funds do not have to be withdrawn from the account.
- If the borrower intends to use the retirement account to also satisfy income requirements. See also [Proof of Continuance](#).

SALE OF PERSONAL ASSETS

Proceeds from the sale of personal assets are an acceptable source of funds for down payment, closing costs, and reserves, provided the individual purchasing the asset is not a party to the property sale or mortgage financing transaction.

The following must be documented:

- Borrower's ownership of the asset
- Value of the asset, as determined by an independent and reputable source.
- Transfer of ownership of the asset, as documented by either a bill of sale or a statement from the purchaser.
- Borrower's receipt of the sale proceeds from documents such as deposit slips, bank statements, or copies of the purchaser's canceled check.

SPOUSAL ACCOUNTS

Accounts held solely in the name of a non-borrowing spouse may be used for down payment and closing costs only and are subject to the seasoning requirements outlined in [Asset Documentation](#).

Accounts held solely in the name of a non-borrowing spouse may not be used to meet reserve requirements unless the spouse is also on title.

STOCK OPTIONS

Vested stock options are an acceptable source of funds for down payment and closing costs when immediately available to the borrower. Stock options may not be used to meet reserve requirements. The value of vested stock options can be documented by:

- Referencing a statement listing the number of options and the option price; and
- Determining the gain that would be realized from exercise of an option and the sale of the optioned stock using the current stock price.

STOCKS, BONDS, AND MUTUAL FUNDS

Vested assets in the form of publicly traded stocks, government bonds, and mutual funds are acceptable sources of funds for the down payment, closing costs, and reserves provided their value can be verified. The borrower's ownership of the account or asset must be verified.

- When used for the down payment or closing costs, if the value of the asset is at least 20% more than the portion of the amount of funds needed from the stocks, bonds, or mutual funds for the down payment and closing costs, no documentation of the borrower's actual receipt of funds realized from the sale or liquidation is required. Otherwise, evidence of the borrower's actual receipt of funds realized from the sale or liquidation must be documented.
- When used for reserves, 100% of the value of the assets (as determined above) may be considered, and liquidation is not required.

TRUST ACCOUNTS

Funds disbursed from a borrower's trust account are an acceptable source for down payment, closing costs, and reserves provided the borrower has immediate access to the funds.

To document trust account funds, both of the following must be obtained:

- Written documentation of the value of the trust account from either the trust manager or the trustee; and
- The conditions under which the borrower has access to the funds and the effect, if any, that the withdrawal of funds will have on trust income used in qualifying the borrower for the mortgage.

See [Trust Income](#) if trust is also being used as a source of income to qualify the borrower.

UNACCEPTABLE FUNDS

- Cash-on-hand
- Custodial accounts that are irrevocable trusts like Uniform Transfer to Minor Act (UTMA)
- Down Payment Assistance (DPA) programs
- Gift or grant funds which must be repaid
- Sweat equity
- Section 8 Voucher Assistance
- Unsecured loans or cash advances

RESERVES

Reserves are measured by the number of months of housing expense a borrower can pay using his or her financial assets. The highest reserve requirement, rather than a cumulative total, should be used when a transaction has multiple required reserves.

- Net proceeds from cash-out transactions can be used to meet the reserve requirements.
- Gift funds may only be considered on Foreign Nationals.
- 1031 Exchange funds cannot be used towards reserves.

Reserves from a person that is party to the transaction is not considered a gift. They must be on the Contract and Title on a purchase and must be on Title at time of application for a refinance.

See related Program for eligibility.

APPRAISALS

APPRAISAL REQUIREMENTS

A completed appraisal report is required on all loan transactions to assess the adequacy of the property as collateral for the mortgage requested. The client is responsible for all the following:

- Ensuring the accuracy and completeness of the appraisal and its assessment of the marketability of the property
- Reviewing the completed appraisal report to determine whether the subject property presents adequate collateral for the mortgage.
- Ensuring that the appraiser uses sound reasoning and provides evidence to support the methodology used for developing the value opinion.
- Ensuring that the appraiser provides an accurate opinion, an adequately supported value, and an accurate description of the property.
- Ensuring that the appraiser provides his or her license or certification on the appraisal report.
- Complying with the Appraiser Independence Requirements published by Fannie Mae/Freddie Mac and the requirements of the Federal Truth in Lending Act and Regulation Z with respect to valuation independence.
- Disclosing to the appraiser any information about the subject property of which it is aware of that could impact the marketability of the property.
- Providing the appraiser with the ratified sales contract and other financing or sales concessions that are associated with the transaction.
- Ordering and receiving the appraisal report for each mortgage transaction.
- Ensuring the appraiser does not use unsupported assumptions or use race, color, religion, sex, handicap, familial status, national origin for any party in the transaction, or impermissible demographics of the community in which the property is located, as the basis for market

value.

- Loans originating from the Wholesale or Retail channels should refer to the Appraisal Policies and Procedures for further guidance.

APPRAISAL INDEPENDENCE POLICY STATEMENT

It is the policy of NQM Funding, LLC to comply with all the requirements of the Appraiser Independence Policy provisions of Dodd-Frank as adopted by Fannie Mae, Freddie Mac, and the mortgage industry in general. NQM Funding, LLC, will only accept appraisals completed by appraisers who are properly licensed or certified in the state in which the property is to be appraised is located.

- Appraisal orders may not contain any estimated or requested value.
- Comparable sales may not be suggested to the appraiser.
- The appraisal must be ordered online through the appraisal company's website, with proof of same retained in the e-loan file.
- Appraisal order date may NOT be prior to initial signed dated borrowers Application and "Intent to Proceed" issued with the initial application and disclosure package.
 - The Intent to Proceed is not required to be completed on a business purpose loan prior to appraisal ordering.
- A copy of the appraisal is required to be sent to the borrower on all loans regardless of whether the loan is closed, cancelled, or denied. Borrowers must receive a copy of their appraisal within 3 business days of the time it is delivered to the lender from the appraisal management company and/or appraiser.
- Except for when transferred appraisal is provided, Retail and Wholesale Appraisals are to be ordered through the NQM Funding, LLC appraisal desk, except for the transferred appraisal which must compliant with the Appraisal Transfer Policy.
- Correspondents are responsible for ensuring appraisal orders through their approved AMCs or fee panel appraisals comply with the Dodd-Frank Appraisal Independent Policy.
- The AMCs are responsible of ensuring that appraisers selected are fully licensed, insured and meet all NQM Funding, LLC requirements.
 - Any noted aberrations or concerns are referred to the AMC for discussion and resolution, which can result in removing appraisers from being allowed to perform for NQM Funding, LLC.

APPRAISAL TRANSFER POLICY

Transferred appraisals on wholesale transactions are only allowed when the client has received prior approval from NQM Funding, LLC. To ensure compliance with the Appraiser Independence Requirements, the following items are required for consideration:

- Evidence appraisal was ordered according to Appraisal Independence Requirements,
- Appraisal Invoice along with proof of payment unless being paid through closing,
- Transfer Letter, signed by an employee of the transferring lender who is not in a production capacity (i.e., Loan Officer, Loan Officer Assistants, etc. are not eligible to sign the transfer letter),
- SSRs, and



- MISMO .XML format of the full appraisal including color photos.

Transfers are fully reviewed by underwriting, which may still reject the appraisal if not deemed acceptable.

Exclusionary List:

Appraisals from an appraiser on the NQMF Exclusionary List. Please check the NQMF portal to confirm.

Acceptable Transfers:

Appraisals transferred directly from the originating lender to NQM Funding, LLC may be accepted if:

- The originating lender provides a written transfer letter releasing the appraisal to NQM Funding, LLC.
- The transfer complies with the Appraiser Independence Requirements (AIR).
- The appraiser affirms that the original appraisal remains valid and meets the intended use requirements of the new lender.

Unacceptable Transfers:

- Double Transfers or Beyond: Appraisals that have been transferred more than once (e.g., Lender A > Lender B > NQM Funding, LLC) will not be accepted
- Subject to appraisals
- Expired Appraisals

NQM Funding, LLC will transfer appraisals out upon request on denied or withdrawn loans, and will provide appropriate documentation, AIR certs and transfer letters as needed.

REQUEST FOR APPRAISAL RECONSIDERATION

If there is a reasonable basis to believe that the initial appraisal was flawed or tainted and such basis is clearly and appropriately noted in the loan file, Corporate Appraisal Management will review and may authorize a second appraisal order in cooperation with Underwriting Management by requesting underwriting review and determine acceptability. This is done on an exception basis only and is not allowed just because a party to the transaction does not agree with the value on the original appraisal.

The *Appraisal Reconsideration Form* (located on the Intranet under Forms) must be completed and submitted with any documentation via email to the Appraisal Management Area.

AMCs have their own Reconsideration Form, and the appropriate form must be used if a dispute is being requested for any appraisal ordered through an AMC.

ORDERING / AUTHORIZING A SECOND APPRAISAL

Ordering, obtaining, using, or paying for a second or subsequent appraisal or automated



valuation model (AVM) in connection with a mortgage financing transaction is generally not allowed except under specific circumstances.

If a second appraisal is required, the same process is followed to order the appraisal. The lower of the two values is used to determine LTV eligibility.

If the Underwriter requires a second appraisal or review appraisal because they identify flaws or issues with the initial appraisal, a second appraisal may be ordered.

- Should a second appraisal be ordered after underwriting review (or as noted, approved and allowed by senior management on an exception basis), the valuation shall be determined by the second appraisal, regardless of whether the value is higher or lower than the original appraisal i.e., if the second appraisal returns a higher or lower value than the first appraisal, second appraisal will be used to establish value; cannot revert to original appraisal.

CHARGES FOR SECOND APPRAISAL OR INSPECTION

Second appraisals and/or inspections, unless previously disclosed on the Loan Estimate may not be charged to the borrower in most cases. It is advised to correctly disclose appraisal, second appraisal and/or inspection fees (if required by Program or if anticipated to be required) at the time the initial Loan Estimate is issued.

Should a Program change necessitate a second appraisal or inspection, a correctly completed re-disclosure and Change of Circumstance must be completed to enable the amount to be charged to the borrowers.

UNIFORM RESIDENTIAL APPRAISAL REPORT (URAR)

Appraisers are required to use current appraisal report forms that are acceptable to Fannie Mae and/or Freddie Mac. The following appraisal report forms should be used:

- Uniform Residential Appraisal Form for One Unit Properties (FNMA Form 1004)
- Small Residential Income Property Appraisal Report for 2-4 Unit Residential Properties (FNMA Form 1025)
- Individual Condominium Unit Appraisal Report (FNMA Form 1073)
- Appraisal Update and/or Completion Report (when updates are needed for 1-4 Unit Residential Properties FNMA Form 1004D)
- Single Family Comparable Rent Schedule for all 1-unit Investment Properties when rental income is used to qualifying (FNMA Form 1007)
- 1-4 Family Rider (Assignment of Rents) for all Investment Properties (FNMA Form 3170)
- For 5-10 Multi Unit and 2-8 Mixed-Use, See [Appraisal Requirements](#)

APPRAISAL REPORT REQUIREMENTS

The following items must be contained in the appraisal report:

- Street map showing the location of the subject property and all comparable used.

- Exterior building sketch of the improvements indicating dimensions. A floor plan sketch is required along with calculations demonstrating how the estimate for gross living area is determined. For a unit in a condominium project, the sketch of the unit must indicate interior perimeter unit dimensions rather than exterior building dimensions.
- Original color photographs or digital color images of the front, street, and rear views of the subject property. Original digital black and white photographs/pictures are permitted if the appraisal clearly indicates the subject property meets our standards.
- Interior photos of the subject are required to include the kitchen, all bathrooms, the main living area, any areas with physical deterioration, and any renovations/ improvements.
- Any other data as an attachment or addendum to the appraisal report form necessary to provide an adequately supported estimate of market value.
- Appraisal report must contain analysis of all agreements of sale, options or listings for the subject property current as of the effective date of the appraisal, and analysis of all sales of the subject property that occurred within the 3 years prior to the effective date of the appraisal.
- Appraisal report must include a completed Sales Comparison Approach section of FNMA Form 1004 where there are comparable used with more than one sale or transfer in the 12 months prior to the effective date of the appraisal.
- Appraiser comments on any unfavorable conditions, such as adverse environmental or economic factors, and how those conditions impact the market value of the property. In those cases, the appraiser's analysis must reflect and include comparable sales that are similarly affected.
- Certification and Statement of Limiting Conditions signed by the appraiser.
- A copy of the appraiser's Errors and Omissions Insurance Policy, valid as of the date of the appraisal report, must be included with the appraisal unless confirmation is obtained from the AMC that a copy is on file with them.

APPRAISER QUALIFICATIONS

Real estate appraisers are to be state-certified or state-licensed in accordance with the provisions of Title XI of the Financial Institutions Reform, Recovery and Enforcement Act of 1989. They must have the requisite knowledge required to perform a professional quality appraisal for the specific geographic location and property type as well as have access to the necessary and appropriate data sources for the appropriate area of the appraisal assignment.

The seller must have a process in place to ensure the appraisers it selects have the appropriate knowledge, experience, access to the appropriate data sources, geographic competence, and the ability to generate a quality appraisal report. The seller may choose to use an appraisal management company; however, the seller must establish appropriate procedures and qualifications and continue to meet all requirements noted in these guidelines.

An unlicensed or uncertified appraiser who works as an employee or subcontractor of a licensed appraiser may perform a significant amount of the appraisal if the appraisal report is signed by a licensed or certified appraiser and is acceptable under state law. A supervisory appraiser or any appraiser signing on the left-hand side of the appraisal report as the "Appraiser" must have



performed the level of inspection of the subject property required by the assignment.

ELECTRONIC SUBMISSION OF APPRAISAL REPORT

Appraisal reports which have been transmitted electronically using internet, wireless transmissions, or other types of electronic transmissions are acceptable, provided the following are met:

- The appraisal report accurately identifies the appraiser and is signed by the appraiser. Digitized signatures are acceptable.
- The appraisal report was created by the appraiser whose name appears on the appraisal report and that the appraisal is complete, unaltered, and submitted by the identified appraiser.

AGE OF APPRAISAL AND APPRAISAL UPDATES

Residential Appraisal (1-4 Units)

- The appraisal must be dated within 365 days of the Note date. A recertification of value is required if the report exceeds 120 days of the Note Date. See the [Appraisal Report Requirements](#) section for details.

When an appraisal report will be more than 4 months old (120 days) on the date of the Note and Mortgage, regardless of whether the property was appraised as proposed or existing construction, the appraiser must inspect the exterior of the property and review current market data to determine whether the property has declined in value since the date of the original appraisal. This inspection and results of the analysis must be reported on the Appraisal Update and/or Completion Report (Form 1004D), a photograph of the front of the subject property must be included.

- If the appraiser indicates on Form 1004D that the property value has declined, then the seller must obtain a new appraisal for the property.
- If the appraiser indicates on the Form 1004D that the property value has not declined, then the seller may proceed with the loan in process without requiring any additional fieldwork.

The original appraiser should complete the appraisal update; however, sellers may use substitute appraisers. When substitute appraisers complete updates, the substitute appraiser must review the original appraisal and express an opinion about whether the original appraiser's opinion of market value was reasonable on the date of the original appraisal report. The seller must note in the file why the original appraiser was not used.

Commercial Appraisal (5-10-units Multi-family or 2-8-units Mixed-Use)

Appraisals dated fewer than 120 days prior to the Note date are acceptable. After 120 days, a new appraisal is required.

APPRAISAL REVIEW PROCESS

The Appraisal Review Process requires a secondary appraisal product to support the appraisal



value for the transaction. Acceptable review products include:

- Clear Capital Desk Review (must contain a value and comparative sales data to support the valuation result),
- Field Review
- Second Full Appraisal (appraisals must be completed by different, independent appraisers and the lower of the two appraised values used to determine value)

The Appraisal Review product can be waived if the loan is submitted to Collateral Underwriter and receives a FNMA SSR score of 2.5 or lower.

The following transactions require a second full appraisal:

- Loan amounts > \$2,000,000
- HPML purchase transactions subject to flipping. See [HPML section for details](#).

NQM Funding, LLC reserves the right to request additional appraisal products at their discretion based on review of the appraisal and loan file.

APPRAISAL REVIEW TOLERANCE

A 10% tolerance is permitted for the desk review. If the desk review value is more than 10% below the appraised value, either a field review or a second full appraisal must be obtained, and the lower of the two values must be used for qualifying.

DECLINING MARKETS

The appraiser must identify if the subject property is in a declining market.

- A 5% Max LTV reduction applies to properties in declining markets unless the LTV is 65% or less.

PROPERTY CONSIDERATIONS

MINIMUM PROPERTY STANDARDS

All properties must meet all the following requirements:

- Average or better than average condition
- Contain a kitchen and a bathroom
- Designed and available for year around residential use
- Does not have any environmental hazard that would impact marketability
- Free of all health and safety violations
- Improved real property
- Heated by a continuously fueled heat source which is permanently affixed to the real estate. Alternative heat sources are acceptable when marketability has been demonstrated
- Subject property is not in violation of any housing codes or exhibit items that adversely affect the ownership, habitability, or marketability of the subject property
- Subject property represents the “highest and best” use

ACCESSORY DWELLING UNITS (ADU)

Properties with accessory units, also known as Granny units, mother-in-law suites, etc., are acceptable if all the following are met:

- Property is typical, readily acceptable, and common in the subject's market area.
- Property must conform to all zoning laws and/or regulations.
- The ADU is not required to be "permitted" provided the appraiser indicates the improvements represent a legal use of the property and were completed in a skillful manner.
- Legal non-conforming use is acceptable provided its current use does not adversely affect value and marketability.
- Property is a Single Family Residence with one ADU.
 - Single Family Residences with more than one ADU or 2-4 unit properties with an ADU are permitted when the property is in a municipality allowing for such a set up.
 - The appraiser must specifically confirm compliance with local regulations.
 - Appraisal contains 2 comparables with similar additional accessory units.
 - Accessory unit is substantially smaller than the primary dwelling.
 - If all the above are not met, appraisal must give the accessory unit zero value.

RENTAL INCOME ON ADU

If zoning (current or grandfathered) permits an ADU, the rental income may be included subject to the following:

- Appraisal reflects the accessory unit is legal and the appraiser report includes at least one comparable with ADU.
 - Refinance – the market rent for the ADU should be documented on FNMA Form 1007 and the file must include a copy of the current lease with two months proof of current receipt.
 - Purchase – the market rent for the ADU should be documented on FNMA Form 1007.

DAMPNESS

- If the appraisal report notes evidence of dampness, the appraiser must clearly define the effect on value and marketability of the subject property, as well as comment regarding the probable cause of the dampness problem.
- Generally, a structural engineer's report is required prior to making a loan decision.
- The cause of the dampness must be corrected prior to closing should the dampness problem indicate a structural deficiency and/or significant negative impact on value or marketability.

DEED RESTRICTIONS

Deed restrictions impact the future transferability of a property. The following deed restrictions are allowed:

Age Restricted Communities

Deed restrictions must be reviewed to ensure all the following requirements are met:
Appraisal supports property is common and typical for the market area.

- Deed restriction must not impair or restrict the first mortgage holder's legal rights in the event of a default (or cure), foreclosure, or any other default measure.
- Declarations must not contain any provisions that would require the first mortgage holder to send a notice of default or foreclosure to any third party.
- Deed restriction must not require the lender to provide notification to the governing authority of any delinquency or default.

Limitations on Ability to Sell/Right of First Refusal

Any right of first refusal in the condominium project documents will not adversely impact the rights of a mortgagee or its assignee to:

- Foreclose or take title to a condominium unit pursuant to the remedies in the mortgage,
- Accept a Deed or Assignment in lieu of Foreclosure in the event of Default by a mortgagor, or
- Sell or lease a unit acquired by the mortgagee or its assignee.

DEFERRED MAINTENANCE

Property must be in average or better conditions. Properties in C5 or C6 condition are not acceptable. Structural deferred maintenance is not permitted. Non-structural deferred maintenance can be considered provided:

- The deficiencies are not excessive; and
- The deficiencies do not represent a health or safety concern; and
- The appraisal report is completed as-is with an appropriate adjustment for the current condition of the property.

For additional deferred maintenance guidance for condominiums. See [Review Requirements](#) for Condominiums and the Condominiums Significant Deferred Maintenance and Unsafe Conditions sections.

ESCROW HOLDBACKS

If permitted in the related Program, escrows for work to be completed may be considered on a case-by-case basis per Underwriter discretion.

On Correspondent Transactions, escrows for work to be completed is permitted provided that a FNMA Form 1004D is provided showing all work is completed prior to loan delivery and the escrow is closed out.

FLOOD ZONES

The appraisal should indicate if the property is in a flood zone. See [Flood Insurance](#) for additional information on flood certifications and flood insurance.

FOUNDATION SETTLEMENT

- If the appraisal report notes evidence of excessive settlement, the appraiser must clearly

- define the effect on value and marketability of the subject property.
- Settlement problems which denote structural deficiencies and/or significant negative impact on value and marketability must be corrected prior to closing.
- A structural engineer's report is generally required to assess the situation and determine the appropriate course of action.
- Properties with evidence of sinkhole activity are ineligible for financing.

HEATING SYSTEMS

A central heat source with ductwork or baseboard in all rooms is required on all properties. If subject does not have central heat, the appraiser must provide similar comparable properties and an addendum indicating:

- the heat source is typical for the area.
- the heat source is permanently attached.
- the heat source is adequate for the dwelling.
- the heat source is externally vented.

LAND VALUE AND ACREAGE

Acreage and land value must be typical and common for the subject's market.

- Maximum acreage permitted is 20 acres unless others restricted by the related Program:
- Investment property transactions are limited to 5 acres, except for DSCR loans which are capped at a maximum of 2 acres.

Special consideration should be taken for properties with land values that exceed 50% of the total property value to ensure the value is justified and the property has marketability. The appraisal report must provide data which indicates like-size properties with similar land values are typical and common in the subject's market area. See [Rural Properties](#).

MIXED-USE PROPERTIES (PRIMARY RESIDENCE)

Properties that have a business use in addition to their Primary Residence use are allowed (i.e., property with space set aside for a day care facility, a beauty or barber shop, or a doctor's office).

The following criteria must be met:

- The property must be a 1-unit single family dwelling used as a Primary Residence.
- The borrower must be both the owner and the operator of the business.
- The property must be primarily residential in nature.
- The dwelling may not be modified in a manner that has an adverse impact on its marketability as a residential property.

The appraisal must address the following:

- Provide a detailed description of the mixed-use characteristics of the subject property.
- Indicate that the mixed-use property is a legal, permissible use of the property under the local zoning requirements.
- Report any adverse impact on marketability market resistance to the commercial use of the

- property; and
- Report the market value of the property based on the residential characteristics, rather than of the business use or any special business-use modifications that were made.

MODULAR HOMES

Modular, prefabricated, panelized, or sectional housing homes are eligible for financing must meet all the following requirements:

- Must assume the characteristics of site-built housing; and
 - Must be legally classified as real property; and
 - Must conform to all local building codes in the jurisdiction in which they are permanently located.
- Modular homes are considered single family homes from a guidelines and pricing standpoint.

MULTIPLE DWELLINGS ON ONE LOT

- Properties with 2 or more detached single-family homes on a single lot are generally ineligible for financing. Single-family properties containing additional residential dwellings (guesthouse, carriage house, etc.) must comply with local zoning regulations.
- They must be typical and common within the subject's neighborhood. Typically, the additional dwelling is smaller than the main dwelling and will not be rented.
- The subject property should be appraised as a single-family residence. Any value for additional dwellings should be supported by comparable sales. See also [Accessory Dwelling Units](#).

MULTIPLE PARCELS

When a property consists of more than one parcel of real estate, the following requirements must be met:

- Each parcel must be conveyed in its entirety.
- Parcels must be adjoined to the other unless they comply with the following exception. Parcels that otherwise would be adjoined, but are divided by a road, are acceptable if the parcel without a residence is a non-buildable lot (for example, waterfront properties where the parcel without the residence provides access to the water). Evidence that the lot is non-buildable must be included in the loan file.
- Each parcel must have the same basic zoning (for example, residential, agricultural).
- The entire property may contain only one dwelling unit. Limited additional nonresidential improvements, such as a garage, are acceptable. For example, the adjoining parcel may not have an additional dwelling unit. An improvement that has been built across lot lines is acceptable. For example, a home built across both parcels where the lot line runs under the home is acceptable.
- The mortgage must be a valid first lien that covers each parcel.

PEST INFESTATION

If the appraisal report or sales contract notes evidence of termites or other insect infestation, a pest inspection report certifying treatment of the infestation prior to closing is required. Any significant structural damage due to pest infestation must be corrected prior to closing.

NEW CONSTRUCTION

The following are required for all new construction properties:

- Appraisal Update and/or Completion Report (FNMA Form 1004D) with complete interior and exterior photos reflecting completion, if applicable.
- Proposed improvements are not allowed.
- Certificate of Occupancy, when required per municipality
- Taxes must be based on the improved value. Unless otherwise documented from the title company, use 1.5% of the purchase price for qualifying.

PRIVATE ROADS

Properties on private roads are acceptable subject to the following:

- A legally enforceable agreement or covenant for maintenance of the street is in place that includes provisions for the responsibility for payment of repairs, including each party's representative share, default remedies in the event a party to the agreement or covenant fails to comply with his or her obligations, and the effective term of the agreement which in most cases should be perpetual and binding on any future owners, OR
- If the property is located within a state that has statutory provisions that define the responsibilities of property owners for the maintenance and repair of a private street, no separate agreement or covenant is required. Any maintenance costs are to be included in the borrower's housing payment (PITIA).

PUD (PLANNED UNIT DEVELOPMENT)

A Planned Unit Development (PUD) is a project or subdivision that consists of common property and improvements that are owned and maintained by an HOA for the benefit and use of the individual PUD units. For a project to qualify as a PUD, all the following requirements must be met:

- Each unit owner's membership in the owners' association must be automatic and non-severable.
- The payment of assessments related to the unit must be mandatory.
- Common property and improvements must be owned and maintained by an HOA for the benefit and use of the unit owners.

The subject unit must not be part of a condominium or Co-op project.

Zoning is not a basis for classifying a project or subdivision as a PUD. The PUD project must be analyzed to ensure that an individual unit in the project will be acceptable security for the mortgage.

RURAL PROPERTIES

A property indicated by the appraisal as rural, or containing any of the following characteristics, is typically considered a rural property:

- Neighborhood is less than 25% built-up.
- Area around the subject is zoned agricultural.
- Photographs of the subject show a dirt road.
- Comparables are more than 5 miles away from the subject.
- Subject is in a community with a population of less than 25,000.
- Distance to schools and/or amenities are greater than 25 miles.
- Subject property and/or comparables have lot sizes greater than 10 acres.
- Subject property and comparables have outbuilding or large storage sheds.

Rural properties must comply with all the following criteria:

- Acreage includes road frontage and subject property.
- Property must not be agricultural or provide a source of income to the borrower.
- Lot size and acreage must be typical for the area and like surrounding properties.
- Property cannot be subject to idle acreage tax benefit, tax abatements or other tax incentive program.
- Present use as per the appraisal must be the “highest and best use” for the property.
- Condition, quality, and use of outbuildings should be considered in determining the market value of the subject property when the appraiser clearly supports the adjustments with similar comparable information.

SOLAR PANELS

Properties with solar panels are eligible for financing.

When solar panels are owned and financed and collateralized with a UCC lien on title, the following applies:

- Obtain and review the credit report, title report, appraisal, and/or UCC fixture filing, related promissory note and related security agreement for the solar panel loan. Include any monthly obligation in the DTI.
- The value of the solar panel may be included in the appraised value, provided the panels cannot be repossessed for default on the financing terms.
- Include the balance of the solar panel lien in the LTV/CLTV ratio. If unable to obtain the current balance of the lien, include the original loan amount in the LTV/CLTV ratio. The UCC fixture filing must be subordinated with one of the following:
 - Subordination Agreement
 - UCC Termination. Debt obligation and LTV/CLTV must still consider the solar loan unless evidence is provided to verify the debt has been paid down to zero.

When solar panels are owned and financed without a UCC lien on title, the following applies:

- Obtain and review the credit report, title report, appraisal, and/or UCC fixture filing, related promissory note and related security agreement for the solar panel loan. Include any monthly obligation in the DTI.



- Ensure the appraiser did not provide a contributory value for the solar panels.
- Do not include the panels in the LTV/CLTV ratio calculation.
- If a previously filed UCC was temporarily removed from title through a UCC termination, evidence must be provided that the UCC lien was paid in full, otherwise the financed balance must be included in the LTV/CLTV.

A PACE (Property Assessed Clean Energy) loan allows for repayment of the solar debt through the homeowner's real estate tax bill. PACE loans may also be referred to as a HERO loan.

The following applies when a PACE loan exists:

- Properties with solar panels and other energy efficient items financed with a PACE loan are not eligible if the PACE loan is not paid in full prior to or at closing.
- Any property tax statements that reflect PACE, HERO, or equivalent will require proof of payoff. If loan proceeds are used to pay off the lien, the loan is considered a Cash Out Refinance.

When solar panels are leased or covered by a power purchase agreement, the following applies:

- The solar panels may not be included in the appraised value of the property.
- The property must maintain access to an alternate source of electric power that meets community standards.
- A copy of the lease or power purchase agreement must be obtained.
- The monthly lease payment must be included in the debt-to-income (DTI) ratio calculation unless the lease is structured to:
 - provide delivery of a specific amount of energy at a fixed payment during a given period, and
 - have a production guarantee that compensates the borrower on a prorated basis in the event the solar panels fail to meet the energy output required for in the lease for that period.
- Payments under power purchase agreements where the payment is calculated solely based on the energy produced may be excluded from the DTI ratio.

The lease or power purchase agreement must indicate that:

- any damage that occurs because of installation, malfunction, manufacturing defect, or the removal of the solar panels is the responsibility of the owner of the equipment and the owner must be obligated to repair the damage and return the improvements to their original or prior condition (for example, sound and watertight conditions that are architecturally consistent with the home).
- the owner of the solar panels agrees not to be named loss payee (or named insured) on the property owner's property insurance policy covering the residential structure on which the panels are attached. As an alternative to this requirement, the lender may verify that the owner of the solar panels is not a named loss payee (or named insured) on the property owner's property insurance policy; and
- in the event of foreclosure, the lender or assignee has the discretion to:
 - terminate the agreement and require third-party owner to remove the equipment.
 - become, without payment of any transfer or similar fee, the beneficiary of the borrower's lease/agreement with the third party; or

- enter into a new lease/agreement with the third party, under terms no less favorable than the prior owner.

UNCONVENTIONAL FLOOR PLANS

- Properties with unusual floor plans or functional obsolescence are allowed if the appraisal demonstrates acceptability in the marketplace and includes appropriate adjustments.
- A floor plan sketch is required for all appraisals.

UNPERMITTED ADDITIONS

If the appraiser notes that additions or modifications were made without required permits, the following requirements apply:

- The appraiser should comment that the unpermitted addition/modification appears to be done in a professional/ skillful manner.
- If the unpermitted addition was given value, then appraiser must comment that unpermitted additions are typical for the market area and typical buyer would consider the unpermitted additional square footage to be part of the overall square footage of the property and that there is no reason to believe the addition would not pass inspection for a permit.

WATER SUPPLY

Water certification must be obtained if required by the appraiser or purchase contract. The report should be provided by a city, county, state (or governing body) official or a qualified entity stating:

- The water supply system is in proper working order and pumping an adequate supply of water for the subject property; and
- The water supply is potable and complies with local and/or state health authority standards (in the absence of a local health authority, a reputable chemical testing agency must certify that the water is fit for human consumption).
- The water certification(s) for existing properties can be no more than 120 days old on the date of closing. If new construction, the report may be one-year old as of the date of closing.

ZONING AND LAND-USE REGULATIONS

Property improvements must constitute a legally permissible use of the land based on the zoning ordinance.

If the improvements represent a legal, non-conforming use of land, the appraisal analysis must reflect any adverse effect that the non-conforming has on the value and marketability of the property.

- Special consideration must be given to properties that are subject to other types of land use regulations, such as coastal tideland or wetland laws, as setback lines or other provisions may prevent reconstruction or maintenance of the property improvements in the event of damage or destruction.
- The intent of certain land-use regulations is to remove existing land uses and to stop land

development (including the maintenance, or new construction, or seawalls) within specific setback lines.

- Except as stated above, properties with land-use restrictions which prohibit the reconstruction to maintain the dwelling are ineligible.

PROPERTY TYPES

PROPERTY ELIGIBILITY	
PROPERTY TYPE	ELIGIBLE
Single-Family Residence	Yes
Planned Unit Development (PUD)	Yes
Townhomes	Yes
2-4 Unit Multi-Family Properties*	Yes
Condominium (low-rise and high-rise)*	Yes
Non-Warrantable Condominiums*	Yes
Condotels *	Yes
Site Condominium	Yes
Modular Homes	Yes
Log Homes - Log exterior façade only with like comps, not true log cabins. Must also have fully functioning HVAC system, water source, gas or electric, and be suitable for year-round occupancy.	Yes
Mixed-Use Properties	Yes
Assisted Living/Continuing Care Facilities	No
Baltimore City Row Homes	No
Boarding Houses	No
Co-operative Units (Co-op)	Yes (Delegated Correspondent only)
Farms or Hobby Farms	No
Leasehold Condominiums	No
Properties receiving tax abatements or incentives for farming	No
Properties located on islands not connected to the mainland by a bridge	Will be considered on a case-by-case basis
Manufactured Homes	Yes (Delegated Correspondent only)
Properties Subject to Rent Control Regulations Permitted when the restriction is only due to limiting the increase of rents to a certain percentage per year	No

Unique Properties (Earth Homes, Barndominiums, Churches, Berm Homes, Dome Homes, etc.)	No
Timeshares	No
*Considered depending on Program.	

CONDOMINIUMS - GENERAL

GENERAL CONDOMINIUM REQUIREMENTS (CONDO)

It is important to note that NQM Funding, LLC, uses the Fannie Mae Project Standards guideline as a baseline for its condominium project reviews, however certain guideline overlays may apply. Any project that is warrantable under Fannie Mae guidelines is eligible, except when NQM Funding, LLC guidelines contradict FNMA, NQM Funding, LLC guidelines shall control and supersede. Guidelines are subject to change at NQM Funding, LLC's discretion.

A condominium project is one in which individual owners hold title to unit of air space in the project along with an undivided interest in the real estate that is designated as the "common area" for the project. The units in the project must be owned in fee simple, and the unit owners must have the sole ownership interest in and rights to the use of the project's facilities, common elements, and limited common elements.

To qualify as an acceptable condominium unit, the condominium project must be common for the area and demonstrate good marketability.

PROJECT INSURANCE (CONDO)

All Projects must meet all applicable Project Insurance requirements further detailed in insurance section of guidelines. See [Insurance](#) section.

UNIT SQUARE FOOTAGE (CONDO)

A minimum unit square footage is not required; however, units must contain a full-size kitchen and kitchen appliances to be eligible for financing. In addition, similar sized comparable from competing projects must be provided to demonstrate market acceptance for units with < 400 square feet.

RIGHT OF FIRST REFUSAL / SUPERIOR LIEN RIGHTS (CONDO)

Project documents may not give a unit owner or any other party priority over the rights of the first mortgagee.

CONDO TYPES (CONDO)

- Detached Condo Units (site condominium/land condominium); subject unit is built completely detached, resembling a single family residence on its own lot and does not share partition

walls with any other unit the project, and the legal title to the unit is declared to be condominium unit.

- o Detached condominium units qualify for Project Review Waiver
 - o The project may be comprised of solely detached units or a mix of detached and attached condominium units, so long as the subject unit transaction is a detached condominium.
 - o The project may be established or new.
- Two to Four Unit Condo Projects:
 - o Project must have no more than 4 units total and can be a mix of residential and commercial units. Note: 4 residential units and 1 or more commercial unit(s) does not qualify for Waiver of Project Review.
- Project with five (5) or more units:
 - o Any project with five (5) units, whether units are attached or detached.

ESTABLISHED VS NEW PROJECT (CONDO)

- Established project is a project in which all the following apply:
 - o At least 90% of the total units in the project have been conveyed to unit purchasers.
 - o The project is 100% complete, including all units and common elements, and the project is not subject to additional phasing or annexation.
 - o Control of the HOA has been turned over to the unit owners.
 - o Unless the 80% Rule is met; Developer maintains ownership of 20% of the units and leases the units it owns to tenants, thereby meeting FNMA Single Entity rule. Construction must be complete and Control of HOA must have been transferred to unit owners
- New Project is a project in which any of the following apply:
 - o Less than 90% of units conveyed (sold and closed) to individual unit owners; with exception of projects that meet the 80% rule above.
 - o Developer is in control of the HOA.
 - o Construction is not 100% complete including: buildings, “common area”, and amenities or the project is subject to additional phase annexation or additional construction.

WARRANTABLE VS NON-WARRANTABLE (CONDO)

- A Warrantable Condominium project is one of which a warranty can be made by the Condo Specialist upon review of the condominium documents and loan file criteria that the condominium meets FNMA Guide requirements.
 - o Warranty must meet FNMA Guidelines for both the project type and loan parameters.
- Unavailable projects in Fannie Mae’s condominium database, Condo Project Manager (CPM), are automatically considered Non-Warrantable.
- Non-Warrantable Condominium project is one of which a warranty cannot be made to the FNMA Guidelines and therefore is “Non-Warrantable.”

REVIEW TYPES (CONDO)

- **Waiver of Review (FNMA Type V):**
 - Project's that meet the definition of *Detached Condo Unit or *2 to 4 condominium unit as described above do not require an HOA Questionnaire
 - Unit types used for condotel purposes do not qualify for waiver of project review and may be subject to Condotel requirements
- **Warrantable Review of Project with 5+ Units in the Project:**
 - Limited Review, FNMA Type Q.
 - Full Review Established, FNMA Type S.
 - Full Review New, FNMA Type R.
 - Fannie Mae Approved, FNMA Type T.
- **Non-Warrantable:**
 - New and Established Projects of Project with 5+ Units in the Project
 - New and Established Projects, including 2 to 4 unit Condos and 5+ Unit Projects
- Condotel, New and Established Projects, including, 2 to 4 unit Condos and 5+ Unit Projects

MINIMUM DOCUMENTATION REQUIREMENTS (CONDO)

Refer to the related documents in the NQMF portal.

- Condo Review Quick Reference
- Condo Review & Exception Form
- HOA Questionnaire: All loans secured by condominium projects require a completed Homeowners Association (HOA) questionnaire. Limited Review forms are not acceptable.
- Master Insurance Policy: Insurance Certificate; Declaration Pages evidencing Coverage may be requested to clarify coverage.

PROJECT REVIEW EXPIRATION DATES (CONDO)

All questionnaires must be dated within 90 days of the time of submission to condominium desk)

- **Limited Review - Warrantable**
 - Per loan file, expiration date is the earlier of 180 days prior to the note date or Master Policy Property Insurance Expiration Date.
- **Full Review for Established - Warrantable**
 - Expiration date is the earlier of 180 days prior to the note date or Master Policy Property Insurance Expiration Date.
- **Full Review for New Projects - Warrantable**
 - Expiration date is the earlier of 180 days prior to the note date or Master Policy Property Insurance Expiration Date.
- **Non-warrantable - Established**
 - Expiration date is the earlier of 180 days prior to the note date or Master Policy Property Insurance Expiration Date.
- **Non-warrantable - New**
 - Expiration date is the earlier of 180 days prior to the note date or Master Policy Property Insurance Expiration Date.

PROJECT REVIEW WAIVER

Detached / Site condominium

Whether project consists entirely of detached (site) units or a mixture of both detached and attached condominium units, if the subject is a Detached Condo unit, a project review is not required, and subject is eligible for single-family dwelling LTV/CLTV.

- Detached Condo Units are subject to one-to-four unit Property Insurance Requirements (may also be covered by HOA Master Property Insurance Policy if HOA has provided coverage that meets requirements for the Detached Unit).
- 2 to 4 Unit condominium projects: will not require a project review provided the following are met:
 - Project is not a condominium hotel, houseboat, or timeshare or segmented-ownership project.
 - Standard condominium project insurance requirements apply.
 - Project has been created and exists in full compliance with applicable local jurisdiction, State, and all other applicable laws and regulations.

WARRANTABLE CONDOMINIUMS (W/CONDO)

When a Program indicates the condominium must be warrantable, or if condominium project is eligible for warrantable review, FNMA Condo Guidelines must be followed to ensure warrantability.

WARRANTABLE CONDOMINIUM INSURANCE REQUIREMENTS (W/CONDO)

Project must meet all applicable insurance requirements as defined in Fannie Mae Selling Guide Subpart B7, Insurance.

LIMITED REVIEW AND FNMA APPROVED PROJECTS

MINIMUM DOCUMENTATION REQUIREMENTS

- HOA Questionnaire.
- Master Insurance Policy.

FNMA APPROVED PROJECTS, TYPE T

- Project must not have any Critical Repairs or Ineligible Deferred Maintenance.
- Project must not have litigation that is not considered a minor matter.
- Project Master Insurance Policy must continue to meet Fannie Mae Insurance guidelines.

LIMITED REVIEW ELIGIBILITY REQUIREMENTS, PROJECT TYPE Q

- Project must meet definition of Established Project.
- Project is not an ineligible project per FNMA Guidelines, B4-2.1-03.
- General Liability Insurance and Fidelity Bond Insurance waived for Limited Review.
- Loan Criteria, Occupancy type and related LTV must meet FNMA's occupancy and LTV requirements for Limited Review Eligibility; Geographical Restrictions Apply:
 - FNMA Limited Review Process
 - FNMA Geographical Restrictions

Investor concentration waived for limited review.

- Commercial space square footage cannot exceed 35% of the project or building in which the subject is located.
- Amenities: HOA or affiliated association must own amenities.
- Delinquency count: must demonstrate that no more than 15% of units are 60+ days delinquent on special assessments only.
- Single entity ownership allowed up to 20% for projects with 21 or more units or a maximum of 2 units for projects with 5 to 20 units.
- Project must not have an outstanding Building Recertification, or Local Government Mandated Repair. Project must not have failed a mandated inspection or repair.
- Litigation in which HOA is named as a party must meet Fannie's definition of a minor matter.

LIMITED REVIEW AND OCCUPANCY

- Established Condo Projects
- (For Projects Outside of Florida) 5+ Attached Units
- Maximum LTVCLTV/HCLTV Ratios
- Principal residence 85%/85/90/90%
- Second home 75%/75/75/75%
- Investment property 75%/75/75/75%

FULL REVIEW

Minimum Documentation:

- HOA Questionnaire
- Budget for Current Fiscal Year
- Balance Sheet dated within the past 90 days.
- Master Insurance Policy including property: fidelity/crime, and general liability. Flood Insurance (if applicable).
 - HO- 6 policy if master policy "is not walls in".

Full Review Eligibility Requirements:

- Project must not be an ineligible project per FNMA guides B4-2.1-03.
- Budget must demonstrate a minimum 10% reserve requirement. Reserve study may be provided for consideration of sufficient reserve funding when the 10% is not allocated in the current fiscal year's budget. Qualifying utility expenses may be removed from reserve calculation.
- Contiguous Land: Project must be built on contiguous land.

- Amenities: HOA or affiliated HOA must own amenities. Parking may be owned by a third party, so long as third party is not the original developer, and parking may be subject to a license agreement.
- Investor Concentration:
 - Primary and Secondary Occupancy type transactions: investor concentration requirements waived.
 - Investment Occupancy type transactions: investment occupancy ratio must be 50% or less.
- Commercial Space: square footage cannot exceed 35% of the project, or building in which the subject is located in.
- Delinquency Count: must demonstrate that no more than 15% of units are 60+ days delinquent in regular dues and/or special assessment.
- Single Entity Ownership: allowed up to 20% for projects with 21 or more units or a maximum of 2 units for projects with 5 to 20 units.
- Project must not have an outstanding Building Recertification, or Local Government Mandated Repair. Project must not have failed a mandated inspection or repair.
- Litigation: in which HOA is named as a party must meet Fannie's definition of a minor matter.

NEW PROJECTS

Additional Required Documentation:

- CC&R's/Declaration of Condo/Master Deed.
- Bylaws/Declaration of Trust.
- Articles of Incorporation, if applicable.
- Rules and Regulations, if applicable.
- Public Offering Plan or Prospectus, if applicable.
- Phasing Schedule, if Applicable.
- Additional document requests may be needed as determined by the underwriter.

NEW PROJECT ELIGIBILITY REQUIREMENTS

In addition to the Full Review Eligibility Requirements listed above, project must meet the following criteria:

- Project must have been created in accordance with all local and state laws.
- Governing Documents must evidence all Mortgagee protections required by FNMA on PERS form 1054 (form completion is not required but is a quick reference tool for required language for the governing documents).
- Fannie Mae PERS Approval required for the following project types:
 - New Projects in Florida or any other Geographically restricted areas noted in FNMA guidelines.
 - Non-Gut-Rehab Condo Conversions.
- Pre-sale 50% per subject legal phase, consisting of Primary and Secondary Occupancy Type purchases.
- Subject Legal Phase construction must be substantially complete. Substantial Completion means building exterior is weather tight, and interior all dry wall up-no exposed framing, and is waiting for buyer selections for fixtures, cabinets, wall covering and flooring.

- Subject Legal Phase Common Area Construction is 100% complete, or Developer provides “common area” completion bond.
- Amenities within the Subject Legal Phase must be 100% complete.

NON-WARRANTABLE CONDOMINIUMS

Condominiums listed with a status of “unavailable” in Condo Project Manager (CPM) are not allowed, unless the “unavailable” reason is for a characteristic explicitly deemed acceptable as per these guidelines.

- This requirement does not apply to Condotel Projects.
- Exceptions may be considered for projects that are unavailable and characteristic is not expressly acceptable per the below guidelines.

Non-warrantable condominiums are permitted with the following attributes:

- Max Concentration, when a project is between 5 and 20 units in size, one owner may finance two units in the project.
 - Commercial space square footage allowed up to 50% of total project, or building in which the subject is located in.
- Delinquency Count: Must demonstrate that no more than 25% of units are 60+ days delinquent in regular dues and/or special assessment.
- Investor concentration allowed up to 70%. A higher percentage may be considered when the subject transaction is an Investment Property.
- The project developer may be in control of the condominium association provided the Master Agreement allows for the homeowners to take control upon either a predetermined percentage of unit sales or within a defined period.
- Single entity ownership allowed up to 49% of the project; except for Condotel Projects where the Developer of Condotel may own a greater percentage of the units for rental income purposes.
 - The following may be excluded from the single-entity ownership calculation:
 - Units owned by the project sponsor or developer and are vacant and are being actively marketed for sale; or
 - Units that are controlled or owned by a non-profit entity for the purpose of providing affordable housing, units held in affordable housing programs (including subject to non-eviction rent regulation codes), or units held by higher-education institutions for a workforce housing program.
- Exceptions may be considered for Single Entity, which owns 50% or more of the units. For exception consideration, provide the following information:
 - HOA letter of explanation stating if the single entity is the developer, a REIT, a private investor or a sponsor
 - Is the single entity current on all HOA dues payments? If not, provide the delinquency information
 - Does the single entity intend to sell some or all the single entity owned units? If yes, provide the marketing strategy.
 - Is the subject unit one of the single entity owned units?



- What is the current occupancy type of the subject unit?
- Does the Single Entity have a Right Of First Refusal? If so, is the ROFR actively being exercised?

MAXIMUM CONCENTRATION EXPOSURE – NON WARRANTABLE CONDO

NQM Funding, LLC's project exposure in condominium projects shall be \$5,000,000 or 20% of the total units in the project, whichever is lower.

- Notwithstanding, with compensating factors, the \$5,000,000 maximum may be waived without an exception. no loan shall be made for more than 20% of the total number of units in the project without exception consideration.

THIRD PARTY OWNED AMENITIES, MANDATORY CLUB DUES

- Subject Units in areas such as golf courses, with pool clubs, or other amenities that are subject to a mandatory membership fee are acceptable. The fees must be included in the borrower's debt to income ratio. Note: Developer retained ownership amenities are not acceptable for Non-Warrantable Review types.
- These restrictions do not apply to Condotels

PROJECTS IN LITIGATION

- Projects involved in litigation are acceptable provided the lawsuit(s) are not structural in nature, do not affect the marketability of the project units, and potential damages do not exceed 25% of HOA reserves, or documentation that the insurance carrier has agreed to conduct defense and the HOA insurance policy is sufficient to cover the litigation expense.

COMBINED UNITS

- Projects with Combined Units may be eligible under non-warrantable when HOA has not amended governing documents:
 - Related work must be permitted, with final Certificate of Occupancy issued from the city.
 - Related units must be evidenced on one title deed.
 - Related unit deeds cannot be partially released from mortgage or deed of trust.

NEW PROJECTS

Presale: units under contract or sold and closed with title conveyed.

- Presale must be 25% of Owner Occupied or 2nd Home Occupancy types for the Subject legal phase the first 18 months of marketing.
- Project must have been marketed for less than 18 months. Start of marketing date shall be the day marketing of sales began, or no later than the date of the first purchase contract for sale.
- Presale must be 30% Owner Occupied and 2nd Home Occupancy types for subject legal phase and 40% Presale overall within the first 24 months. of marketing. Definition of

marketing period as defined above.

- Presale must be 50% overall after 24 months. of marketing. Developer must meet Single Entity Guidelines above.
- Projects with Rent Control or other local laws that slow the presale of units will be considered on a case-by-case basis.
 - Subject Legal Phase construction must be substantially complete. Substantial Completion means building exterior is weather tight, and interior all dry wall up-no exposed framing, and is waiting for buyer selections for fixtures, cabinets, wall covering and flooring.
 - Subject Legal Phase Common Area Construction is 100% complete, or
 - Developer provides the “common area” completion bond.
 - Developer evidences funds in escrow dedicated to the “common area” completion.
- Amenities within the Subject Legal Phase must be 100% complete.
- Condo Conversion that is Non-Gut-Rehab and conversion took place within the last 18 months:
- Subject to pre-sale requirements.
- Subject to Single Entity requirements.
- Engineer’s Report and evidence of recommended repairs must be provided.
- Reserve Study must be provided.

INELIGIBLE PROJECTS

- A project subject to the rules and regulations of the U.S. Securities and Exchange Commission.
- Leasehold condominiums.
- Timeshare or condominium projects with restrictions on owner’s ability to occupy the unit.
 - Condotels with a maximum occupancy term of 30 days per short term rental is permitted (unit deed must be a single deed and not fragmented).
- Ownership is limited to a specific period on a recurring basis (i.e., timeshare, quarter share).
- Fragmented or segmented ownership.
- Houseboat project.
- Manufactured Home Condominium projects.
- Assisted living facilities or any project where the unit owner’s contract includes a lifetime commitment from the facility to care for the unit owner regardless of future health or housing needs.
- Multi-family units where a single deed conveys ownership of more than one, or all the units. Condominium Units with ADU’s may be considered on a case-by-case basis.
- Affordable Housing units, units with resale restrictions
- A common-interest apartment or Tenants in Common Project:
 - A project in which individuals have an undivided interest in a residential apartment building and land and have the right of exclusive occupancy of a specific apartment unit in the building.
- Any project where the developer (or its affiliates) owns the Common and/or Limited Elements and leases the elements back to the HOA (on new projects this applies when the developer intends to maintain control of amenities after project becomes Established per guideline definition).
 - Except in the case of a Condotel, where Developer is the Hotel Parcel Owner.

- Any project that has non-conforming zoning (cannot be rebuilt to current density).
- Any project that requires Private Transfer Fees as a part of the transaction, and those fees do not benefit the association.
- Any project in need of Critical Repairs (see detailed section below).
- Any project currently under an evacuation order due to unsafe conditions.
- Any project with unfunded repairs totaling more than \$10,000 per unit.
 - Special Assessments and Loans are acceptable means to fund projects

The following additional requirements apply to projects with five or more units:

- Projects with significant deferred maintenance are not eligible, such as:
- Projects with a full or partial evacuation of the building to complete repairs for more than 7 days or an unknown period
- Projects with deficiencies, defects or substantial damage, or deferred maintenance that;
 - Is severe enough to affect the safety, soundness, structural integrity or habitability of the improvements.
 - Impedes the “safe and sound” functioning of one or more of the building’s major structural or mechanical elements, including but not limited to; foundation, roof, load bearing structures, electrical systems, HVAC or plumbing.
- Projects that have failed to obtain an acceptable certificate of occupancy or pass local regulatory inspections or re-inspections.
- A project that has a Building Recertification, or other Local Government Authority Mandated Repairs presently due, and HOA is actively working on repairs related to Engineer’s and Inspection reports, may be eligible for lending if the HOA, Management, and its Engineer clearly demonstrate that there is no safety or structural soundness issues, and is safe for occupancy while repairs are ongoing. Review of the Inspection Report and determining the severity of the findings and repairs is subject to Condo Desk determination.
- See [Projects in Need of Critical Repair](#) section for more details.

PROJECTS IN NEED OF CRITICAL REPAIRS

Loans secured by units in condominium projects with significant deferred maintenance that affects the structural soundness, safety, or habitability or in projects that have received a directive from a regulatory authority or inspection agency to make repairs due to unsafe conditions are not eligible.

If the HOA questionnaire indicates that a report was completed within the last 3 years and the HOA, or HOA management company, indicates no safety issues report, or repairs have been completed, related requirements for the project in need of critical repairs may be waived.

Documentation required for review:

- Engineer’s or Inspection Report conducted within the last 3 years.
- Engineer’s Letter of Explanation indicating whether the project is safe for occupancy while repairs are on-going.
- Contractor’s bid, with cost estimate and description of proposed repair methods
- Detailed Status of Repairs Letter, completed by Engineer, Contractor or HOA Management



Company, indicating the following:

- All repairs that have been completed to date
- All outstanding / not yet completed repairs; confirm whether any outstanding repairs are structural or safety related.
- Estimated time for completion of repairs.

These projects are ineligible until the required repairs to cure unsafe conditions have been made and documented. Acceptable documentation may include an updated engineer or inspection report, city inspection showing passed, or other substantially similar documentation that shows the repairs have been completed in a manner that resolves the building's safety, soundness, structural integrity, or habitability concerns.

Significant deferred maintenance may include deficiencies that meet one or more of the following criteria:

- Full or partial evacuation of the building to complete repairs is required for more than seven days or an unknown period.
- The project has deficiencies, defects, substantial damage, or deferred maintenance that:
 - Is severe enough to affect the safety, soundness, structural integrity, or habitability of the improvements.
 - Impedes the "safe and sound " functioning of one or more of the building's major structural or mechanical elements, including but not limited to the foundation, roof, load bearing structures, electrical system, HVAC, or plumbing.

Additionally, projects that have failed to obtain an acceptable certificate of occupancy or pass local regulatory inspections or recertifications are not eligible (this refers to projects that attempted work, and local governing authority failed the work upon inspection. To the contrary, projects that are actively working on mandated repairs per requirements in engineer's report may be eligible under guidelines and/or an exception if necessary.

These policies do not apply to routine maintenance or repairs that a homeowners' association (HOA) undertakes to maintain or preserve the integrity and condition of its property.

Also, if damage or deferred maintenance is isolated to one or more units and does not affect the overall safety, soundness, structural integrity, or habitability of the improvements then these project eligibility requirements do not apply. Examples of this scenario include water damage to a unit due to a leaky pipe that is isolated; damage from a small fire impacting the interior of a specific unit; mandated balcony repairs or elevated elements that do not impact our subject unit; or subject unit's building repairs have been completed even though repairs are outstanding in different portions or other buildings in the project. However, if the subject property unit is affected, our standard requirements for property condition apply.

SPECIAL ASSESSMENTS

Any current or planned special assessment, even if paid in full for the subject unit, must be



reviewed to determine acceptability.

The loan file must be documented with the following (answering on the HOA questionnaire acceptable, additional letter of explanation may be requested):

- The reason for the special assessment.
- The total amount assessed and repayment terms.
- Evidence to support no negative impact to the financial stability, viability, condition, and marketability of the project.
- (Underwriter to determine) borrower qualification with any outstanding special assessment payment.

The financial documents of the HOA may be required for review to confirm the association can fund any repairs.

If the special assessment is related to safety, soundness, structural integrity, or habitability, all related repairs guidance for projects with Critical Repairs applies. Additionally, If the client or appraiser indicates there is an adverse impact, the project is ineligible.

INSPECTION REPORTS

If a structural, electrical, and/or mechanical inspection was completed within 3 years of the project review, a copy of the report must be provided, however may be waived if HOA indicates all required repairs indicated in the report are 100% complete. The report cannot indicate any critical repairs are needed, and no evacuation orders are in effect.

If the inspection report indicates ongoing repairs, a letter from the engineer indicating the project is safe for occupancy while the repairs are being completed should be provided.

If the inspection report indicates there are unaddressed critical repairs, the project is ineligible until the required repairs have been completed and documented accordingly. A review of the engineer's Phase II, completion report, or letter from an authorized person/ entity acting on behalf of the HOA is needed to determine if the repairs are completed. Findings must state Safety, Soundness, Structural Integrity, or Habitability concerns of the project are satisfied.

SITE CONDOMINIUMS

- Subject unit must consist of a single family dwelling with no attached structure (e.g., garage, walls).
- Underwriters are responsible for review of Detached/Site Condominiums.
- Projects consisting of single-family detached dwellings (also known as site condominiums) are acceptable provided the appraisal supports market acceptance of site condominiums in the subject's market area. A Condominium Project Questionnaire is not required.
- Appraisals for site condominiums may be documented on FNMA Form 1073 or 1004. When documented on the 1004 form, the appraiser should include an adequate description of the



project, information about the homeowners' association fees, and note the quality of the project maintenance.

- Standard Condominium insurance requirements apply when detached unit is covered by a master insurance policy. If each dwelling is covered by its own insurance, underwriter does not need to confirm Master Insurance Policy coverage.

COOPERATIVES (CO-OP)

A Co-op project in which the secured unit is located must qualify as a cooperative housing corporation under Section 216 of the Internal Revenue Service Code. The file must contain evidence regarding the project's compliance with Section 216 ([FNMA Guides B4-2.3-02, Co-op Project Eligibility \(08/06/2025\)](#) for more specifics).

If the co-op project does not meet Section 216 requirements, NQM Funding will not purchase the Co-op loan.

CO-OP PROJECT REQUIREMENTS

- The Co-op housing project must be designed primarily for residential use.
- Must consist of two (2) or more units and be in an area that has demonstrated market acceptance for the co-op form of ownership as reflected by the availability of similar comparable sales for Co-op units in the market area.
- All projects must be owned fee simple.
- The project premises must be free and clear of liens and encumbrances.

CO-OP CALCULATING THE LTV RATIO

- The method for calculating the LTV ratio for a Co-op loan is based on whether the borrower assumes their pro rata share of the blanket mortgage or does not. In those markets where the borrower assumes their pro rata share of the blanket mortgage, the LTV ratio is determined by dividing the original loan amount by the lower of
- The sales price for the Co-op unit (unencumbered by the unit's pro rata share of the Co-op project's blanket mortgage(s)), or
- The appraised value of the co-op stock or shares and the related occupancy rights (unencumbered by the unit's pro rata share of the project's blanket mortgage(s)).
- In those markets where the borrower does not assume their pro rata share of the blanket mortgage, then the LTV ratio is determined by dividing the original loan amount by the lower of:
 - The sales price for the Co-op unit, or
 - the appraised value of the Vo-op stock or shares and the related occupancy rights.

CO-OP LOAN DOCUMENTATION REQUIREMENTS

In addition to standard loan delivery documentation



- Security Agreement Against Stock Certificate
- Stock Certificate
- Stock Power (1. Borrower to Member and two. Member to Correspondent)
- Proprietary lease
- Assignment of Proprietary Lease (1. Borrower to Member and 2. Member to Correspondent)
- UCC-1
- UCC-3 (Extension)
- UCC-1 (Assignment)
- Recognition Agreement
- Fully completed, signed and dated FNMA Form 1074 (Co-op Questionnaire).

DELEGATED CORRESPONDENT RESPONSIBILITIES (CO-OP)

- The Delegated Correspondent is responsible for determining that the co-op corporations hold title to the property of the co-op project, including dwelling units. Co-op projects where the borrower (not the co-op corporation) owns his or her dwelling unit in the project will not be eligible.
- Co-op share loans in these projects are commonly referred to as “land-home” or “land- lease” Co-op projects and are not acceptable.
- The Co-op corporation must have good and marketable title to the property, including the dwelling units and amenities.
- Newly constructed or conversion of existing buildings are allowed.
 - All units, “common areas,” and facilities within the project must be 100% complete.
 - The project cannot be subject to additional phasing or annexation.
 - All construction and rehabilitation for the project must be completed in a professional manner.
 - Manufactured housing is not permitted.
- Stock, share, or other contractual agreements evidencing ownership, and the accompanying occupancy rights that represent at least 50% of the total number of stock or shares in the co-op corporation and the related occupancy rights of units in the project must have been sold and conveyed (or, for new construction, must be under contract for sale) to principal residence purchasers.
- The project’s most recent operating budget audited financial statements, or corporate Federal Tax Returns must be consistent with the nature of the project, provide for adequate cash flow to service the current debt and operating expenses, and must provide for adequate replacement and operating reserves.
 - If the most recent budget is not available, the lender may rely on a review of the Co-op corporation’s most recent audited financial statements or corporate Federal Tax Returns to determine that the financial requirements in this section have been met.
 - The project must have a good financial record, with no more than 15% of the owners being more than 60 days delinquent in the payment of their financial obligations to the Co-op corporation.
- If the project is a recipient of subsidies or similar benefits (such as tax or assessment abatements) that will terminate partially or fully within the next three (3) years, the lender must evaluate the impact the expiration of such benefit will have on the project.

- If the benefit is scheduled to expire within three (3) years from the note date, the lender must include the higher monthly fees in the borrower's monthly liabilities for debt-to-income ratio qualifying purposes. The units in the project must be owned in fee simple.
- The Co-op corporation must have the sole ownership interest in the project's facilities,
- Common elements, and limited common elements, except as noted below.
- Shared amenities are permitted only when two or more residential projects share amenities for the exclusive use of the unit owners. The associations or corporations must have an agreement in place governing the arrangement for shared amenities that includes the following:
 - A description of the shared amenities subject to the arrangement;
 - A description of the terms under which unit owners in the project may use the shared amenities;
 - Provisions for the funding, management, and upkeep of the shared amenities; and
 - Provisions to resolve conflicts between the residential projects regarding the amenities.
 - Examples of shared amenities include, but are not limited to, clubhouses, recreational or fitness facilities, and swimming pools.
- The developer may not retain any ownership interest in any of the facilities related to the project. The amenities and facilities, including parking and recreational facilities, may not be subject to a lease between the unit owners or the co-op corporation and another party. Parking amenities provided under commercial leases or parking permit arrangements with parties unrelated to the developer are acceptable.

MANUFACTURED HOUSING

- The home must be at least 750 square feet and 20 feet wide
- The home must be constructed to the "HUD Code" i.e., the federal manufactured home construction and safety standards for manufactured housing,
- The home must be on a permanent chassis, installed on a permanent foundation system, and titled as real property.
- The home may not be older than 15 years old.
- The home may not need more than 5% of the property value (per the appraisal)
- The unit must not have been previously installed or occupied at any other site or location, except from the manufacturer or the dealer's lot as a new unit.
- The home must not be subject to a ground lease or located on leased land.
- The sales price of a new manufactured home may include bona fide and documented costs associated with transportation, site preparation, and dwelling installation at the site.
- Any post manufacturing add-ons or modifications that are permanently attached to the subject property require a structural inspection.

CONDOTELS

- See the Condominium Section for further requirements

- The property MUST be in a resort area or must be affiliated with a national hotel chain.
- Condotel is managed and operated as a hotel or motel, even though the units are individually owned. Properties with names that include the words “hotel,” “motel,” “resort,” or “lodge” can be considered Condotel, unless name is related to historical preservation of a converted project.
 - Properties that include registration services which offer rentals of units on a daily, weekly, or monthly basis. Note that the ability to rent units on a shorter-term basis without hotel elements, such as having a front desk and/or housekeeping service, does not necessarily render the project a condotel.
- Hotel or motel conversions (or conversions of other similar transient properties.)
- Properties that have obtained a hotel or resort rating for its hotel, motel, or resort operations through hotel ratings providers including, but not limited to, travel agencies, hotel booking websites, and internet search engines.

ADDITIONAL CONDOTEL REQUIREMENTS

- A minimum unit square footage is not required; however, units must contain a full-size kitchen and kitchen appliances to be eligible for financing. In addition, similarly sized comparable from competing projects must be provided to demonstrate market acceptance for units with < 400 square feet.
- Must have at least one separate bedroom;
- Exceptions considered for studios and square footage on a case by case basis.

DISASTER AREAS

Appropriate steps must be taken to identify areas impacted by disasters to ensure the subject property has not been adversely affected. The Disaster Policy applies to properties located in FEMA declared disaster areas in which individual assistance has been granted, which can be found on the FEMA website at <http://www.fema.gov/disasters>.

In addition, when there is knowledge of an adverse event occurring in and around the subject property’s geographic region and a formal declaration has not yet been made, additional due diligence is required to determine whether the disaster area guidelines must be followed. Damage to the subject property must meet requirements in [Deferred Maintenance](#).

PROPERTY APPRAISED PRIOR TO DISASTER INCIDENT

If the appraisal effective date is prior to the disaster incident, the following documentation is required:

- Clear Capital Post Disaster Inspection Report (PDI or equivalent); or
- An exterior inspection completed by licensed third-party professional:
 - Exterior Inspection must certify the condition of the subject property and identify any impact to habitability or marketability related to the named disaster.
 - Inspection report must include photographs (the front, street view, and any damage



to subject property.

- o Inspection report and evidence of inspector licensing must be retained in loan file.

If the appraisal was complete at the time of the disaster but 'subject to completion' or 'subject to repairs,' an Appraisal Update and/or Completion Report (FNMA Form 1004D) is required in addition to the inspections listed above. Note that both inspections may be done on the same 1004D form provided the appraiser specifies the 1004D covers both the required repair work and the post-disaster inspection.

PROPERTY APPRAISED AFTER DISASTER INCIDENT

When the appraisal effective date is after the disaster incident, no additional documentation is required.

DISASTER INCIDENT OCCURS AFTER CLOSING, PRIOR TO FUNDING

If the disaster incident occurred after closing, the loan is ineligible for purchase or funding until one of the following is received certifying no damage to the subject property:

- Clear Capital Post Disaster Inspection Report (PDI or equivalent) that names the disaster that required the inspection; or
- Appraisal Update and/or Completion Report (FNMA Form 1004D) that names the disaster that required the report

DISASTER EFFECTIVE TIME PERIOD

Guidelines for disaster areas should be followed for 60 days from the incident period ending date or the date the adverse event occurred, whichever is later.

PROPERTY INSURANCE

HAZARD INSURANCE

MINIMUM HAZARD INSURANCE COVERAGE

Hazard insurance must protect against loss or damage from fire and other hazards covered by the standard extended coverage endorsement. Extended coverage must include, at a minimum, wind, civil commotion (including riots), smoke, hail, and damages caused by aircraft, vehicle, or explosion. Required perils include:

- Fire or lightning
- Explosion
- Windstorm (including named storms)
- Hail
- Smoke
- Aircraft



- Vehicles
- Riot or civil commotion

The coverage must provide for claims to be settled on a replacement cost basis. Property insurance policies that provide for claims to be settled on an actual cash value basis are not acceptable.

DETERMINING THE AMOUNT OF REQUIRED HAZARD COVERAGE

Hazard insurance coverage should be in the amount of the lesser of:

- The unpaid principal balance of the mortgage or
- 100% Replacement Cost Coverage as stated on the policy declaration page.

If the above requirements are not met, it will be acceptable to provide coverage equal to at least 100% of the insurable value of improvements, as established by the property insurer through a Replacement Cost Estimator of equivalent.

Note: If the policy does not cover the unpaid principal balance, have guaranteed replacement cost or a replacement cost estimate is not provided, a processor's certification from NQM Funding, LLC verifying the insurer's coverage is equal to 100% of the insurable value of improvements as indicated by the insurance agent or representative. The certification must include the insurance company's complete information, subject property address, confirm the replacement cost amount determined by the insurer, and be signed and dated by the processor.

DEDUCTIBLE AMOUNT

The maximum allowable deductible for insurance covering a property securing a first mortgage loan is 5% of the face amount of the policy. When a policy provides for a separate wind-loss deductible (either in the policy itself or in a separate endorsement), that deductible must be no greater than 5% of the face amount of the policy.

EVIDENCE OF HAZARD INSURANCE

Policy must be effective for at least 60 days after the date of funding (does not apply to condominium project insurance policies).

Evidence of Insurance may be provided in one of the following forms:

- Policy
- Certificate of Insurance (COI)
- Insurance Binder

Evidence of Insurance must provide the following information:

- Names of borrowers reflect the same as the names on the note.
- Property address agrees with the note/security instrument.
- Mailing address is the same as property address.
- Policy Number
- Loan Number
- Name of insurance company
- Insurance Agent information



- Effective and expiration dates of coverage
- Premium Amount
- Coverage amounts and deductible.
- Loss payee clause as applicable
- Signed and dated by agent.

OPTIONAL COVERAGE

Hazard insurance policies may include optional coverage(s) which are acceptable but are not required. For example, a “homeowners” or “package” policy is acceptable if any part of the coverage that exceeds the required coverage is not obligated for renewal.

RENT LOSS INSURANCE (DSCR)

Rent Loss Insurance for the subject property is required and must equal at least 6 months of PITIA. Blanket policies covering the subject property are permitted. Please see related NonQM or [DSCR Programs](#) sections for waiver option.

CONDOMINIUM AND PUD PROJECT INSURANCE REQUIREMENTS

CONDO PROJECTS

The master property or flood insurance policy must designate the HOA as the named insured. If the condominium’s legal documents permit it, the master property or flood insurance policy can specify an authorized representative of the HOA, including trustee, as the named insured.

PUD PROJECTS

If the PUD’s master insurance policy covers all the residential buildings in the project, follow coverage for units in a condominium project. The master property or flood insurance policy must designate the HOA as the named insured.

COVERAGE REQUIREMENTS

- The insurance policy must at a minimum protect against fire and all other hazards that are normally covered by the standard extended coverage endorsement, and all other perils customarily covered for similar types of projects, including those covered by the standard “all risk” or “special form” endorsement. If the policy does not include an “all risk” or “special form” endorsement, a policy that includes the “broad form” covered causes of loss is acceptable.
- If the master policy excludes or limits coverage of any of the required perils, the HOA must obtain an acceptable stand-alone policy which provides adequate coverage for the limited or excluded peril.
- Required perils include:
 - Fire or lightning
 - Explosion

- Windstorm (including named storms)
 - Hail
 - Smoke
 - Aircraft
 - Riot or civil commotion
 - Vandalism
 - Sprinkler leakage
 - Sinkhole Collapse
 - Volcanic action
 - Falling objects
 - Weight of snow, ice or sleet
 - Water damage
- The policy must be provided for claims to be settled on a replacement cost basis. Policies written on an actual cash value basis are not acceptable.

SPECIAL COVERAGE REQUIREMENTS

The following special coverage requirements apply to both warrantable condominiums and PUD Master Insurance Policies.

- Inflation Guard Coverage: the coverage is not required if it is not obtainable in the insurance market available to the association. In addition, inflation guard coverage is not required when the policy has guaranteed replacement cost or extended replacement cost.
- Building Ordinance or Law Coverage: the coverage may be included in the property coverage form or obtained as an endorsement to the property insurance policy. Coverage is not required if it is not obtainable in the insurance market to the association. When required, the coverage must include:
 - Coverage A: loss to the undamaged portion of a building,
 - Coverage B: demolition costs, and
 - Coverage C: increased cost of construction.
- Boiler and Machinery/Equipment Breakdown Coverage: this coverage is required if the project development has central heating or cooling. The coverage may be included in the property coverage form, obtained as an endorsement to the master policy, or the HOA may purchase a stand-alone policy. This coverage is not required when each unit is metered individually, or with evidence that coverage is not obtainable to the HOA in the insurance market.
 - When required, the amount must equal the lesser of \$2m or the replacement cost value of the building(s) housing the boiler or machinery.

REQUIRED COVERAGE AMOUNT

Insurance must cover 100% of the replacement cost of the project improvements, including the individual units in the project. An insurance policy that includes any of the following coverage, either in the policy language or in a specific endorsement to the policy, is acceptable:

- Guaranteed Replacement Cost – the insurer agrees to replace the insurable property regardless of the cost,
- Extended Replacement Cost – the insurer agrees to pay more than the property's insurable

- replacement cost, or
- Replacement Cost – the insurer agrees to pay up to 100% of the property's insurable replacement cost.

To the extent the master property insurance policy does not cover the interior or improvements of a unit in a project development, the borrower must maintain individual property insurance policy. The coverage must be sufficient to restore the unit to its condition prior to a loss event. Sufficient coverage should be based on the best information known or available, which may include information obtained from the borrower, in collaboration with the insurer, the HOA, or other appropriate resources to make such a determination.

POLICIES COVERING MULTIPLE PROJECTS

Acceptable policies must provide coverage for either an individual project or multiple affiliated projects.

Except as described below, unaffiliated projects may not share a master property insurance policy. Each project must maintain its own policy that meets the defined requirements.

- If a property insurance policy that covers multiple unaffiliated projects provides a dedicated coverage amount for each individual covered project, the policy structure may provide equivalent coverage to the defined coverage amounts. The coverage amount dedicated to the subject project must be sufficient to cover the full replacement cost value of the project improvements including the common elements and residential structures. The coverage of each insured project cannot be affected by any actions or omissions of unaffiliated projects covered by the same policy. Additionally, all other master property insurance requirements for project developments must be met.

DEDUCTIBLE AMOUNT

The maximum deductible for the following policies is 5%; however, a deductible of up to 10% is permitted on non-warrantable projects when the HOA budget is sufficient to cover the deductible.

- Policies covering the common elements in a PUD or Condo Project,
- Losses related to individual PUD units covered by a blanket policy for the project,
- Separate wind-loss policies,
- Blanket policies that cover both the individual unit and the common elements.

GENERAL LIABILITY COVERAGE

Project liability insurance requirements of \$1,000,000 per occurrence is required.

FIDELITY BOND COVERAGE

Fidelity bond coverage is required for condominium projects over 20 units:

- Warrantable Project
- New Projects

When required, the coverage must be at least equal to the greater of 3 months HOA dues or the minimum required by state law. Coverage is not required when the calculated amount is \$5,000

or less.

NON-WARRANTABLE CONDO INSURANCE ALLOWANCES

- Deductibles greater than 5% and equal to or less than 10% are permitted when the HOA budget is sufficient to cover the deductible.
 - Budget must demonstrate that Reserve allocation is 10% or more.
 - or Balance Sheet must demonstrate that potential cost of deductible is equal to or less than 50% of HOA's funds held in Reserve Accounts
- Deductibles Charged Per Unit:
 - Per unit deductible for any Peril, where per unit cost of deductible exceeds 5% of the face value of the insurance coverage amount, is acceptable when Borrower's HO6 Insurance can provided the coverage:
 - Property Coverage shows that Peril type with per unit deductible is covered at an equal or higher amount (for example, Water Peril deductible is \$50,000 per unit on the master policy, therefore HO6 must cover Water Peril of at least \$50,000 or more).
- Loss Assessment Coverage to be provided in an amount equal to per unit deductible amount (in same example, Loss Assessment coverage is provided on HO6 policy at \$50,000).
- Actual Cash Value (ACV) Endorsement for Roof Component only (if actual cash value applies to the entire project, the project is ineligible):
 - ACV Endorsement is acceptable when Roofs are less than a certain age and are covered at Replacement Cost. For example, a Building roof is 14 years of age, ACV would take effect at 15 years or older) that insurance is acceptable. However, If subject unit's building's roof exceeds ACV age limit, as evidenced by Reserve Study analysis, or completed re-roof building permit and signed off job card/city inspection, project would be ineligible.
 - Roof is older than allowed cut-off; however HOA demonstrates that the funds required for a full roof replacement are set aside and adequately funded in the HOA's Reserve Account and confirmed by a Reserve Study (example, age of roof is 20 years old, and per reserve study roof is to be replaced at the 25 year mark, and Reserve Study shows that the roof component is 100% funded)
 - If ACV Endorsement exists and component is not 100% funded, project is not eligible
 - Coinsurance Clause: 80/90/100% coinsurance clause is acceptable when an Agreed Amount or Agreed Value Endorsement is included in the policy that waives the coinsurance penalty that would normally be assessed at the time of a claim or confirmation is received that the HOA's Master Insurance Policy is covered at 100% of replacement cost value.
- Named Windstorm and Hurricane Coverage:
 - The following states must demonstrate Named Windstorm and Hurricane coverage at full replacement cost value:
 - Alabama
 - Florida
 - Georgia
 - Hawaii
 - Louisiana

- Mississippi
 - North Carolina
 - South Carolina
 - Texas
 - Virginia
- Where an Insurance Provider can demonstrate that Named Windstorm or Hurricane coverage is not typical for the geographic region separate specific Named Windstorm and Hurricane coverage requirements are waived, or
- Insurance Provider can provide a Risk Model Assessment demonstrating that a lower coverage amount is sufficient to separate specific Named Windstorm and Hurricane coverage requirements can match the risk model.
- Master Insurance Policies covering multiple projects:
 - Pooled Policies; Policies with unaffiliated projects covered under one policy program. Except as described below, unaffiliated projects may not share a master property insurance policy.
 - Policy demonstrates that it provides Replacement Cost sufficient to rebuild the project in the event of a total loss
 - Provided Schedule of Locations and Values to determine eligibility:
 - Amount of coverage dedicated to subject unit Project
 - Coverage amount is not shared with any other property (i.e., policy amount is \$1B and covers properties valued at \$1B altogether. If policy amount is \$1B and total properties covered are valued more than \$1B, policy is ineligible).
 - If the project is ineligible, per the example above, exception may be considered. Consideration documentation required: Entire Schedule of Locations and Values, a detailed description of how the policy settles claims per loss claim event, and whether coverage depletes or is available for each loss claim event

FLOOD INSURANCE

Flood insurance is required for any property located within any area designated by the Federal Emergency Management Agency (FEMA) as a Special Flood Hazard Area (SFHA). A SFHA is typically denoted as Flood Zone A or Zone V (coastal areas).

- Properties in Flood Zone A or V must be in a community which participates in the FEMA Program to be eligible for financing. NQM Funding, LLC aligns with Fannie Mae on Flood Insurance, and it is only required when a mortgage loan is secured by a property located in:
 - A Special Flood Hazard Area (SFHA), or
 - A Coastal Barrier System (CBRS) or Otherwise Protected Area (OPA)

FLOOD CERTIFICATE

Determination whether a subject property is in a flood zone must be established by a Flood Certificate provided by the Federal Emergency Management Agency (FEMA). The appraisal report should also accurately reflect the flood zone.

Flood insurance requirement can be waived if:

- Subject property improvements are not in Special Flood Hazard, even though part of the land is in Flood Zone A or V; or
- The Flood Certificate, Section B4 “Flood Zone” field is marked as “None” and Section B5 “No NFIP Map” is checked (true); and the “No” box in Section D “Determination” is checked validating the property is not in a FEMA flood zone containing the letters A or V; or
- Borrower obtains a letter from FEMA stating that its maps have been amended so that the subject property is no longer in an area of Special Flood Hazard

MINIMUM FLOOD INSURANCE COVERAGE

The minimum amount of flood insurance required for most first mortgages secured by 1-unit properties and individual PUD units is the lower of:

- 100% of the replacement cost of the insurable value of the improvements.
- the maximum insurance available from the National Flood Insurance Program (NFIP), which is currently \$250,000 per dwelling; or
- the unpaid principal balance of the mortgage

ACCEPTABLE FLOOD INSURANCE POLICIES

Flood insurance policy must be one of the following:

- A standard policy issued under NFIP; or
- A policy issued by a private insurer if the terms and amount of coverage are at least equal to that provided under a NFIP policy based on a review of the full policy issued by the private insurer.

PROJECT FLOOD INSURANCE REQUIREMENTS

- The flood policy for a PUD or condominium project must cover at minimum the subject unit’s building and any common element buildings and any other common elements and property, including machinery and equipment that are part of the building.
- The amount of flood insurance coverage for a PUD or condominium project should be at least equal to the lesser of 80% of the replacement cost value or the maximum coverage available under the appropriate National Flood Insurance Program (NFIP) per unit.

DEDUCTIBLE AMOUNT

The maximum allowable deductible is the maximum available from the NFIP, which is currently \$10,000. The maximum allowed deductible for a PUD or condominium project is \$25,000.

EVIDENCE OF FLOOD INSURANCE

Flood insurance must be maintained throughout the duration of the loan. If definitive evidence of flood insurance is not available at closing, the following may be used:

- Completed and executed NFIP application with a copy of the borrower’s premium check, the insurance agent’s paid receipt, or the final settlement statement reflecting the flood insurance premium paid at closing.



- Completed and executed NFIP General Change Endorsement Form showing the assignment of the current flood insurance policy by the property seller to the borrower.
- Agent-executed NFIP Certification of Proof of Purchase of Flood Insurance

Evidence of Insurance must provide the following information:

- Names of borrowers reflect the same as the note.
- Property address agrees with the note/security instrument.
- Mailing address is the same as property address.
- Policy Number
- Loan Number
- Name of insurance company
- Insurance Agent information
- Effective and expiration dates of coverage
- Premium Amount and deductible
- Coverage amount
- Loss payee clause as applicable
- Signed and dated by agent.

NAMED INSURED FOR PROPERTY AND FLOOD INSURANCE

- 1-4 Unit Properties or Individual Units in a Project Development
 - The individual property or flood insurance policy last name all persons holding title to the subject property as named insured to ensure the borrower(s) has full rights to the policy and the ability to receive benefits is not impaired.
- Condo Projects
 - The master property or flood insurance policy must designate the HOA as the named insured. If the condominiums legal documents permitted the master property or flood insurance policy can specify an authorized representative of the HOA, including its insured trustee, as the name insured.
- PUD Projects
 - The master property or flood insurance policy must designate the HOA as the named insured.

NOTICE OF CANCELLATION FOR PROPERTY INSURANCE

The policy must require the insurer to notify in writing the named insured and mortgagee(s) before it cancels the policy.

MORTGAGEE / LOSS PAYEE CLAUSE

LOSS PAYEE CLAUSE

- **For all loans except properties in New York:**



NQM Funding, LLC ISAOA/ATIMA
4800 N Federal Hwy, Bldg. E, Suite 200
Boca Raton, FL 33431

- **For properties located in New York:**

Great Home Mortgage of New York ISAOA/ATIMA (In lieu of true name NP, Inc.)
4800 N. Federal Hwy, Bldg. E, Suite 200
Boca Raton, FL 33431

MORTGAGEE CLAUSE REQUIREMENTS BY PROPERTY TYPE

1-4 Unit Properties

- The applicable insurance policy must include (or have attached) a "standard" or "union" mortgagee clause (without contribution) in the form customarily used in the area in which the property is located. A loss payable clause in lieu of a mortgagee clause is not acceptable.

Unit in a project development

- If a unit owner or shareholder maintains an individual property insurance policy (as indicated by the project's legal documents) or if an individual property insurance policy is required in accordance with Determining if a Master Property Insurance Policy is required ([B7-3-03, Master Property Insurance Requirements for Project Developments](#)) for interior coverage, it must include the standard mortgagee clause as defined above.
- If an individual flood insurance policy is required in accordance with Requirements for Project Developments ([B7-3-06, Flood Insurance Requirements for All Property Types](#)), it must include the standard mortgagee clause as defined above.

TITLE INSURANCE

TITLE POLICY REQUIREMENTS

- Loans must be covered by a title insurance policy that has been paid in full and is valid, binding, and remains in full force and effect.
- Preliminary title must indicate that the final title policy will be issued after funding.
- The title insurer must be qualified to do business in the state where the subject property is located. The title insurer and policy must conform to Fannie Mae/Freddie Mac requirements.

BORROWER INFORMATION

- All borrower names must be indicated on the title commitment. If the borrower's marital status appears to be different than from the FNMA Form 1003, the discrepancy must be addressed.
- The property seller's name must be cross-referenced to the purchase agreement and valuation chain of title.

COVERAGE AMOUNT

The amount of title insurance coverage must at least equal the original principal amount of the



mortgage.

INSURED NAME

Title policy must ensure the seller as its name appears in the security instrument. It must also include the language “its successors and assigns as their interest may appear.”

AGE OF REPORT

The preliminary title report/title commitment should be dated no later than 90 days prior to closing. Any requirements by title, such as Statements of Information or copies of trust agreements, must be cleared prior to closing.

VESTING

Final title policy vesting should reflect the name(s) of the individual borrower(s). See [Vesting and Ownership](#).

GAP COVERAGE

The preliminary title report/title commitment must be updated after closing in writing to ensure the mortgage is in first lien position and documented through one of the following:

- Final title policy
- Title bring-down search representing the period from the original search through the time the mortgage is recorded.
- Gap coverage from the time of the original search until the mortgage is recorded, when the mortgage is not recorded at the time of diligence.

TITLE POLICY FORMS

The final title policy must be written on one of the following forms:

- 2006 American Land Title Association (ALTA) standard form
- ALTA short form
- ALTA form with amendments required by state law in states in which standard ALTA forms of coverage are not used or in which the 2006 ALTA forms have not yet been adopted, provided those amendments are acceptable to FNMA or Freddie Mac (FHLMC).

TITLE POLICY UNDERWRITER

A title insurer must be:

- Duly authorized and licensed, as required, to issue title insurance in the state where the property is located; and
- Further evaluated in accordance with the lender's procedures for title insurer approval, which may include factors such as:
 - An acceptable rating from a rating agency,
 - Financial strength of the title insurer,
 - Adequate reserves, or

- Record related to satisfactory title claim resolution.

Iowa Title Guaranty is an acceptable title guarantor for properties located in the state of Iowa.

TITLE COMMITMENT REVIEW

CHAIN OF TITLE

- All files are to contain a 24-month title history from an acceptable source.
- Transfer date, price, and buyer and seller names on any title transfers that occurred within the previous 24 months should be provided.
- The vesting history should be reviewed for inconsistencies or any indication of flipping activity.

TITLE EXCEPTIONS

The following items are allowable title exceptions:

- Customary public utility subsurface easements: the location of which are fixed and can be verified. The exercise of rights of easement will not interfere with use and enjoyment of any improvement of the subject property or proposed improvements upon which the appraisal or loan is based.
- Above-surface public utility easements that extend along one or more property lines for distribution purposes, or along the rear property line for drainage, provided they do not extend more than 12 feet from the subject property lines and do not interfere with any of the buildings or improvements, or with the use of the subject property; and public utility restrictions, provided their violation will not result in the forfeiture or reversion of title or a lien of any kind for damages, or have an adverse effect on the fair market value of the subject property.
- Mutual easement agreements that establish joint driveways or party walls constructed on the subject property and on an adjoining property, provided all future owners have unlimited and unrestricted use of them.
- Encroachments on one foot or less on adjoining property by eaves or other overhanging projections or by driveways provided there is at least a 10-foot clearance between the buildings on the subject property and the property line affected by the encroachments.
- Encroachments on the subject property by improvements on adjoining property provided these encroachments extend one foot or less over the property line of the subject property, have a total area of 50 square feet or less, do not touch any buildings, and do not interfere with the use of any improvements on the subject property or the use of the subject property not occupied by improvements.
- Encroachments on adjoining properties by hedges or removable fences.
- Liens for real estate or ad valorem taxes and assessments not yet due and payable.
- Outstanding oil, water, or mineral rights if they do not materially alter the contour of the property or impair its value or usefulness for its intended purposes.
- Municipals and local searches, when provided, must be cleared/resolved prior to loan funding or purchase.

SURVEY REQUIREMENTS

- If surveys are not commonly required in a particular jurisdiction, an ALTA 9 endorsement can be obtained.
 - If neither a survey nor the ALTA 9 endorsement are customary in a particular location, title must not have a survey exception.
- If the title company requires a survey or plat map due to an exception noted on the title policy, a copy must be submitted in the loan file. Surveys must be certified, dated, and signed by the licensed civil engineer or registered surveyor performing the survey. Unimproved land surveys are not acceptable.
- Surveys should be reviewed for easements, encroachments, flood zone impacts, and boundary violations, based on the location of the dwelling on the property.

TEXAS HOME EQUITY LOANS (CASH-OUT REFI TEXAS)

A Texas Section 50(a)(6) mortgage is a home equity loan originated under the provisions of Article XVI, Section 50(a)(6), of the Texas Constitution, which allow a borrower to take equity out of a homestead property under certain conditions. Texas 50(a)(4) allows for a rate or term refinance of an existing Texas Home Equity loan.

All Texas Home Equity transactions must comply with the more restrictive of the NQM Funding, LLC Loan Purchase Eligibility Guidelines or Texas Home Equity Loans Requirements.

TEXAS HE - SELLER CERTIFICATION

The seller certifies that with respect to all the Texas Section 50(a)(6) mortgages delivered to NQM Funding, LLC:

- All Texas Section 50(a)(6) mortgages were (or will be) originated pursuant to written processes and procedures that comply with the provisions of the Texas Constitution applicable to mortgage loans authorized by Section 50(a)(6), Article XVI of the Texas Constitution, as amended from time to time.
- The seller has in place a specific process for the receipt, handling, and monitoring of notices from borrowers that seller failed to comply with the provisions of the law applicable to Texas Section 50(a)(6) mortgages. Such a process must be adequate to ensure that the seller will correct the failure to comply by one of the authorized means no later than the 60th day after the date the seller is notified of the failure to comply by the borrower.
- An attorney familiar with the provisions of Section 50(a)(6), Article XVI of the Texas Constitution was consulted (or will be consulted prior to origination of the Texas Section 50(a)(6) mortgages) in connection with the development and implementation of the processes and procedures used for the origination of the Texas Section 50(a)(6) mortgages.
- To ensure ongoing compliance with the law applicable to mortgage loans authorized by Section 50(a)(6), Article XVI of the Texas Constitution, the processes and procedures used for the origination of the Texas Section 50(a)(6) mortgages will be reviewed by the seller regularly and will be updated and revised, as appropriate pursuant to clarifications of the law, on a regular and continual basis.



- The seller certifies that it is lawfully authorized to make loans described by Section 50(a)(6), Article XVI, of the Texas Constitution.
- The matters certified herein are representations and warranties of the seller given to NQM Funding, LLC connection with each Texas Section 50(a)(6) mortgage.

TEXAS HE - GENERAL REQUIREMENTS

The following parameters apply to Texas Section 50(a)(6) mortgages:

- Eligible Products:
 - 40 Year Fixed Rate Term (Fully amortizing)
 - 30 Year Fixed Rate Term (Fully amortizing)
- Full Documentation, 1099, P&L Only, P&L with a minimum of two (2) months Bank Statements, Personal Bank Statement, Business Bank Statement and Asset Utilization Documentation allowed.
- Maximum LTV/CLTV 80/80%
- 1-unit properties only

TEXAS HE - LOAN PARAMETERS

The following are considered Texas Section 50(a)(6) loans:

- Loans using proceeds to pay off an existing 50(a)(6) loan (as identified in title work)
- Loans using proceeds to pay off federal tax debt liens.
- Loans using proceeds to pay property tax liens on the property securing the new loan.
- Loans using proceeds to pay off or pay down debts that are not secured by the homestead property.
- Loans with any cash back to the borrower

The following are NOT considered Texas Section 50(a)(6) loans:

- Loans using proceeds to pay current taxes due on the property securing the loan.
- Loans using proceeds to buy out equity pursuant to a court order or agreement of the parties (usually applies to a divorce settlement)
- Loan proceeds used to pay a prepayment penalty assessed on an existing non-50(a)(6) loan, and the prepayment is included in the payoff amount (new loan must have a new title policy issued without exception to the financing of the prepayment fee)
- Loans that include the payment of HOA dues if the title company requires them to be paid.
- Investment Property loans in Texas and Business purpose loans (DSCR) Note NQM Funding, LLC will do Investment Properties in Texas.

TEXAS HE - RESTRICTIONS

The following restrictions apply to Texas Home Equity loans:

- Texas Home Equity loans may not be refinanced more than once a year (>12 months)
- There can be only one outstanding 50(a)(6) loan on a property at any given time.
- If the borrower has an existing 50(a)(6) second lien and is getting cash-out from the first mortgage, that lien must be paid off.



- The 50(a)(6) loan may not be used to acquire the property or to finance construction.

TEXAS HE - OCCUPANCY

Texas Home Equity loans are allowed on Primary Residences only. All borrowers on the loan must be in title and occupy the subject property as their Primary Residence.

Cash Out transactions are permitted on Second Homes and Investment Properties in Texas if they were never previously Texas A6 loans.

TEXAS HE - BORROWERS

The following borrowers are permitted on Texas Home Equity loans. All borrowers must maintain Primary Residence occupancy in the subject property:

- U.S. Citizens
- Permanent Resident Aliens
- Non-Permanent Resident Aliens

The following borrowers are not allowed:

- Co-signer(s)
- Non-occupant co-borrowers
- Borrowers not on title
- Foreign Nationals
- Corporations, partnerships, or LLCs
- Trusts

TEXAS HE - NON-BORROWING SPOUSE

A married borrower may not create a lien against the property unless his/her spouse consents to the lien by signing the following:

- Notice Concerning Extension of Credit and an application signed by all property owners. The signing of both documents starts the 12-day “cooling off” period.
- Security Instrument (including any Riders)
- Federal Truth-in-Lending (TIL) Disclosure Statement
- Right of Rescission Notice
- Discount Point Disclosure
- Acknowledgment of Fair Market Value
- Premium Pricing Disclosure
- All owners must sign the application and the Notice Concerning Equity Loan Extension of Credit (English or Spanish). The signing of both documents starts the 12-day ‘cooling off’ period.
- Notice of Presentment of CD One Day Before Closing
- Texas Home Equity Affidavit and Agreement
- Owner’s Affidavit of Compliance
- Receipt of Copies of Documents
- Certificate of Non-Cancellation of Loan

TEXAS HE - REFINANCING AN EXISTING HOME EQUITY LOAN

Effective for loans made on or after 1/1/18, existing home equity loans (as identified in title work) may be refinanced as non-home equity loans and secured with a lien against the home, provided the following conditions are met:

- the refinance occurs at least a year after the home equity loan was closed.
- the additional loan amount only covers the actual costs of the refinancing and does not provide the consumer with additional funds.
- the value of the new loan combined with the total of the outstanding principal balances of all other valid indebtedness secured by the homestead does not exceed 80% of the fair market value of the homestead on the date the extension of credit is made; and
- the lender provides the homeowner the written notice (required by and promulgated under Section (f)(2)(D) and referenced below) on a separate document no later than the third business day after the date the owner submits the loan application and at least 12 days before the closing of the refinance.

The 'Notice Concerning Refinance of a Texas Home Equity Loan Pursuant to Subsection (f)(2) of Article XVI, Section 50 of the Texas Constitution', must be provided to the owner:

For loans refinancing an existing home equity loan, the loan file must include the Texas Constitution Section 50(f-1) Affidavit Acknowledging Requirements of Subsection (f)(2), which must be properly executed under Texas law by the owner/owner's spouse.

All the above requirements must be met for the home equity loan to be refinanced as a non- home equity loan.

NOTICE CONCERNING REFINANCING A HOME EQUITY LOAN

YOUR EXISTING LOAN THAT YOU DESIRE TO REFINANCE IS A HOME EQUITY LOAN. YOU MAY HAVE THE OPTION TO REFINANCE YOUR HOME EQUITY LOAN AS EITHER A HOME EQUITY LOAN OR AS A NON-HOME EQUITY LOAN, IF OFFERED BY YOUR LENDER.

HOME EQUITY LOANS HAVE IMPORTANT CONSUMER PROTECTIONS. A LENDER MAY ONLY FORECLOSE A HOME EQUITY LOAN BASED ON A COURT ORDER. A HOME EQUITY LOAN MUST BE WITHOUT RECOURSE FOR PERSONAL LIABILITY AGAINST YOU AND YOUR SPOUSE.

IF YOU HAVE APPLIED TO REFINANCE YOUR EXISTING HOME EQUITY LOAN AS A NON-HOME EQUITY LOAN, YOU WILL LOSE CERTAIN CONSUMER PROTECTIONS. A NON-HOME EQUITY REFINANCED LOAN:

- (1) WILL PERMIT THE LENDER TO FORECLOSE WITHOUT A COURT ORDER;
- (2) WILL BE WITH RECOURSE FOR PERSONAL LIABILITY AGAINST YOU AND YOUR SPOUSE; AND
- (3) MAY ALSO CONTAIN OTHER TERMS OR CONDITIONS THAT MAY NOT BE PERMITTED IN A TRADITIONAL HOME EQUITY LOAN.

BEFORE YOU REFINANCE YOUR EXISTING HOME EQUITY LOAN TO MAKE IT A NON-HOME EQUITY LOAN, YOU SHOULD MAKE SURE YOU UNDERSTAND THAT YOU ARE WAIVING IMPORTANT PROTECTIONS THAT HOME EQUITY LOANS PROVIDE UNDER THE LAW AND SHOULD CONSIDER CONSULTING WITH AN ATTORNEY OF YOUR CHOOSING REGARDING THESE PROTECTIONS.

YOU MAY WISH TO ASK YOUR LENDER TO REFINANCE YOUR LOAN AS A HOME EQUITY LOAN. HOWEVER, A HOME EQUITY LOAN MAY HAVE A HIGHER INTEREST RATE AND CLOSING COSTS THAN A NON-HOME EQUITY LOAN.

TEXAS HE - 12-DAY COOLING OFF PERIOD

The Notice Concerning Equity Loan Extension of Credit must be provided to the borrower in English.

And an additional copy of the notice translated into the written language in which the discussions were conducted. To ensure the disclosure is provided to the borrower in the correct language, the loan officer must add a comment to the Loan Submission form identifying the language spoken. The processor must properly identify the language spoken when ordering documents.

- Loan may not be closed until at least 12 calendar days after the borrower has dated and signed the initial application and Notice Concerning Equity Loan Extension of Credit.
- E consent signatures are acceptable.
- The "cooling off" period in which the borrowers, owners-in-title, and/or spouse (including non-borrowing spouse) can change his/her mind about the Texas Home Equity first mortgage runs from the later of:
 - The date the initial loan application is signed, or
 - The date that the Notice Concerning Equity Loan Extension of Credit is signed and dated by the borrowers, owners-in-title, and/or spouse.

TEXAS HE - PAYOFF OF DEBT

NQM Funding, LLC may require the payoff of the existing first lien as part of the loan approval when the following requirements are met:

- NQM Funding, LLC may not require any other seller-owned debt to be paid off as part of the transaction as a condition of loan approval.
- If the payoff of debts to other sellers/creditors is required to qualify the borrower, then those payoffs must be shown on the settlement statement and disbursed directly to the creditor by the title company.
- Debts that are elected to be for paid off by the borrower but are not required to be paid off to qualify the borrower, may be disbursed directly to the borrower.
- Installment debts a payoff is required.
- Revolving debt uses the balance on the credit report.

TEXAS HE - SECONDARY FINANCING

New subordinate financing is not allowed, but existing subordinate financing may remain in place. See [Subordinate Financing](#).

TEXAS HE - PROPERTY CHARACTERISTICS

All properties must be residential in nature. Tax certification and exemptions for the property are to be reviewed and must meet the following requirements:

- Property must be a principal residence constituting the borrower's homestead in the state of Texas.
- The homestead property may not exceed the applicable acreage limit as determined by Texas law.

- All separate structures must be included in the homestead exemption.
- The homestead parcel, as identified on the county appraisal district records, must include ingress/egress to a properly identified public road.
- The new lien may only be secured by the homestead parcel and the market value for LTV calculation can only be assessed on that parcel.

TEXAS HE - URBAN AND RURAL HOMESTEAD DEFINITIONS

TEXAS HOME EQUITY HOMESTEAD DEFINITIONS		
	URBAN HOMESTEAD DEFINITION	RURAL HOMESTEAD DEFINITION
ACREAGE	Acreage securing the loan may not exceed 10 acres.	Acreage may exceed 10 acres. However, the lot size must be typical and common with highest and best use as residential. In no case may the lot size exceed 20 acres.
PROPERTY LOCATION AND SERVICES	Property must be located: - Within municipal boundaries, or - Its extraterritorial jurisdiction, or - A platted subdivision and be served by police protection, paid or volunteer fire protection, and at least three of the following services provided by a Municipality or under contract to a municipality: • Electric • Natural gas • Sewer • Storm sewer • Water	The property is not located within municipal boundaries or its extraterritorial jurisdiction, or if the property is in one of those types of areas: - It is not served by police protection or paid, or volunteer fire protection provided by the municipality or under contract to a municipality, and - The municipality provides directly or under contract less than three (3) of the following services: • Electric • Natural gas • Sewer • Storm sewer • Water

Properties determined to be 'Urban' cannot exceed 10 acres. Property determined to be 'Rural' may not exceed 20 acres. The property should conform to and be acceptable in the market area. The appraisal must include the actual size of the site and not a portion of the site.

TEXAS HE - ATTORNEY REVIEW

All documents must be reviewed by one of the following law firms (other attorneys may be acceptable when approved in advance by NQM Funding, LLC)



- McGlinchey Stafford and Youngblood & Associates
- Polonsky Betel Green, LLP
- Brown, Fowler, Alsip
- Beadle, Newman, & Lawler
- Gregg & Valby, LLC
- Black, Mann and Graham, LLP
- Robertson Anschutz Vettors, LLC

TEXAS HE - CLOSING DISCLOSURE AND FINAL LOAN APPLICATION

The final Closing Disclosure (CD) and a copy of the final loan application must be delivered to/accepted by the borrower(s) during normal business hours. The seller is responsible for ensuring all timing requirements under Regulation Z and state law are complied with.

Borrowers must sign the Acknowledgment of Itemization of Fees, Points, Interest, Costs and Charges for Texas Home Equity Loan or Line of Credit to evidence their receipt of the final Closing Disclosure and loan application.

TEXAS HE - POINTS AND FEES

Borrower paid fees are limited to 2% of the principal balance (including the origination fee). The following are not included in the 2% limitation:

- Lender paid closing costs.
- Per diem interest
- Bona fide discount points are used to reduce the interest rate.
- Escrow/impound funds.
- Appraisal fee paid to third-party appraiser.
- Surveys (completed by state registered or licensed surveyors)
- A state base premium for a mortgagee policy of title insurance with endorsements established in accordance with state law; or if a mortgagee title policy is not issued, a title examination report (if cost is less than the state base premium for a mortgagee title policy without endorsements)

If borrowers are paying discount points, the borrowers, owners-in-title and/or spouse must execute the TX Home Equity Discount Point Acknowledgment.

Only fees which are allowed by State Law and RESPA/ECOA regulatory guidelines can be charged to the borrower and MUST be accurate and reflected on the Loan Estimate (LE) and the Closing Disclosure (CD).

TEXAS HE - POWER OF ATTORNEY

Power of Attorney is not permitted.

TEXAS HE - SURVEY

Surveys are required on all Texas Home Equity transactions to ensure the following:

- Confirm lot size.



- Evidence homesteads property and any adjacent land are separate.
- Evidence of homestead and property is a separately platted and subdivided lot for which full ingress and egress is available.
- Properties must be served by municipal utilities, fire, and police protection.
 - Homestead must be a separate parcel within permissible acreage.

A T19 endorsement is permitted in lieu of a survey when title is willing to insure over it; title survey and/or encroachment exceptions are not permitted.

TEXAS HE - TITLE

A title insurance policy written on Texas Land Title Association forms (standard or short) including T42 and T42.1 endorsements are required.

For self-employed borrowers operating a business from the homestead property, the title company must issue a T42.1 endorsement without exception or deletion.

Title may not include language that:

- Excludes coverage for a title defect that arises because financed origination expenses are held not to be “reasonable costs necessary to refinance;” or
- Defines the “reasonable costs necessary to refinance” requirement as a “consumer credit protection” law since the standard title policy excludes coverage when lien validity is questioned due to a failure to comply with consumer credit protection laws.

Loans must be closed in a Texas title company’s office or attorney’s office. No mobile notaries are permitted.

TEXAS HE - DOCUMENTS

The following additional Texas Home Equity specific documents must be included in the closing package:

- Notice Concerning Extension of Credit Defined by Section 50(a)(6) (signed by each owner of the property and each spouse of an owner)
- Acknowledgment of Fair Market Value of Homestead Property (borrower and seller must sign at closing with an appraisal attached to the Acknowledgment)
- Notice of Right to Cancel (signed by each owner of the property and each spouse of an owner)
- Texas Home Equity Security Instrument (Form 3044.1)
- Texas Home Equity Note (Form 3244.1)
- Texas Home Equity Affidavit and Agreement (Form 3185)
- Texas Home Equity Condo Rider (Form 3140.44), if applicable
- Texas Home Equity PUD Rider (Form 3150.44), if applicable
- Texas Home Equity Certificate from Originating Lender’s Regarding Compliance with Section 50(a)(6) Article XVI of the Texas Constitution signed by the Seller’s Attorney
- Texas Home Equity Discount Point Acknowledgment, if applicable
- Affidavit of Non-Homestead for all other dwellings if borrower owns more than one.
- Detailed closing instruction letter acknowledged by title company (Compliance Requirements for Texas Home Equity Loans)



- Note for any re-subordinating second (cannot be an (a)(6) Note, a new loan or a HELOC) with subordination agreement, if applicable.

FORMS AND TOOLS

The most up-to-date versions of all NQM FUNDING, LLC forms, matrices, and guidelines can be accessed through the NQM FUNDING, LLC Client Portal under *Guidelines and Matrices*.

The following forms can be found under *Documents* via the NQM Funding, LLC (NQMF) Client Portal

- Anti-Steering Disclosure
- Automatic Payment Authorization Form
- Borrower Certificate of Business Purpose
- Borrower Contact Consent
- Business Narrative
- Condo Project Questionnaire
- Exception Request Form
- Gift Letter
- ICD Request Forms
- LLC Borrowing Certificate
- NY Approved Attorney List
- Occupancy Certificate
- Request for Verification of Earnings
- Spousal Consent Form
- Taxpayer Consent Form

Sample Forms are available under *Documents* via in the Client Portal.

- Expense Statement CPA Letter
- Foreign National Mortgage Reference Letter
- Foreign National Bank Reference Letter
- Foreign National CPA Reference Letter for a Free and Clear Property
- Foreign National Credit Reference Letter
- Foreign National Employer Reference Letter

CHANGE HISTORY

Change Date	Description of Change
9/10/2025 V2	MATRICES – Updated as follows: • All Matrices are also included in the Program Section of the Underwriting Guidelines except the Geographic Restrictions (which is in the General Guidelines and the “grid” or hard guidelines i.e. Credit Score / Loan Amount / LTV requirements). • Flex Supreme – Updated as follows: ◦ Geographic Restrictions: Clarified the Texas Section 50 loan restrictions.. ◦ Credit Score: the minimum score for additional borrower has increased from 540 to 600 when not the primary wage earner. ◦ Business/Co-Mingled Bank Statements: the minimum expense ratio provided by a CPA or EA has increased from 10% to 20%. ◦ IRS Form 1099: added the 1 Year documentation option for 1099 Income. • Flex Select – Updated as follows: ◦ Credit Score: the minimum score for additional borrower has increased from 540 to 600 when not the primary wage earner. ◦ P&L with 2+ months Bank Statements: added PTIN to eligible provider. ◦ P&L Only: ▪ All borrowers must have a minimum credit score of 700. ▪ Added PTIN to eligible provider. ◦ Business/Co-Mingled Bank Statements: the minimum expense ratio provided by a CPA or EA has increased from 10% to 20%. ◦ Property Types - Condotel: Removed the Cash Out Dollar amount limitation. ◦ Express DU: Clarified the maximum loan amount, max LTV and reserves requirements section. • Super Jumbo – Updated as follows: ◦ Business/Co-Mingled Bank Statements: the minimum expense ratio provided by a CPA or EA has increased from 10% to 20%. • Select ITIN – Updated as follows: ◦ Credit Score: the minimum score for additional borrower has increased from 540 to 600 when not the primary wage earner. ◦ Property Types – Condominium: Removed the CLTV limitation for condos since subordinate financing is not permitted for ITIN Borrowers. • Foreign National – Updated as follows: ◦ The entire Matrix has been updated from the previous version, including Housing History, eligibility and restrictions for ITIN, Non-Occupant Co-Borrower, FTHB, Reserves, Credit Score and Income Doc Type. ◦ Loan Amounts: updated to revert to the original \$150,000 to \$3,000,000. ◦ Buydowns: Updated to not permitted ◦ Products: removed the 5/6 SOFR ARM fully amortizing and I/O products from eligibility. ◦ Interest Only: Updated to permitted without restrictions on the 30 Year Fixed I/O Product. ◦ Cash-Out Refinance: clarified the max LTV for condos and 2-4 Units and max cash in hand. ◦ Full Doc Income Requirements: for wage earners and self-employed borrowers, an <u>unaffiliated</u> certified translator must translate all documents. ◦ Property Types: Rural Properties are not permitted ◦ Appraisals: although C3 condition rating is generally required; <u>Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.</u> ◦ Insurance: Rent Loss Insurance may be waived with three additional months of PITIA reserves. • Second Lien Select – Updated as follows: ◦ Credit Score: the minimum score for additional borrower has increased from 540 to

	620 when not the primary wage earner. • DSCR Supreme – Updated as follows: ◦ Credit Score: the representative score is the lowest middle score of all borrowers. ◦ Insurance: Rent Loss Insurance may be waived with three additional months of PITIA reserves. ◦ Appraisals: although C3 condition rating is generally required; <u>Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.</u> • Investor DSCR – Updated as follows: ◦ Removed DSCR No Ratio. ◦ Insurance Requirements: Rent Loss Insurance may be waived with three additional months of PITIA reserves. ◦ Appraisals: although C3 condition rating is generally required; <u>Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.</u> • Investor DSCR No Ratio – NEW standalone Program Matrix: ◦ Reserves: <u>Removed reserve requirements for DSCR >= .75</u> ◦ Insurance Requirements: Rent Loss Insurance may not be waived with additional months of PITIA reserves. ◦ Appraisals: although C3 condition rating is generally required; <u>Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.</u> UNDERWRITING GUIDELINES – Updated as follows: • The Guide has undergone a makeover from an organizational, naming convention and overall streamlining standpoint. The guidelines have been recreated into essentially 3 sections: ◦ Intro / Governing Statements ◦ Programs ▪ Mirrors the matrices except the Geographic Restrictions (which is in the General Guidelines and the “grid” or hard guidelines i.e. Credit Score / Loan Amount / LTV requirements. ◦ General Guidelines • Geographic Restrictions: These restrictions were previously announced but were not updated in the Guidelines. <u>Provided clarification for New York State restrictions on all Matrices.</u> ◦ New York State: ▪ Effective July 29, 2025, NQMF has temporarily halted wholesale originations for all TRID loans in the state of New York. Please note that correspondent loans (delegated and non-delegated) and business purpose loans remain unaffected. ▪ All originations are restricted as follows: ▪ Brooklyn: Effective July 29, 2025, Investment Properties are ineligible, including DSCR. ▪ Orange County: Effective July 2, 2025, all occupancies are ineligible. ▪ No 5/6 ARMs on Investment Property loans below the FNMA loan limit. ▪ See NY Subprime section for requirements. ▪ Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island). ◦ July 2, 2025, investment properties including DSCR are not permitted in the following locations: ▪ Brooklyn NY ▪ Lubbock, TX ▪ Patterson, New Jersey ▪ Charlotte, Lee, Hendry, and Glades counties, Florida ▪ Indianapolis, Indiana ▪ Washington, D.C. ◦ All Occupancies are not permitted in the following locations: ▪ Orange County, New York ▪ Cook County, Illinois ▪ Baltimore City, Maryland • Daily Simple Interest: Loans where interest calculated based on daily simple interest are not
--	---

	eligible on any of our Programs. • Cash-Out Refinance (C/O): while maintaining the property is an acceptable use for Cash Out Refinance proceeds, major renovations or rehabs, tear downs etc., are not permitted on the subject property that could deem the property uninhabitable. • Flip Transactions: New construction by a production builder is considered a flip transaction if the developer acquired the lot in the last 180 days and the purchase price has increased by more than 120%. • Non-Permanent Resident Aliens (NPRA) – Documentation: ◦ Added the highlighted detail to I-551 – Conditional Permanent Residence Card (Green Card) issued for 2 years that has an expiration date, if it is accompanied by a copy of USCIS form I-751 requesting removal of the conditions: when the Green Card is expiring within 90 days of the 2 year conditional expiration date. • Non-Permanent Resident Aliens (NPRA) – Employment Requirements: ◦ Replaced the words “housing history” with “residency” in the following bullet: ◦ 2 years employment in the same line of work and 2 years residency (in the U.S. or abroad) • Employment Authorization (Non-Perm): reduced the borrower’s employment authorization expiration period from 6 to 3 months. • Visa (Non-Perm): reduced the visa expiration period from 6 to 3 months. • Employee Loans: loan must be originated as a Full Documentation type only • Foreign Credit: clarified that an <u>unaffiliated</u> certified translator must translate all document. Google translator is not permitted. • Credit Score Requirements: ◦ Raised the minimum score for additional borrowers from 540 to 600 on the following Programs Flex Supreme, Flex Select, and Select ITIN ◦ Raised the minimum score for additional borrowers from 540 to 620 on the Second Lien Select Program. • Housing History Verification (Non-DSCR): if the borrower is making payments to an individual or interested party, one of the following is required: A copy of the note/lease along with the consecutive most recent 12 months of cancelled checks, bank statements, or Venmo/Paypal documentation. • Incomplete Housing History (Non-DSCR): All months in which the borrower has rented and/or had a housing history must be documented. • Seasoning (Housing Event / Bankruptcy): housing events caused by a FEMA declared natural disaster does not count as a credit event instance. • Qualified Assets: college savings accounts i.e., 529 plans are ineligible asset sources • Employment by a Relative: All loans require Full Documentation. • Foreign Income: reworded the requirements to expand and restrict; and when Foreign Income is used the loan must be priced as a Foreign National regardless of citizen status. If occupancy type is a Primary Residence, the loan would be priced as a Second Home. • Asset Documentation: All pages of any statements provided for Asset Documentation are required. Summaries will not be accepted. • New Construction: ◦ Certificate of Occupancy, when required per municipality ◦ Taxes must be based on the improved value. Unless otherwise documented from the title company, use 1.5% of the purchase price for qualifying.
1/30/2025 v1.2	Below please find a summary of updates effective immediately to our NonQM Guidelines and Matrices for applications submitted and locked effective on or after January 30, 2025. PROGRAM MATRICES – Updated as follows: • Geographic Restrictions: ◦ Effective immediately on 1/29/2025, the temporary restrictions in the State of <u>Maryland have been lifted for Business Purpose Only loans.</u> ◦ Updates apply to the following Programs: ▪ Flex Supreme ▪ Flex Select

	- o Note: Going forward we will publish one combined Matrix for Delegated and Non-Delegated Correspondent & Wholesale. ▪ Select ITIN ▪ Super Jumbo ▪ Investor DSCR ▪ DSCR Multi & Mixed ▪ Foreign National ▪ Matrices Side-by-Side MATRICES – Updated as follows: • All Matrices – Updated as follows: - o The version number will continue from the last published version along with the date the latest version was published. Example: ▪ Flex Select v1.2 published 1/20/2025 ▪ Flex Select v1.3 published 1/30/2025. • Flex Supreme – Updated as follows: - o Alt Doc Bank Statement Acceptable Variance Levels: Removed the requirements from the Matrix and Guidelines. • Investor DSCR – Updated as follows: - o Loan Amounts: Relocated the smaller loan amounts with LTV overlays from the General Requirements section to the Matrix by adding smaller loan amount tiers with restricted LTVs. - o >= 1.00 DSCR Matrix: Added the smaller loan amount tiers with the restricted LTVs to the grid to avoid confusion. - o Rural Property: reworded the requirements for clarity and consistency. • DSCR Multi & Mixed – Updated as follows: - o Rural Property: reworded the requirements for clarity and consistency. GUIDELINES – Updated as follows: • The Guide version number will continue from the last published version along with the date the latest version was published. Example: - o Flex Non QM Guidelines Version 1.1 published 1/20/2025 - o Flex NonQM Guidelines Version 1.2 published 1/30/2025 General Program Information – Updated as follows: - o Clarified that the Guidelines contain Program overlay sections when the requirements differ; and when the requirements are the same, we defer to the relevant sections of the general Guidelines. Note that where these Guidelines are silent, please defer to FNMA Guidelines. • Flex Supreme – Updated as follows: - o Assets – Verification and Sourcing Funds – Updated as follows: ▪ Updated to reflect that only one (1) bank statement covering the past 30-days or most recent quarterly statement is required. - o Alt Doc – Bank Statements Income Requirements: Removed this section containing overlays for Flex Supreme. Refer to the bank statement section within the Guide. - o Alt Doc Bank Statement Acceptable Variance Levels: Removed this section containing overlays for Flex Supreme. Refer to the bank statement section within the Guide. - o Alt Doc – Personal Bank Statements Requirements: Removed this section containing overlays for Flex Supreme. Refer to the bank statement section within the Guide. • 2-1 Temporary Buydown – Updated as follows: - o Effective 1/28/2024, Business Purpose loans are no longer restricted by the State of Maryland temporary restrictions; the restrictions remain for Primary and Second Home loans since 1/20/2025. Please refer to the Program Matrices for eligibility. • Co-Borrowers – Updated as follows: - o Removed the requirement to occupy the subject property. • Bank Statement Analysis Requirements – Updated as follows: - o Reworded the requirements to clarify that for all Programs using bank statements to qualify, when updated bank statements are provided, the income must be recomputed using the most recent statements provided.
--	---

	• Personal Bank Statement – 12- or 24- Months – Updated as follows: ◦ Removed the Flex Supreme overlay requiring a minimum of 50% ownership of the business for eligibility. • Business Bank Statement – Updated as follows: ◦ Reworded the bullet that addresses the minimum 25% ownership requirement to include all applicable programs for eligibility when using bank statements. • Assets – Updated as follows: ◦ Asset Documentation Removed 2-months requirements for Flex Supreme. • State Restrictions – Updated as follows: ◦ Effective 1/28/2025 new rate locks restrictions in the State of Maryland are no longer in effect for Business Purpose Loans; the temporary restrictions remain in effect for Primary and Second Home loans since 1/20/2025. Please refer to the Program Matrices for eligibility. Condotels – Updated as follows: ◦ Condotels for Business Purpose loans are no longer restricted in the State of Maryland as of 1/28/2025; the temporary restrictions remain in effect for Second Homes since 1/20/2025. Please refer to the Program Matrices for eligibility. • DSCR (1-4 Units) – Updated as follows: ◦ Lease and Occupancy Requirements: Added this section to standardize the requirements across all DSCR Programs.
--	---